Amendment Package

for Plan 283651

Automatic Data Processing, Inc.
71 Hanover Road
Florham Park, NJ 07932

Wednesday, January 26, 2022

Wallace Supply, LLC 401(k) Profit Sharing Plan (the "Plan")

283651

The KL Group
Inc. DBA
Johnstone
Supply of
Central NY

77 Halstead Street Suite 3

Rochester, NY 146101955

Dear

This confirms your letter requesting an amendment to the terms of the Plan listed above. As requested, your plan's Adoption Agreement has been restated to include the following change(s):

Section #:	***Section Description:***	***Change:***
I(A)(1)	Name of Company	Wallace Supply, LLC
I(A)(1)	Business Address	2609 Dearborn St Easton, PA 18045
I(A)(3)	Type of Business Entity	Limited Liability Company
I(A)(5)	Employer Identification Number	45-2967608
I(B)(1)	Name of Plan	Wallace Supply, LLC 401(k) Profit Sharing Plan
I(B)(4)	Effective Date of this amendment and restatement	01/01/2022

Because your Adoption Agreement is a legal document that governs how your Plan is operated, we strongly recommend that you consult with your tax or legal advisor when reviewing the enclosed Adoption Agreement.

Please do not make any changes to your restated Adoption Agreement. If the enclosed restated Adoption Agreement does not reflect the amendment you requested, please contact the Client Services Department at the toll-free number provided in your Plan Administration Manual.

Once you have reviewed and approved the Adoption Agreement, an authorized officer of your Company must execute the Adoption Agreement by completing the following blanks where indicated on the last page:

- Sign the Adoption Agreement
- Enter the name and title of the authorized officer signing the Adoption Agreement
- Enter the date the Adoption Agreement is signed.

Please fax or mail ONE signed and dated copy of the Adoption Agreement to ADP as soon as possible but no later than the effective date of the changes you have requested. ADP Retirement Services must maintain a copy of your Plan's signed and dated Adoption Agreement in our records. You may return one copy of your executed Adoption Agreement either by (1) faxing a copy to the number below, or (2) mailing it to the address below. **If you fax your Adoption Agreement, you use the enclosed fax cover sheet and fax a complete copy of all pages.** Please make sure you receive confirmation from your fax machine that all pages were successfully transmitted. Fax or mail a signed, dated copy of your Adoption Agreement to:

Fax Number: 973-712-7489
Or
ADP Retirement Services
Attention: Data Integrity Coordinator
71 Hanover Road
Florham Park, NJ 07932

Automatic Data Processing, Inc.
71 Hanover Road
Florham Park, NJ 07932

As Plan Sponsor, it is your responsibility to keep an original signed and dated Adoption Agreement for your files. If you mail a hard copy of your executed Adoption Agreement to ADP, ADP may keep a electronic copy on file and is not responsible for maintaining a hard copy of any original you send to us.

If a signed and dated copy of the Adoption Agreement is not returned to us prior to the effective date of the change(s) indicated above, ADP Retirement Services will assume that the enclosed restated Adoption Agreement correctly reflects the changes you requested and will begin processing on the effective date in accordance with the document sent to you. *Please note that failure to timely execute the enclosed restated Adoption Agreement will cause your Plan to be operated in a manner contrary to its written terms. This may jeopardize your Plan's continued tax qualification under the Internal Revenue Code, which can result in adverse tax consequences. If you do not timely execute the enclosed Adoption Agreement, you should contact your tax or legal advisor regarding how to correct this using the Employee Plans Compliance Resolution System, the Internal Revenue Service correction program for correcting plan errors.*

On occasion, generally due to a change in law or regulatory guidance, ADP may provide you with an interim amendment to the ADP prototype plan. You should continue to retain any interim amendments to the current ADP prototype provided to you by ADP. Any such interim amendments have not yet been incorporated into the current ADP Prototype and continue to be considered part of your overall Plan document.

Generally, an employer who adopts a word-for-word approved document such as the ADP prototype plan can rely on the IRS opinion letter that the form of the plan meets most Internal Revenue Code qualification requirements and may no longer request a determination letter from the IRS. Please consult with your legal counsel and/or tax advisor if you have questions about requesting a determination letter.

The law requires you to inform participants and certain beneficiaries of any amendments to the Plan.We have enclosed both an SMM highlighting the changes to your Plan and an updated SPD that incorporates these changes. The enclosed SPD should be distributed to all current and future employees eligible to participate in the Plan, terminated employees with an existing vested account balance in the Plan, alternate payees under qualified domestic relations orders with an account balance in the Plan and any beneficiary of a deceased participant. The enclosed SMM should also be distributed to current eligible employees, terminated employees with an existing vested account balance, alternate payees and beneficiaries of a deceased participant, to notify them of the change to your Plan’s terms. Once the SMM is distributed to these existing participants and beneficiaries, it does not need to be distributed to future participants or beneficiaries, as it is reflected in the enclosed updated SPD.

Our records indicate you have signed up for Plan Notice Delivery Services of your Summary Plan Description (“SPD”) and Summaries of Material Modifications (“SMMs”). Accordingly, ADP will initiate delivery of the attached SMM to the participant populations you have elected in accordance with the terms of the Plan Notice Delivery Services provision to your Administrative Services Agreement (“ASA”) and the explanation of Plan Notice Delivery Services in your Plan Administration Manual. ADP willinitiate the mailing on the effective date of the amendment covered by the SMM (or the first business day thereafter, if the effective date is not a business day) or, if later, the first business day after the amendment is entered into the ADP recordkeeping system.

If you have also elected to have ADP deliver an SPD to Newly-Eligible Employees, ADP will use the attached updated SPD as the current SPD provided to those employees after it initiates delivery of the SMM.

Unless expressly agreed to in writing by ADP, ADP is not responsible for delivery of the SPD and/or SMM in any situation or to any population not covered by ADP’s Plan Notice Delivery Services for your Plan. **In these cases, you are responsible for their deliver.** Please refer to the Plan Notice Delivery Services Addendum to your ASA and the explanation of Plan Notice Delivery Services in your Plan Administration Manual for further details. If you are uncertain of the Plan Notice Delivery Services (including notices and/or participant populations) ADP has agreed to provide for your Plan, please contact your Client Services Representative.

Should you have any questions, please do not hesitate to contact the Client Services Department.

Sincerely,

ADP Retirement Services

Enclosures

Automatic Data Processing, Inc.
71 Hanover Road
Florham Park, NJ 07932

# Fax Transmittal Form	To: **ADP Retirement Services**
	Toll-Free Fax #: **1-973-712-7489**
	Re: **AMENDSIGN**

Please complete ALL of the following information by **printing with black or blue ink:**

ADP Plan Number:	283651
Company Name:	
Contact Name:	
Phone Number with Extension:	
Fax Number:	
Date:	

☐ **# of Page # of Pages (Including this cover sheet)**

You must fax a complete copy *(all pages)* of your Adoption Agreement.

IMPORTANT REMINDERS.

- Review the Adoption Agreement to ensure that it accurately reflects the changes you requested. If it does not, contact the ADP Retirement Services Client Services Department immediately.
- Make sure an authorized officer of the Company has fully executed the Adoption Agreement by completing the following blanks where indicated on the last page:
  - **Sign the Adoption Agreement**
  - **Enter the name and title of the authorized officer signing the Adoption Agreement**
  - **Enter the date the Adoption Agreement is signed.**
- Make sure you have not made any stray marks on, or handwritten changes to, the Adoption Agreement. ADP Retirement Services cannot accept an Adoption Agreement altered by you.
- Make sure you are faxing a complete copy (all pages) of your Adoption Agreement. Please make sure you receive confirmation from your fax machine that all pages were successfully transmitted.

Please remember: It is your responsibility to maintain an original signed and dated Adoption Agreement on file with your other Plan-related materials.

Adoption Agreement

Automatic Data Processing Prototype 401(k) and Profit Sharing Plan

Nonstandardized 401(k) Adoption Agreement

(001)

Upon acceptance by the Trustee, the undersigned company adopts the Automatic Data Processing Prototype 401(k) and Profit Sharing Plan (the "Plan") incorporated by this reference, agrees to the terms of the Plan, certifies the accuracy of the following information, and makes the following elections under the Plan:

I. COMPANY AND PLAN REGISTRATION INFORMATION

Note: All Affiliates as defined in Article I of the basic Plan document who adopt this Plan must be indicated on the last page of this Agreement.

A. Company Information. Complete this item based on the lead Employer. ***(Fill in exact legal name, and complete identifying information.)***

1. Name and address of Company:

   Wallace Supply, LLC

   2609 Dearborn St

   Easton PA 18045

2. Telephone number: (585) 482 - 8000.

3. Type of entity ***(choose one)***:
   (Note: State or Local Government option is only available to permissibly grandfathered entities. "Other" must be a legal entity recognized under federal income tax laws).

   ☐ Sole Proprietorship
   ☐ Corporation
   ☐ Tax Exempt
   ☑ Limited Liability Company
   ☐ State or Local Government
   ☐ Partnership
   ☐ S Corporation
   ☐ Indian Tribe
   ☐ Limited Liability Partnership
   ☐ Other ***(specify)*** ________________

4. Employer Identification Number: 45-2967608.

B. Plan Information

1. Name of Plan: Wallace Supply, LLC 401(k) Profit Sharing Plan.
   (For example, ABC, Inc. 401(k) Plan.)

2. Plan Number: 001.
   (Use the plan number which is to be used for IRS reporting purposes, such as Form 5500, and Form 1099-R. For example, the first qualified retirement plan for the Company should be 001.)

3. Original Effective Date of this Plan: 01/01/2004.
   (Complete this item for ALL Plans. Fill in the date the provisions of this Plan first become/became applicable. May not be earlier than the first day of the first Plan Year. The first day of the first Plan Year may not be earlier than the date the Company is established. Elective Deferrals may not relate to Compensation that is currently available prior to the adoption or Effective Date of the Plan.)

4. a. ☑ If applicable, the Effective Date of this amendment and restatement: 01/01/2022.
   (Select this item for amended and restated Plans other than PPA restatements by current clients of the Prototype Sponsor. Date entered in I.B.4.a may not be earlier than the first day of the plan year in which restatement is executed, except as otherwise permitted under the Code or IRS guidance.)

   b. ☐ **PPA RESTATEMENT (*Select this item only for* a *plan that is a current client of the Prototype Sponsor restating for PPA*):** This is an amendment and restatement designed to bring the Plan into compliance with the Pension Protection Act of 2006 ("PPA") and other legal requirements. The Effective Date of this amendment and restatement shall be the first day of the month following the date on which this amendment and restatement is executed; provided that if this amendment and restatement is executed in the last month of the PPA restatement adoption period established by the Internal Revenue Service for preapproved plans, the effective date of this amendment and restatement shall be the last day of said PPA restatement adoption period.

C. Plan Administration

1. Plan Year (Plan Article I) means the calendar year.

   If applicable, there will be a short Plan Year commencing on ______________ and ending on 12/31/______.
   (This item may be completed only for amended and restated Plans with an existing noncalendar year Plan Year; for a newly established Plan with an effective date other than 1/1 that contains a Traditional 401(k) Safe Harbor Plan or QACA; for a non-Safe Harbor, non-mirror spinoff plan; or for new Plans started in the year the business is established.)

2. Limitation Year means the Plan Year, unless otherwise specified here: ______________ .
   (Complete this item only if (a) the Company or its Affiliates have any other tax-qualified plans AND, (b) the limitation year of the other plan(s) is not the calendar year.)

II. ELIGIBILITY AND PARTICIPATION REQUIREMENTS

A. Eligible Employees (Plan Section 1.1.25)
Must choose either 1 or 2:

1. ☐ All Employees of an Employer are eligible to participate in the Plan.

2. ☑ All Employees of an Employer are eligible to participate in the Plan, <u>except</u>
   Check each appropriate box (a-g) to specify excluded employee groups, if applicable.

   a. ☐ Salaried Employees.

   b. ☐ Hourly Paid Employees.

   c. ☐ Any nondiscriminatory classification of Employees employed in or by one or more specified divisions, plants, locations, job categories, or other identifiable groups of Employees as determined by the Board of Directors. Please specify:
   (Note: Under Treasury Regulations, part-time and seasonal employment is not a nondiscriminatory classification. This item should not be completed with a definition that by its terms defines an excluded classification as including Non-Highly Compensated Employees with the lowest amount of compensation and/or the shortest periods of service.)

   ____

   ____

   d. ☐ Employees included in a bargaining unit covered by a collective bargaining agreement with the Employer in the negotiation of which retirement benefits were the subject of good faith bargaining (unless the bargaining agreement provides for participation in the Plan).
   (For a Plan that includes union employees, specify whether less than all union employees are included. For example: If the Plan is set-up for employees in Union X, but employees in Union Y are excluded, Union Y should be specified.)

   ____

   ____

   e. ☐ Employees covered under any other tax-qualified retirement plan with respect to which the Employer is obligated to contribute. Please specify:
   (Specify the retirement plan, if applicable. For example: XYZ, Inc. Pension Plan.)

   ____

   ____

   f. ☐ Leased Employees.

   g. ☑ Employees not required to be taken into account for nondiscrimination testing purposes under Code §410(b)(6)(C) but only during the Code §410(b)(6)(C) transition period.
   (Note: If selected, in the event of a corporate acquisition, employees of the acquired company will be excluded from participation in the Plan for a period not to exceed two years, as determined by the acquisition date and Plan Year.)

B. Minimum Age for Participation (Plan Section 2.1.1)
Choose one:

1. ☐ No minimum age requirement.

2. ☑ After reaching age 21 (not to exceed 21).

C. <u>Minimum Service for Participation</u> (Plan Section 2.1.1)
<u>Choose one:</u>

1. ☐ No minimum service requirement.

2. ☑ After completing one **Year of Eligibility Service**. ***(If one Year of Eligibility Service is selected, then Employees may begin participation on the first day of the month after a 12 consecutive month period (as specified in Plan Section 1.1.84) in which they complete 1,000 Hours of Service.)***

3. ☐ After completing ________ (not to exceed 6) **Months of Service**. ***(If Months of Service is selected, a whole number must be entered within this option . An Employee is credited for each month during which he performs one Hour of Service. No additional Hour of Service requirements can be chosen if Months of Service is elected.)***

III. COMPENSATION (Plan Section 1.1.17)

A. Compensation Exclusions

Compensation is all Compensation paid to a Participant during a Plan Year in accordance with Article I.

Except for (a) nondiscrimination testing under Code §401(k)(3) (the Actual Deferral Percentage test) and 401(m) (the Average Contribution Percentage test), (b) allocating a cross-tested Nonelective Contribution under Plan Section 3.1, (c) computing the minimum contribution under Appendix C, and (d) determining Limitation Compensation under Appendix B, the following items are excluded from Compensation.
(Check each appropriate box to specify type(s) of excluded compensation. If one or more exclusions under this Section III.A are selected, the definition of Compensation could violate Code §414(s) nondiscrimination rules. <u>IMPORTANT NOTE: Traditional Safe Harbor 401(k) Plans and QACAs must use a nondiscriminatory definition of Compensation under Code §414(s) and are strongly cautioned against excluding items from the Plan's definition of Compensation.</u>

☐ overtime

☐ bonuses

☐ commissions

☐ severance pay received before Participant separates from service

☐ dependent care

☐ company car

☐ employee business expense

☐ moving expense

☐ nonqualified plan distributions

☐ other noncash fringe benefits

☐ all of the above

B. Compensation for Initial Year of Participation

For an Employee's first year of participation, Compensation shall be recognized for purposes of allocation of Matching Contributions and Nonelective Contributions (other than the required minimum top-heavy contribution) as of ***(choose one)***:

1. ☐ the first day of the Plan Year.

2. ☑ the Participant's Entry Date with respect to the Plan component for which Compensation is being determined.

IV. SAFE HARBOR PLAN STATUS

A. Traditional Safe Harbor 401(k) Plan (Plan Appendix E)
Must select either 1 or 2. If no election is made, option 1 is deemed elected.

1. ☑ Traditional Safe Harbor 401(k) Plan is NOT elected.

2. ☐ Traditional Safe Harbor 401(k) Plan is elected. ***If no election is made, option a is deemed elected.***
NOTE: if the Employer wants to determine mid-Plan Year whether to satisfy the ADP Test Traditional Safe Harbor with a Nonelective Contribution (possible Safe Harbor), complete option IV.A.2 and elect options V.C.2 and V.D.2.a(ii).]

   a. ☐ ADP Test Traditional Safe Harbor and ACP Test Traditional Safe Harbor will be met. (See contribution requirements in Plan Sections E.4 and E.5.)

   b. ☐ Only ADP Test Traditional Safe Harbor will be met. (See contribution requirements in Plan Section E.4.)

B. Qualified Automatic Contribution Arrangement ("QACA") (Plan Appendix F).
Must select either 1 or 2. If no election is made, option 1 is deemed elected.

1. ☐ QACA is NOT elected.

2. ☑ QACA is elected. QACA Effective Date: 01/01/2020 ***(May not be earlier than January 1, 2008. QACA provisions must be elected before the first day of the Plan Year for which they first apply. The effective date may be left blank if the QACA Effective Date is (1) the same as the effective date of the Plan or of a restatement, or (2) if this is not a restatement for PPA, earlier than the restatement effective date.).*** (If no election is made, option a is deemed elected.)

   a. ☑ ADP Test QACA Safe Harbor and ACP Test QACA Safe Harbor will be met. (See contribution requirements in Plan Sections F.4, F.8 and F.9.)

   b. ☐ Only ADP Test QACA Safe Harbor will be met. (See contribution requirements in Plan Sections F.4 and F.8.)

3. ☐ QACA Termination Date ***(leave blank if not applicable)***: QACA provisions no longer apply. The QACA provisions no longer apply effective as of: *(specify date)* ___________________.

V. CONTRIBUTIONS (Plan Article III and Appendices E, F, and G, as applicable).
(Note: The sum of contributions under the Plan cannot exceed the permissible limits under the Code.)

A. Elective Deferrals
Complete 1 through 4. Complete 5, if applicable.
Deferral Limits/Roth Availability

1. The minimum percentage of Compensation a Participant may elect to be treated as an Elective Deferral (including Roth Elective Deferrals, if applicable) is 1 %,
(Note: The minimum will not be less than 1%. Percentages must be in whole numbers.)

   and the maximum percentage of Compensation a Participant may elect to be treated as an Elective Deferral (including Roth Elective Deferrals, if applicable) is 90 %.
(Note: The maximum percentage is 90%. Federal and state income tax withholding and other deductions from employee pay should be taken into account in determining the maximum percentage.)

2. Roth Elective Deferrals will be permitted under the Plan. ***If no election is made, "no" is deemed elected.***

   ☑ Yes. ☐ No.

Automatic Contribution Elections

3. Automatic Contribution Arrangement (Non-EACA, Non-QACA).
Choose a or complete b and c. If no election is made, option a is deemed elected.

a. ☑ Traditional Automatic Contribution Arrangement will not be allowed under this Plan.

b. The following will be automatically enrolled in the Plan as a Participant:

(i) ☐ Each Eligible Participant will be automatically enrolled in the Plan as a Participant.

(ii) ☐ Each Eligible Participant with an Entry Date first occurring on or after *(specify date)* _____________ will be automatically enrolled in the Plan as a Participant.

c. Automatic deferral provisions
Complete (i) or (ii). Percentages must be in whole numbers.

(i) ☐ The percentage of Compensation that will be deferred as a Pre-Tax Elective Deferral on the Participant's behalf is _____%.

(ii) ☐ The percentage of Compensation that will be deferred on the Participant's behalf as a Pre-Tax Elective Deferral is _____% and will increase by ____ ***(enter 1, 2, or 3)*** percentage point(s) each year up to a maximum of _____%. Such increases in a Participant's automatic enrollment deferral percentage shall be effective as soon as administratively feasible beginning on or after ***(check one)***:

(A) ☐ The first day of each succeeding Plan Year.

(B) ☐ Each succeeding anniversary date following the date that the Participant's automatic enrollment deferrals first were implemented.

(C) ☐ The first day of _____________ ***(insert name of a calendar month)*** and the first day of said month in each succeeding calendar year.

4. Eligible Automatic Contribution Arrangement ("EACA")
Choose one in all cases. If EACA is not elected, select option a(i). If no election is made, option a(i) is deemed selected.

a. EACA Election.

(i) ☑ EACA is not elected.

(ii) ☐ EACA is elected. EACA Effective Date:_____________________ ***(May not be earlier than January 1, 2008. EACA provisions must be elected before the first day of the Plan Year for which they first apply. The effective date may be left blank if the EACA Effective Date is (1) the same as the effective date of the Plan or of a restatement, or (2) if this is not a restatement for PPA, earlier than the restatement effective date.)***.

(iii) ☐ EACA is terminated ***(leave blank if not applicable or if the Plan previously terminated an EACA effective as of a date before the date the Plan first converts into the ADP Program)***: The EACA provisions no longer apply effective as of *(specify date)*: _____________ .

b. Eligible Employees Under the EACA.

Eligible Employees who become Eligible Participants on or after the EACA Effective Date. The EACA Automatic Deferral Provisions apply to all Eligible Employees who become Participants on and after the EACA Effective Date.

(Complete option (i) below if the Plan is adding a new EACA feature or is a newly-established plan. Complete option (ii) below only if the Plan's EACA feature was already in existence and this Adoption Agreement merely documents the terms of, or amends, the existing EACA.)

(i) New EACA: Eligible Employees who became Eligible Participants prior to the EACA Effective Date. The EACA Automatic Deferral Provisions apply as of the EACA Effective Date to Eligible Employees who became Eligible Participants prior to the EACA Effective Date as follows ***(If the Company is establishing a new EACA by executing this Adoption Agreement, this section must be completed; otherwise, this section may be left blank.)***:

(A) ☐ Eligible Participants not contributing. All such Eligible Participants, who on the EACA Effective Date are not deferring any amount and who did not make a timely Affirmative Election to not contribute Elective Deferrals in connection with implementation of the EACA (regardless of any prior Affirmative Election to not contribute Elective Deferrals) will be subject to the EACA Automatic Deferral Provisions.

(B) ☐ No existing Affirmative Election. All Eligible Participants, except those who have in effect an Affirmative Election on the EACA Effective Date, including an Affirmative Election to not make Elective Deferrals, will be subject to the EACA Automatic Deferral Provisions.

(C) ☐ Election of at least EACA Automatic Deferral amount. All such Eligible Participants who (1) do not have in effect an Affirmative Election on the EACA Effective Date in an amount which is at least equal to the EACA Automatic Deferral Percentage, and (2) did not make a timely Affirmative Election to contribute Elective Deferrals in an amount less than the EACA Automatic Deferral Percentage (including an election to not contribute) in connection with implementation of the EACA will be subject to the EACA Automatic Deferral Provisions.

(D) ☐ Exclusion of Eligible Employees who became Eligible Participants prior to the EACA Effective Date. The EACA Automatic Deferral Provisions will only apply to Eligible Employees who first become Eligible Participants on or after the EACA Effective Date.
(NOTE: If option D is selected, the six-month period for relief from the excise tax under Code §4979(f)(1) will not apply.)

(E) ☐ N/A. The EACA is being established at the time a new plan is being established.

(ii) Existing EACA: Eligible Employees who became Eligible Participants prior to the EACA Effective Date. The EACA Automatic Deferral Provisions apply as of the EACA Effective Date to Eligible Employees who became Eligible Participants prior to the EACA Effective Date as follows
(If this Adoption Agreement merely documents the terms of, or amends, an existing EACA, select option (A) or (B). If neither option is selected, option (A) is deemed selected.):

(A) ☐ See prior EACA amendment/prior Plan document for documentation of how the EACA Automatic Deferral Provisions were applied to Eligible Employees who became Eligible Participants prior to the EACA Effective Date.

(B) ☐ Exclusion of Eligible Employees who became Eligible Participants prior to the EACA Effective Date. The EACA Automatic Deferral Provisions only apply to Eligible Employees who first become Eligible Participants on or after the EACA Effective Date.
(NOTE: If option (B) is selected, the six-month period for relief from the excise tax under Code §4979(f)(1) will not apply.)

c. EACA Automatic Deferral Percentage. Unless an Eligible Participant has made an Affirmative Election, the Employer will withhold the following EACA Automatic Deferral Percentage
(Select (i) or (ii) and complete as applicable. Percentages must be in whole numbers.)**:**

(i) ☐ Constant. The Employer will withhold ________% of Compensation each payroll period.

(ii) ☐ (A) Initial percentage. The Employer will withhold ________% of Compensation each payroll period.

(B) **E**scalation of deferral percentage. This initial percentage will increase by ____ ***(enter 1, 2, or 3)*** percentage point(s) up to a maximum of _____% of Compensation each payroll period. Such increases in a Participant's EACA Automatic Deferral Percentage shall be effective ***(check one):***

(I) ☐ As soon as administratively feasible beginning on or after the first day of each succeeding Plan Year after the Plan Year that the Participant's EACA Automatic Deferrals first were implemented under the EACA.

(II) ☐ As soon as administratively feasible beginning on or after each succeeding anniversary date following the date that the Participant's EACA Automatic Deferrals first were implemented under the EACA.

(III) ☐ As soon as administratively feasible beginning on or after the first day of each _____________ ***(insert name of a calendar month)*** following the date that the Participant's EACA Automatic Deferrals first were implemented under the EACA.

(IV) ☐ The first day of the second Plan Year after the Plan Year that the Participant's EACA Automatic Deferrals first were implemented under the EACA ***(for the first such increase)*** and the first day of each succeeding Plan Year thereafter ***(for each subsequent increase)***.

5. Qualified Automatic Contribution Arrangement ("QACA")
NOTE: Complete this Section 5 only if QACA is elected in Section IV of the Adoption Agreement. For purposes of this Section, the term Eligible Employee has the meaning set forth in Appendix F.

a. Participants subject to QACA

The QACA Automatic Deferral Provisions apply to Eligible Employees who become Participants on and after the QACA Effective Date.

(Complete option (i) below if the Plan is adding a new QACA feature or is a newly-established plan. Complete option (ii) below only if the Plan's QACA feature was already in existence and this Adoption Agreement merely documents the terms of, or amends, the existing QACA.)

(i) New QACA: Eligible Employees who became Eligible Employees prior to the QACA Effective Date. The QACA Automatic Deferral Provisions apply as of the QACA Effective Date to Eligible Employees who became Eligible Employees prior to the QACA Effective Date as follows ***(Note: If the Company establishes a new QACA by executing this Adoption Agreement, this section must be completed; otherwise, this section may be left blank.)***:

(A) ☐ Eligible Employees Not Contributing. All Eligible Employees, who on the QACA Effective Date are not deferring any amount and who did not make a timely Affirmative Election to not contribute Elective Deferrals in connection with implementation of the QACA (regardless of any prior Affirmative Election to not contribute Elective Deferrals) will be subject to the QACA Automatic Deferral Provisions.

(B) ☐ Election of at least QACA Automatic Deferral amount. All Eligible Employees who (1) do not have in effect an Affirmative Election on the QACA Effective Date in an amount which is at least equal to the QACA Automatic Deferral Percentage, and (2) did not make a timely Affirmative Election to contribute Elective Deferrals in an amount less than the QACA Automatic Deferral Percentage (including an election to not contribute) in connection with implementation of the QACA will be subject to the QACA Automatic Deferral Provisions.

(C) ☐ No existing Affirmative Election. All Eligible Employees, except those who have in effect an Affirmative Election on the QACA Effective Date, including an Affirmative Election to not make Elective Deferrals, will be subject to the QACA Automatic Deferral Provisions.

(D) ☐ N/A. QACA is being established at the time a new plan is being established.

(ii) ☑ Existing QACA: Eligible Employees who became Eligible Employees prior to the QACA Effective Date. See prior QACA amendment/prior Plan document for documentation of how the QACA Automatic Deferral Provisions were applied to Eligible Employees who became Eligible Employees prior to the QACA Effective Date.

b. QACA Automatic Deferral Percentage. Unless an Eligible Employee makes an Affirmative Election, the Employer will withhold the following QACA Automatic Deferral Percentage

(Select (i) or (ii). Percentages must be in whole numbers.):

(i) ☐ Constant. The Employer will withhold_____% ***(must be no less than 6% and no more than 10%)*** of Compensation each payroll period.

(ii) ☑ (A) Initial Percentage. The Employer will withhold __3_____**% *(must be no less than 3% and no more than 9%)*** of Compensation each payroll period**.**

(B) Escalation of deferral percentage. This initial percentage will increase by 1___ ***(enter 1, 2, or 3)*** percentage point(s) up to a maximum of 6____% ***(must be no less than 6% and no more than 10%)***. Such increases in an Eligible Employee's QACA Automatic Deferral Percentage shall be effective ***(check one)***:

(I) ☑ As soon as administratively feasible beginning on or after the first day of each succeeding Plan Year after the Plan Year that the Eligible Employee's QACA Automatic Deferrals first were implemented under the QACA.

(II) ☐ As soon as administratively feasible beginning on or after each succeeding anniversary date following the date that the Eligible Employee's QACA Automatic Deferrals first were implemented under the QACA.

(III) ☐ As soon as administratively feasible beginning on or after the first day of each ______________ ***(insert name of a calendar month)*** following the date that the Eligible Employee's QACA Automatic Deferrals first were implemented under the QACA.

(IV) ☐ The first day of the second Plan Year after the Plan Year that the Eligible Employee's QACA Automatic Deferrals first were implemented under the QACA ***(for the first such increase)*** and the first day of each succeeding Plan Year thereafter ***(for each subsequent increase)***.

B. Matching Contributions.
Always complete this Section B.

1. ADP Test Traditional or QACA Safe Harbor Matching Contributions ***(choose one)***:

a. ☐ N/A. Such Matching Contributions will not be allowed under this plan.

b. ☐ ADP Test Traditional Safe Harbor Matching Contribution
(Note: Do not complete if ADP Test Traditional Safe Harbor Nonelective Contribution has been elected.)

(i) ☐ Flat percentage: Matching Contribution equals 100% on the first ______% of Participant's Compensation which is deferred as an Elective Deferral.
(Insert 4, 5, or 6% if Plan will satisfy ADP Test Safe Harbor and ACP Test Safe Harbor. If a number higher than 6% is entered, Plan will not satisfy ACP Test Safe Harbor.)

(ii) ☐ Tiered basic: Matching Contribution equals 100% on the first 3% of Participant's Compensation which is deferred as an Elective Deferral and 50% on the next 2% of Participant's Compensation which is deferred as an Elective Deferral.

(iii) ☐ Tiered enhanced: Matching contribution equals the sum of:

(A) ☐ ______ % ***(not less than 100%)*** of the Participant's Compensation which is deferred as an Elective Deferral that does not exceed ______% ***(not less than 3%)*** of the Participant's Compensation, plus ***(complete B. if applicable)***

(B) ☐ _____% of the Participant's Compensation which is deferred as an Elective Deferral that exceeds ______% of the Participant's Compensation but does not exceed ______% ***(If a number higher than 6% is entered, Plan will not satisfy ACP Test Traditional Safe Harbor)*** of the Participant's Compensation.

(Note: Complete (A) and (B) so that at any rate of Elective Deferrals the Matching Contribution is at least equal to the tiered basic ADP Test Traditional Safe Harbor Matching Contribution. The matching rate may not increase as the Elective Deferral rate increases. Do not match Elective Deferrals in excess of 6% of Compensation if Plan will satisfy both the ADP Test Traditional Safe Harbor and the ACP Test Traditional Safe Harbor.)

c. ☑ ADP Test QACA Safe Harbor Matching Contribution
(Note: Do not complete if ADP Test QACA Safe Harbor Nonelective Contribution has been elected.)

(i) ☐ Flat percentage: Matching Contribution equals 100% on the first ______% of Participant's Compensation which is deferred as an Elective Deferral.
(Insert 4, 5, or 6% if Plan will satisfy ADP Test Safe Harbor and ACP Test Safe Harbor. If a number higher than 6% is entered, Plan will not satisfy ACP Test Safe Harbor.)

(ii) ☐ Tiered basic: The sum of 100% of the Participant's Compensation which is deferred as an Elective Deferral that does not exceed 1% of the Participant's Compensation, plus 50% of the Participant's Compensation which is deferred as an Elective Deferral that exceeds 1% of the Participant's Compensation but does not exceed 6% of the Participant's Compensation.

(iii) ☑ Tiered enhanced: The sum of:

(A) ☑ 100% of the Participant's Compensation which is deferred as an Elective Deferral that does not exceed 3% of the Participant's Compensation, plus ***(complete B. if applicable)***

(B) ☑ 50% of the Participant's Compensation which is deferred as an Elective Deferral that exceeds 3% of the Participant's Compensation but does not exceed 5% of the Participant's Compensation.

(Note: Complete (A) and (B) so that at any rate of Elective Deferrals the Matching Contribution is at least equal to the tiered basic ADP Test QACA Safe Harbor Matching Contribution. The matching rate may not increase as the Elective Deferral rate increases. Do not match Elective Deferrals in excess of 6% of Compensation if Plan will

satisfy the ADP Test QACA Safe Harbor AND the ACP Test QACA Safe Harbor. If Elective Deferrals in excess of 6% of Compensation are matched, Plan will not satisfy the ACP Test QACA Safe Harbor.)

2. Matching Contributions (Other than ADP Test Traditional or QACA Safe Harbor)***(choose one)***:
(NOTE: If the Plan provides that the ACP Test Traditional or QACA Safe Harbor will be met, (1) any Matching Contribution elected below may not match Elective Deferrals in excess of 6% of Compensation; (2) rate of match may not increase as rate of Elective Deferrals increases; and (3) any Discretionary Match elected below must meet the limitations of Plan Section E.5.

   a. ☑ N/A. Such Matching Contributions will not be allowed under this plan.

   b. ☐ The Matching Contribution equals _______% on the first _______% of the Participant's Compensation which is deferred as an Elective Deferral. Matching Contributions shall be determined each payroll period.
   (First blank space: Select a whole number. Second blank space: If ACP Test Traditional or QACA Safe Harbor will be met, insert a whole number between 1 and 6%.)

   c. ☐ The Matching Contribution equals ______% on the first _____% of the Participant's Compensation which is deferred as an Elective Deferral and an additional _____% on the next _____% of the Participant's Compensation which is deferred as an Elective Deferral. Matching Contributions shall be determined each payroll period.
   (First and third blank space: Select a whole number. If ACP Test Traditional or QACA Safe Harbor will be met, rate of match may not increase as rate of Elective Deferrals increases. Second and fourth blank space: If ACP Test Traditional or Safe Harbor Safe Harbor will be met, insert a whole number between 1 and 6%.)

   d. ☐ Discretionary Match: The Employer may, in its sole discretion, contribute and allocate to each eligible Participant's Account, a percentage of the Participant's Elective Deferrals. Matching Contributions, if any, shall be determined as of the end of the Plan Year.
   (If either a Traditional Safe Harbor or QACA has been elected with a Nonelective Contribution (Section V.D.2(a) or (b) elected,) Discretionary Match must meet the limitations of Plan Section E.5.)

3. ADP Test Traditional or QACA Safe Harbor Matching Contribution Provisions (Traditional Safe Harbor 401(k) Plans and QACAs ONLY) ***(Complete Option a or Options b through d, as applicable.)***

   a. ☐ N/A. Plan does not provide for ADP Test Traditional or QACA Safe Harbor Matching Contributions.

   b. Frequency. The ADP Test Traditional or QACA Safe Harbor Matching Contribution will be applied on the following basis ***(choose one):***

      (i) ☐ at year end.

      (ii) ☑ on a payroll-by-payroll basis.

   c. True-up. ADP Test Traditional or QACA Safe Harbor Matching Contributions will be determined separately for each period specified above and

      (i) ☐ N/A, the period for determining ADP Test Traditional or QACA Safe Harbor Matching Contributions will be the Plan Year.

      (ii) ☑ "true-up" contributions will not be made.

      (iii) ☐ will be recalculated following the close of the Plan Year based on the ratio of Elective Deferrals to Compensation for the Plan Year, and "true-up" contributions will be made accordingly.

   d. Employees Eligible for ADP Test Traditional or QACA Safe Harbor Matching Contributions
   (If ADP Test Traditional Safe Harbor Contribution or QACA Safe Harbor Matching Contribution is applied on a payroll-by-payroll basis, must select option (i).)

      (i) ☑ Allocated to all Eligible Participants, whether or not Eligible Participants on the last day of the Plan Year.

      (ii) ☐ Allocated to all Eligible Participants, who are Non-Highly Compensated Employees whether or not Eligible Participants on the last day of the Plan Year.

4. Matching Contribution Provisions (Other than ADP Test Traditional or QACA Safe Harbor)
(Complete Option a or Options b and c. Complete Options d and e, if applicable.)

a. ☑ N/A. Plan does not provide for such Matching Contributions.

b. True-up. Matching Contributions determined each payroll period will be determined separately for each payroll period and

(i) ☐ N/A, the period for determining Matching Contributions will be the Plan Year.

(ii) ☐ "true-up" contributions will not be made.

(iii) ☐ will be recalculated following the close of the Plan Year based on the ratio of Elective Deferrals to Compensation for the Plan Year, and "true-up" contributions will be made accordingly.

c. Employees Eligible for Discretionary (Year-End) Matching Contributions
Complete (i), (ii), or (iii)
(NOTE: If the Plan provides that the ACP Test Traditional or QACA Safe Harbor will be met, must select either option (i) or option (i)(A) (no allocation conditions other than limiting the Matching Contribution to Non-Highly Compensated Employees may be imposed). Last day rule and service requirements do not apply to Participants who fail to satisfy the requirement as a result of death, Disability, or retirement. Last day or service requirements could cause the Plan to violate Code §410(b) coverage rules.)

(i) ☐ No "Last Day" Requirement: Allocated to Eligible Participants, whether or not employed by the Employer on the last day of the Plan Year.

and (choose one or both if applicable)***:***

(A) ☐ Limited to Non-Highly Compensated Employees.

(B) ☐ Subject to the following service requirement (select one if applicable):

(I) ☐ completion of more than ______ (not more than 500) Hours of Service if terminated from employment with the Employer during the Plan Year.

(II) ☐ completion of _________________(not more than 1,000) Hours of Service (could cause the Plan to violate Code §410(b) coverage rules).

(ii) ☐ "Last Day" Requirement: Allocated to Eligible Participants who are employed by the Employer on the last day of the Plan Year.

and (choose one or both if applicable)***:***

(A) ☐ Limited to Non-Highly Compensated Employees.

(B) ☐ Subject to completion of more than ______ (not more than 1,000) Hours of Service (could cause the Plan to violate Code §410(b) coverage rules).

(iii) ☑ Not applicable either because no Matching Contributions have been elected or because Matching Contributions are determined each payroll period.

d. If Eligible Participants must complete an Hours of Service requirement to receive a Discretionary (year-end) Matching Contribution, Hours of Service will be determined as follows ***(choose one, if applicable)***:

(i) ☐ Equivalency Method. 190 Hours of Service will be credited for each month in which an Hour of Service is credited.

(ii) ☐ Actual Hours Method. Employee will be credited with the actual Hours of Service the Employee completes with the Company or an Affiliate or the number of Hours of Service for which the Employee is paid (or entitled to payment) by the Company or an Affiliate.

e. Maximum Matching Contribution ***(optional)***:

(i) ☐ The Matching Contribution will not exceed $___________ a year.

C. Nonelective Contributions

Always complete this Section C. Choose as applicable (only 1, only 2, both 1 and 2, or only 3)(NOTE: Must check at least one box. If only V.C.1 is selected, a choice in V.D.1 must be selected. If only V.C.2 is selected, a choice in V.D.2 must be selected. If both V.C.1 and V.C.2 are selected, a choice in both V.D.1 and V.D.2 must be selected. In the latter case, the Nonelective Contribution that is not an ADP Test Traditional or QACA Safe Harbor Nonelective Contribution is discretionary. If V.C.3 is selected, V.D.3 must also be selected):

1. ☑ Nonelective Contributions (other than Safe Harbor Nonelective Contributions) may be contributed at the discretion of the Company.

2. ☐ ADP Test Traditional or QACA Safe Harbor Nonelective Contributions will (or may, if elected in V.D.2.a) be made under the Plan.

3. ☐ Nonelective Contributions will not be allowed under this Plan.

D. Formula for Determining Nonelective Contributions

(Choose as applicable (from only option 1, only option 2, both option 1 and option 2, or only option 3) (NOTE: May not elect more than one choice in option 1 and one choice in option 2. If a choice is elected in both option 1 and option 2, the Nonelective Contribution elected in option 1 is discretionary. If V.C.3 is selected, V.D.3 must also be selected.):

1. Nonelective Contributions (Other than ADP Test Traditional or QACA Safe Harbor Nonelective Contributions)

   a. ☑ **Non-Integrated –** The Employer's Nonelective Contributions for each Plan Year will be allocated among Eligible Participants as elected by the Employer under Section V.E, V.F, and V.H.

   b. ☐ **Integrated --** Allocation under the Social Security Integration (permitted disparity) rules described in Section 3.1.6 of the Plan – Under this option, a larger percentage of the Nonelective Contribution is allocated to each Eligible Participant as elected by the Employer under Section V.E and V.H whose Compensation as described in Plan Section 3.1.6 is in excess of the Social Security Taxable Wage Base (that is, the "Excess Compensation"). This option is not available to an Employer with another integrated plan benefiting the same Participants.

   c. ☐ **Cross-Tested *(will require additional testing)* –** The Employer Nonelective Contribution for each Plan Year will be allocated among Participants as elected by the Employer under Section V.E, V.G, and V.H.

2. ADP Test Traditional or QACA Safe Harbor Nonelective Contributions

   a. ☐ ADP Test Traditional Safe Harbor Nonelective Contribution (Appendix E)

      (i) ☐ Fixed. Equal to ______ % of Eligible Participant's Compensation. ***(Select a whole number (minimum of 3%) and make an election in Section V.E.3.b or c.)***

      (ii) ☐ Possible. The Company may elect to make an ADP Test Traditional Safe Harbor Nonelective Contribution after a Plan Year has commenced. If this option is selected, the ADP Test Traditional Safe Harbor Nonelective Contribution will be required only for a Plan Year if the Plan is amended to provide for a "fixed" contribution in option V.D.2.a.(i) and a supplemental notice is provided to all Eligible Employees (as defined in Appendix E).

   b. ☐ ADP Test QACA Safe Harbor Nonelective Contribution (under Appendix F) equal to ___% of Eligible Participant's Compensation. ***(Select a whole number (minimum of 3%) and make an election in Section V.E.3.b or c.)***

3. ☐ Not applicable because Nonelective Contributions are not elected in V.C.

E. Employees Eligible for Nonelective Contributions
Complete option 1. Complete option 2 if applicable. Choose one from option 3.

1. Nonelective Contributions (other than ADP Test Traditional or QACA Safe Harbor Nonelective Contributions) will be ***(complete a, b, or c):***
(NOTE: Plans that provide for an allocation time interval for Nonelective Contributions in Section V.H other than the Plan Year must select option b and may neither limit the contribution to Non-Highly Compensated Employees nor impose a service requirement. Last day rule and service requirements do not apply to Participants who fail to satisfy a requirement as a result of death, Disability, or retirement. Last day or service requirements could cause the Plan to violate Code §410(b) coverage rules.):

   a. ☐ N/A. Plan does not provide for such Nonelective Contributions.

   b. ☐ No "Last Day" Requirement: Allocated to Eligible Participants, whether or not employed by the Employer on the last day of the Plan Year.

   and (choose one or both if applicable)***:***

   (i) ☐ Limited to Non-Highly Compensated Employees.

   (ii) ☐ Subject to the following service requirement (select one if applicable):

   (A) ☐ completion of more than ______ (not more than 500) Hours of Service if terminated from employment with the Employer during the Plan Year.

   (B) ☐ completion of ________________ (not more than 1,000) Hours of Service (could cause the Plan to violate Code §410(b) coverage rules).

   c. ☑ "Last Day" Requirement: Allocated to Eligible Participants who are employed by the Employer on the last day of the Plan Year.

   and (choose one or both if applicable)***:***

   (i) ☐ Limited to Non-Highly Compensated Employees.

   (ii) ☑ Subject to completion of more than 500 (not more than 1,000) Hours of Service (could cause the Plan to violate Code §410(b) coverage rules).

2. If Eligible Participants must complete an Hours of Service requirement to receive or share in an allocation of a non-Safe Harbor Nonelective Contribution, Hours of Service will be determined as follows (choose one, if applicable):

   a. ☐ Equivalency Method. 190 Hours of Service will be credited for each month in which an Hour of Service is credited.

   b. ☑ Actual Hours Method. Employee will be credited with the actual Hours of Service the Employee completes with the Company or an Affiliate or the number of Hours of Service for which the Employee is paid (or entitled to payment) by the Company or an Affiliate.

3. ADP Test Traditional or QACA Safe Harbor Nonelective Contributions will be ***(choose one)***:
(If ADP Test Traditional Safe Harbor Nonelective Contribution or QACA Safe Harbor Nonelective Contribution is applied on a per-payroll, monthly, or quarterly basis, must select option b.)

   a. ☑ N/A. Plan does not provide for ADP Test Traditional or QACA Safe Harbor Nonelective Contribution ***or*** "possible" ADP Test Traditional Safe Harbor Nonelective Contribution is elected.

   b. ☐ Allocated to all Eligible Participants, whether or not Eligible Participants on the last day of the Plan Year.

   c. ☐ Allocated to all Eligible Participants, who are Non-Highly Compensated Employees whether or not Eligible Participants on the last day of the Plan Year.

F. Allocation Method for Non-Integrated Nonelective Contributions
Choose one (if applicable): Complete Section F only if Non-Integrated formula was chosen in Section V.D.1.

1. ☑ Participant Compensation to total Compensation of all Participants eligible for Nonelective Contributions as specified in V.E.1.

2. ☐ Same dollar amount. Insert dollar amount. $__________________ *(must be uniform and nondiscriminatory)*.

3. ☐ Same dollar amount for each uniform unit of service (not to exceed one week), performed by the Employee during the Plan Year or period specified in V.H. Insert dollar amount $__________________ and unit of service _______________ *(dollar amount and unit of service must be uniform and nondiscriminatory)*.

G. Cross-Tested Allocation
Choose one (if applicable): ***Complete Section G only if cross-tested formula was chosen in Section V.D.1.***

1. ☐ Participant Group Allocation - Each eligible employee is assigned to a participant allocation group, as follows:

(Describe the objective criteria for determining the make-up of each participant allocation group. Criteria may not be subject to employer discretion, which would cause the plan to fail to have a definite allocation formula. In the case of self-employed individuals (i.e., sole proprietorships or partnerships), the requirements of §1.401(k)-1(a)(6) continue to apply, and the allocation method, including the determination of participant allocation groups, should not be such that a cash or deferred election is created for a self-employed individual as a result of application of the allocation method. The plan's eligibility provisions and participant allocation groups may not be structured to limit participation to only the shortest service and lowest paid NHCEs while excluding the other NHCEs.)

(a) ____

(b)____

(c)____

(d)____

(e)____

(f)____

(g)____

(h) ____

(i)____

(j)____

2. ☐ Age Weighted Allocation - The following assumptions will be used to calculate the equivalent benefit accrual rate. ***(Note: Standard interest rate and standard mortality table assumptions in accordance with 1.401(a)(4)-12 must be used when testing the plan for satisfaction of nondiscrimination requirements. A table of age-weighted factors (that comply with the previous sentence) may also be used.)***:

Pre-retirement Mortality _____________
Post-retirement Mortality ____________
Pre-retirement Interest ______________
Post-retirement Interest ______________

H. Allocation Time Interval for Nonelective Contributions
Nonelective Contributions shall be allocated as of the end of one of the following periods.
Choose one from option 1 and one from option 2:

1. Nonelective Contributions (other than ADP Test Traditional or QACA Safe Harbor Contributions)
(NOTE: If Plan provides for an integrated or cross-tested Nonelective Contribution, the period selected must be Plan Year.)

a. ☐ N/A. Plan does not provide for such Nonelective Contributions.

b. ☑ each Plan Year.

c. ☐ each calendar quarter within the Plan Year.

d. ☐ each calendar month within the Plan Year.

e. ☐ each payroll period within the Plan Year.

2. ADP Test Traditional or QACA Safe Harbor Contributions

a. ☑ N/A. Plan does not provide for ADP Test Traditional or QACA Safe Harbor Nonelective Contribution ***or*** "possible" ADP Test Traditional Safe Harbor Nonelective Contribution is elected.

b. ☐ each Plan Year.

c. ☐ each calendar quarter within the Plan Year.

d. ☐ each calendar month within the Plan Year.

e. ☐ each payroll period within the Plan Year.

I. In-Plan Roth Rollover Contributions
(In-Plan Roth Rollover Contributions may only be elected if the Plan provides for Roth Elective Deferrals. If no election is made, option 1 is deemed elected.)

1. ☑ In-Plan Roth Rollover Contributions are not permitted.

2. ☐ In-Plan Roth Rollover Contributions are permitted as of ______________________________
(Enter a date not earlier than November 1, 2011 for plans already in the form of the ADP Prototype Plan. Enter a date not earlier than September 28, 2010 if Plan provided for an In-Plan Roth Rollover Contribution prior to amendment and restatement in the form of the ADP Prototype Plan.)

3. ☐ In-Plan Roth Rollover Contributions are no longer permitted as of *(specify date)* ____________________.

VI. VESTING (Plan Article IV)

A. Vesting Schedule

Each Participant whose Employment terminates for reasons other than death, Disability, or attainment of Normal Retirement Age or Early Retirement ***(if elected in Section VII)***, is entitled to a nonforfeitable right to his Employer Contribution Accounts based on the following schedules:

1. MATCHING CONTRIBUTIONS
Must check one box in a. and one box in b.

a. Matching contributions other than ADP Test Traditional Safe Harbor Matching Contributions and ADP Test QACA Safe Harbor Matching Contributions:
(Note: ADP Test Traditional Safe Harbor Contribution accounts are fully vested (as provided for in the Prototype Plan base Plan document.) This Section VI.A.1.a does not apply to ADP Test Traditional Safe Harbor Matching Contributions or ADP Test QACA Safe Harbor Matching Contributions. Select vesting schedule in effect for any Matching Contributions <u>other than</u> ADP Test Traditional Safe Harbor Matching Contributions or ADP Test QACA Safe Harbor Matching Contributions that are, or have previously been, provided for. Must check one box from (i) through (v). Except as may be provided under Section VI.A.3, only one vesting schedule may be selected for such Matching Contributions. If Graded Vesting Schedule 2 is selected, vesting schedule must be at least as favorable as Graded Vesting Schedule 1 for each Year of Vesting Service and percentages must be in whole numbers. Only select Item (v) if Plan never provided for such Matching Contributions.

(i) ☐ Immediate 100% nonforfeitability.

(ii) ☐ 100% nonforfeitability after 3 Years of Vesting Service.

(iii) ☐ Graded Vesting Schedule 1.

(iv) ☐ Graded Vesting Schedule 2.

(v) ☑ Not applicable because Matching Contributions (other than ADP Test Traditional Safe Harbor Matching Contributions, if any, which are required to be 100% vested or ADP Test QACA Safe Harbor Matching Contributions (addressed below)) are not and have never been provided for under the Plan.

Graded Vesting Schedule 1

Years of Vesting Service	Nonforfeitable Percentage
Less than 2	0%
At least 2, but less than 3	20%
At least 3, but less than 4	40%
At least 4, but less than 5	60%
At least 5, but less than 6	80%
6 or more	100%

Graded Vesting Schedule 2

Years of Vesting Service	Nonforfeitable Percentage	
Less than 1	________________	
At least 1, but less than 2	________________	
At least 2, but less than 3	________________	Not less than 20%
At least 3, but less than 4	________________	Not less than 40%
At least 4, but less than 5	________________	Not less than 60%
At least 5, but less than 6	________________	Not less than 80%
6 or more	100%	

b. ADP Test QACA Safe Harbor Matching Contributions ***(select one)***

(i) ☑ 100% immediate vesting

(ii) ☐ 100% after two years of Vesting Service

(iii) ☐ Modified:

Years of Vesting Service	Nonforfeitable Percentage
Less than 1	_______________%
At least 1, but less than 2	_______________%
2 or more	100 %

(iv) ☐ Not applicable because ADP Test QACA Safe Harbor Matching Contributions are not and have never been provided for under the Plan.

2. **NON-ELECTIVE CONTRIBUTIONS**

a. Nonelective Contributions other than ADP Test Traditional Safe Harbor Nonelective Contributions and ADP Test QACA Safe Harbor Nonelective Contributions. ***Must check one box from (i)-(v).***
(Note: ADP Test Traditional Safe Harbor Contribution accounts are fully vested (as provided for in the Prototype Plan base Plan document.) This Section VI.A.2.a does not apply to ADP Test Traditional Safe Harbor Nonelective Contributions or ADP Test QACA Safe Harbor Nonelective Contributions. Select vesting schedule in effect for any Nonelective Contributions other than ADP Test Traditional Nonelective Contributions or ADP Test QACA Nonelective Contributions that are, or have previously been, provided for. Must check one box from (i) through (v). Except as may be provided under Section VI.A.3, only one vesting schedule may be selected for all such Nonelective Contributions. If Graded Vesting Schedule 2 is selected, vesting schedule must be at least as favorable as Graded Vesting Schedule 1 for each Year of Vesting Service and percentages must be in whole numbers. Only select Item (v) if Plan never provided for such Nonelective Contributions.)

(i) ☑ immediate 100% nonforfeitability.

(ii) ☐ 100% nonforfeitability after 3 Years of Vesting Service.

(iii) ☐ Graded Vesting Schedule 1.

(iv) ☐ Graded Vesting Schedule 2.

(v) ☐ Not applicable because Nonelective Contributions (other than ADP Test Traditional Safe Harbor Nonelective Contributions, if any, which are required to be 100% vested or ADP Test QACA Safe Harbor Nonelective Contributions (addressed below)) are not and have never been provided for under the Plan.

Graded Vesting Schedule 1

Years of Vesting Service	Nonforfeitable Percentage
Less than 2	0%
At least 2, but less than 3	20%
At least 3, but less than 4	40%
At least 4, but less than 5	60%
At least 5, but less than 6	80%
6 or more	100%

Graded Vesting Schedule 2

Years of Vesting Service	Nonforfeitable Percentage	
Less than 1	________________	
At least 1, but less than 2	________________	
At least 2, but less than 3	________________	Not less than 20%
At least 3, but less than 4	________________	Not less than 40%
At least 4, but less than 5	________________	Not less than 60%
At least 5, but less than 6	________________	Not less than 80%
6 or more	100%	

b. ADP Test QACA Safe Harbor Nonelective Contributions ***(select one)***

(i) ☐ 100% immediate vesting

(ii) ☐ 100% after two years of Vesting Service

(iii) ☐ Modified:

Years of Vesting Service	Nonforfeitable Percentage
Less than 1	_______%
At least 1, but less than 2	_______%
2 or more	100 %

(iv) ☑ Not applicable because ADP Test QACA Safe Harbor Nonelective Contributions are not and have never been provided for under the Plan.

3. **PLAN MERGER VESTING PROVISIONS.** The following vesting provisions apply only to Plan participants who were participants in plans merged into the Plan. ***(Note: Must satisfy Code §411(a), be definitely determinable, not discriminate in favor of Highly Compensated Employees and not violate Code §401(a)(4). Attach an additional sheet if necessary. Provision should be completed if there are special vesting provisions applicable to a plan merger.)***:

____
____
____
____
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____
____

B. Vesting Service
Choose one:

1. ☑ All Years of Service are credited to determine a Participant's Vesting Service.

2. ☐ All Years of Service are credited to determine a Participant's Vesting Service except Years of Service before the Company maintained this Plan or a predecessor plan.

3. ☐ Not applicable, either because 100% immediate vesting applies to BOTH Nonelective and Matching Contributions, or because such employer contributions (other than ADP Test Traditional Safe Harbor employer contributions, if any, which are required to be 100% vested) are not and have never been provided for in the Plan.
(Must be elected either if 100% vesting applies to both Nonelective Contributions and Matching Contributions or if employer contributions are not and have never been provided. Section VI.B.3 is not intended to obligate an employer who elects it to 100% vest any future employer contributions.)

C. Vesting Computation Period/Method of Credited Vesting Service

(Select one option from Section VI.C for all Plans. Select the existing Vesting Computation Period for amended and restated Plans. Select only option 1. or option 4 in Section VI.C. for ALL new Plans, unless instances of prospective trust to trust transfers or plan mergers require otherwise for administrative reasons.)

1. ☐ Employment year. This is the 12 month period beginning on date of hire. The method for crediting Vesting Service will be elapsed time.

2. ☑ Plan Year. The method for crediting Vesting Service will be based on Hours of Service .

   And Hours of Service will be determined as follows (if no election is made, equivalency method is deemed elected):

   a. ☐ Equivalency Method. 190 Hours of Service will be credited for each month in which an Hour of Service is credited.

   b. ☑ Actual Hours Method. Employee will be credited with the actual Hours of Service the Employee completes with the Company or an Affiliate or the number of Hours of Service for which the Employee is paid (or entitled to payment) by the Company or an Affiliate.

3. ☐ Employment year. This is the 12 month period beginning on date of hire. The method for crediting Vesting Service will be based on Hours of Service with 190 Hours of Service credited for each month in which an Hour of Service is credited.

4. ☐ Not applicable, either because 100% immediate vesting applies to BOTH Nonelective and Matching Contributions, or because such employer contributions (other than ADP Test Traditional Safe Harbor employer contributions, if any, which are required to be 100% vested) are not and have never been provided for in the Plan.
(Must be elected either if 100% vesting applies to both Nonelective Contributions and Matching Contributions or if employer contributions are not and have never been provided. Section VI.C.4. is not intended to obligate an employer who elects it to 100% vest any future employer contributions.)

VII. EARLY RETIREMENT

Upon attaining his or her Early Retirement Date, a Participant shall be fully vested in his or her Employer Contribution Account.
Must select A or B:

A. ☑ No Early Retirement Date.

B. ☐ To be eligible for Early Retirement, a Participant must have reached age ______.

VIII. DISABILITY

Choose one of the following definitions:
(Note: For an amended and restated Plan, if Disability definition from the Plan prior to amendment and restatement does not appear in this Section VIII, please specify the definition in "Other".)

A. ☐ Becoming eligible for disability benefits under the Employer's long term disability plan.

B. ☐ Becoming eligible for disability benefits under the Social Security Act.

C. ☑ Inability to engage in any substantial gainful activity by reason of any medically determined physical or mental impairment that can be expected to result in death or which has lasted or can be expected to last for a continuous period of not less than 12 months.

D. ☐ Total and permanent inability to meet the requirements of the Participant's customary Employment which can be expected to last for a period of not less than 12 months.

E. ☐ Other (must be uniform and nondiscriminatory)____

____

____

IX. ANNUAL ADDITION LIMITATION ELECTIONS (Plan Appendix B)

Does the Company or any Affiliate maintain, or has the Company or any Affiliate ever maintained, another qualified plan in which any Participant in this Plan is (or was) a participant or could possibly become a participant?
(Complete Section IX.A ONLY if the answer to this question is "Yes." If the answer to this question is "No," select "No" and skip to Section X. Note: regardless if Yes or No elected, must complete Top-Heavy election (X.A.))

☐ Yes

☑ No

A. If a Participant is or was a participant under another qualified defined contribution plan, other than a Master or Prototype Plan, maintained by the Company or an Affiliate, or if the Employer maintains a welfare benefit fund as defined in Code §419(e) or an individual medical account as defined in Code §415(l)(2) under which amounts are treated as Annual Additions (choose one) ***(Note: Determine whether Section A applies to the Company. Complete Section IX.A ONLY if the answer to the above question is "Yes".)***:

1. ☐ the provisions of Section B.3.2 through B.3.4 of the Plan apply as if the other plan were a Master or Prototype Plan.

2. ☐ the plans will limit Annual Additions to the maximum amount permitted under Section B.3.1 of the Plan and will reduce any Excess Amounts as follows (choose one):

   a. ☐ by reducing contributions under this Plan.

   b. ☐ by reducing contributions under the other plans (only applicable if plans have not terminated).

3. ☐ Not applicable. Other plan was a Master or Prototype Plan.

The methods described in Section IX(A) must preclude Employer discretion.

X. TOP-HEAVY ELECTIONS (Plan Appendix C)

A. The minimum top-heavy contribution will be allocated to
Must be completed for all Plans. Select 1 or 2:

1. ☑ all non-Key Employees who are Eligible Participants employed by the Employer on the last day of the Plan Year.

2. ☐ all Eligible Participants employed by the Employer during the Plan Year.

(Complete remainder of Section X if item A under Section IX was completed.)

B. If a Participant was a participant in any other plan previously maintained by the Company or Affiliate, check this box ☐.

C. If a Participant also participates in another defined contribution plan, the minimum contribution of 3% of Compensation is provided under ***(choose one):***
(Select which plan will provide the minimum contribution.)

1. ☐ this Plan.

2. ☐ the other defined contribution plan. The name of the other defined contribution plan is__________________________ ____.

D. If a Participant also participates in a qualified defined benefit plan ***(choose one from Option D.1 and one from Option D.2):***

1. the following will be used to determine the top-heavy status of the aggregated plans:

   a. ☐ the interest rate is _________%, the mortality table is _____________________, (Assumptions used must be reasonable, in accordance with Treas. Reg. Section 1.416-1 (T-26).)

   b. ☐ the interest rate and mortality table specified to determine "present value" for top-heavy purposes in the defined benefit plan,

2. and the requirements under Code §416(c) are satisfied by providing:

   a. ☐ a minimum contribution under this Plan in an amount equal to at least 5% of Compensation.

   b ☐ a minimum accrued benefit under the qualified defined benefit plan.

E. If a Participant also participates in another defined contribution plan and also participates in a qualified defined benefit plan ***(choose one from option E.1 and one from option E.2):***

1. the following will be used to determine the top-heavy status of the aggregated plans:

   a. ☐ the interest rate is _________%, the mortality table is _____________________,(Assumptions used must be reasonable, in accordance with Treas. Reg. Section 1.416-1 (T-26).)

   b. ☐ the interest rate and mortality table specified to determine "present value" for top-heavy purposes in the defined benefit plan,

2. and the requirements under Code §416(c) are satisfied by providing:

   a. ☐ a minimum contribution under the other defined contribution plan in an amount equal to at least 5% of Compensation.

   b. ☐ a minimum contribution under this Plan in an amount equal to at least 5% of Compensation.

   c. ☐ a minimum accrued benefit under the qualified defined benefit plan.

XI. LOANS

Choose one of the following:

A. ☑ Participants may borrow from their Participant 401(k) Account and Employer Contribution Account and may have the following number of loans outstanding at any time:

1. ☑ one
2. ☐ two
3. ☐ three

B. ☐ Participants will not be able to borrow from their Accounts under the Plan.

XII. EACA/QACA PERMISSIBLE WITHDRAWALS

Unless otherwise elected below, the Plan will permit Participant permissible withdrawals within 90 days of a Participant's first EACA or QACA Automatic Deferral.

(Select A or B only if applicable.)

A. ☐ No. Permissible withdrawals will not be available

B. ☑ Permissible withdrawals will be available within 90 days ***(may not be less than 30 nor more than 90 days)*** of a Participant's first EACA or QACA Automatic Deferral.

XIII. FORMS OF PAYMENT

Distributions under the Plan may be made in the form of lump sums, installments over a period certain, partial withdrawals and, if the Company has a Group Annuity in place that provides for the annuitization of Plan benefits, in any form of Annuity or installment payment over a term certain available under the Group Annuity.

Pursuant to Plan Section 5.11 and 9.2.1(d), annuity payment forms or other forms of payment that are not otherwise integral to the basic plan document will not be available under the Plan except as provided below ***(Select XIII.A. and/or XIII.B., if applicable. Must select XIII.A if the Plan holds amounts attributable to a frozen money purchase pension plan or target benefit plan.)***:

A. ☐ **Apply for account balances that contain amounts attributable to a frozen money purchase pension plan or target benefit plan that are required to be subject to the survivor annuity rules.** Annuities are the normal form of distribution for participants with account balances containing such amounts.

B. ☐ **Apply for account balances that contain benefits, rights and features that the Company has voluntarily elected to preserve, as set forth below.** Any Annuity forms of payment so preserved will be an optional form of payment, the normal form of payment shall be a lump sum, and the joint and survivor rules of Code Sections 401(a)(11) and 417 will apply only if an annuity form of payment is selected by a Participant, as described in Plan Section 6.1.(c). ***(If XIII.B is selected, list the preserved Annuity forms of payment in XIII.D.)***

C. ☐ If XIII.A and/or XIII.B. is selected, the qualified joint and survivor annuity for a married Participant will be a Joint and 50% Survivor Annuity unless otherwise selected below:

1. ☐ Joint and 100% survivor annuity.
2. ☐ Joint and 75% survivor annuity.
3. ☐ Joint and ______% (may not be less than 50%) survivor annuity.

D. ☐ If XIII.A and/or XIII.B is selected, the following optional forms of payment are preserved under the Plan ***(List any preserved Annuity forms of payment in Item XIII.D below.)***

____
____
____
____
____
____
____
____
____
____
____
____
____

(Check XIII.E, if applicable):

E. ☑ All annuity payment forms or other forms of payment that are not otherwise integral to the basic plan document have been removed in accordance with Plan Sections 5.11 and 9.2.1(d).

XIV. MISCELLANEOUS

A. Inquiries

If you have any questions about the legal and tax implications of adopting the Plan, you should consult with your attorney. However, if you have any questions about either the Prototype Plan or the Adoption Agreement, please write to the sponsoring organization at the following address:

ADP, LLC
Retirement Services
71 Hanover Road
Florham Park, NJ 07932
Attn: Prototype Coordinator
973.712.2000

B. Notification

The Prototype Sponsor will notify you as an adopting Company of any amendments made to the Plan, or the discontinuance or abandonment of the Plan, unless services provided by a related company of ADP, LLC are discontinued.

C. Cautionary Statement

It is important that you complete the Adoption Agreement with great care. Failure to fill out the Adoption Agreement properly may result in disqualification of the Plan.

D. Reliance on Opinion Letter

The adopting Company may rely on an opinion letter issued by the Internal Revenue Service as evidence that the Plan is qualified under section 401 of the Internal Revenue Code only to the extent provided in Revenue Procedure 2011-49.

The Company may not rely on the opinion letter in certain other circumstances or with respect to certain qualification requirements, which are specified in the opinion letter issued with respect to the Prototype Plan and in Revenue Procedure 2011-49.

In order to have reliance in such circumstances or with respect to such qualification requirements, application for a determination letter must be made to Employee Plans Determinations of the Internal Revenue Service.

This Adoption Agreement may be used only in conjunction with Basic Plan Document No. 06.

Signature of Authorized Officer: ______________________________

Name (Please Print): ______________________________

Title: ______________________________

Date Signed: ______________________________

(Generally, an Officer is an administrative executive of the Company who is in regular and continued service. "Date Signed" is the date the Adoption Agreement is being executed. Date signed must be no later than the last day of the Plan Year for which the Adoption Agreement is effective, except as otherwise permitted under the Code or IRS guidance.)

I hereby certify that the following entities by appropriate corporate or analogous acts, have elected to become Participating Affiliates (as defined within Section 1.1.54 of the basic Plan document) in the Plan and the Company has consented thereto in writing.

Participating Affiliate(s):

____

____

____

____

____

____

____

____

____

____

____

____

Adoption Agreement

Automatic Data Processing Prototype 401(k) and Profit Sharing Plan

Nonstandardized 401(k) Adoption Agreement

(001)

Upon acceptance by the Trustee, the undersigned company adopts the Automatic Data Processing Prototype 401(k) and Profit Sharing Plan (the "Plan") incorporated by this reference, agrees to the terms of the Plan, certifies the accuracy of the following information, and makes the following elections under the Plan:

I. COMPANY AND PLAN REGISTRATION INFORMATION

Note: All Affiliates as defined in Article I of the basic Plan document who adopt this Plan must be indicated on the last page of this Agreement.

A. **Company Information**. Complete this item based on the lead Employer. ***(Fill in exact legal name, and complete identifying information.)***

1. Name and address of Company:

Wallace Supply, LLC

2609 Dearborn St

Easton PA 18045

2. Telephone number: (585) 482 - 8000.

3. Type of entity ***(choose one)***:
(Note: State or Local Government option is only available to permissibly grandfathered entities. "Other" must be a legal entity recognized under federal income tax laws).

- ☐ Sole Proprietorship
- ☐ Corporation
- ☐ Tax Exempt
- ☑ Limited Liability Company
- ☐ State or Local Government
- ☐ Partnership
- ☐ S Corporation
- ☐ Indian Tribe
- ☐ Limited Liability Partnership
- ☐ Other ***(specify)*** ________________

4. Employer Identification Number: 45-2967608.

B. **Plan Information**

1. Name of Plan: Wallace Supply, LLC 401(k) Profit Sharing Plan.
(For example, ABC, Inc. 401(k) Plan.)

2. Plan Number: 001.
(Use the plan number which is to be used for IRS reporting purposes, such as Form 5500, and Form 1099-R. For example, the first qualified retirement plan for the Company should be 001.)

3. Original Effective Date of this Plan: 01/01/2004.
(Complete this item for ALL Plans. Fill in the date the provisions of this Plan first become/became applicable. May not be earlier than the first day of the first Plan Year. The first day of the first Plan Year may not be earlier than the date the Company is established. Elective Deferrals may not relate to Compensation that is currently available prior to the adoption or Effective Date of the Plan.)

4. a. ☑ If applicable, the Effective Date of this amendment and restatement: 01/01/2022.
(Select this item for amended and restated Plans other than PPA restatements by current clients of the Prototype Sponsor. Date entered in I.B.4.a may not be earlier than the first day of the plan year in which restatement is executed, except as otherwise permitted under the Code or IRS guidance.)

b. ☐ **PPA RESTATEMENT (*Select this item only for* a *plan that is a current client of the Prototype Sponsor restating for PPA*):** This is an amendment and restatement designed to bring the Plan into compliance with the Pension Protection Act of 2006 ("PPA") and other legal requirements. The Effective Date of this amendment and restatement shall be the first day of the month following the date on which this amendment and restatement is executed; provided that if this amendment and restatement is executed in the last month of the PPA restatement adoption period established by the Internal Revenue Service for preapproved plans, the effective date of this amendment and restatement shall be the last day of said PPA restatement adoption period.

C. Plan Administration

1. Plan Year (Plan Article I) means the calendar year.

   If applicable, there will be a short Plan Year commencing on ____________ and ending on 12/31/______.
   (This item may be completed only for amended and restated Plans with an existing noncalendar year Plan Year; for a newly established Plan with an effective date other than 1/1 that contains a Traditional 401(k) Safe Harbor Plan or QACA; for a non-Safe Harbor, non-mirror spinoff plan; or for new Plans started in the year the business is established.)

2. Limitation Year means the Plan Year, unless otherwise specified here: ____________ .
   (Complete this item only if (a) the Company or its Affiliates have any other tax-qualified plans AND, (b) the limitation year of the other plan(s) is not the calendar year.)

II. ELIGIBILITY AND PARTICIPATION REQUIREMENTS

A. Eligible Employees (Plan Section 1.1.25)
Must choose either 1 or 2:

1. ☐ All Employees of an Employer are eligible to participate in the Plan.

2. ☑ All Employees of an Employer are eligible to participate in the Plan, <u>except</u>
   Check each appropriate box (a-g) to specify excluded employee groups, if applicable.

   a. ☐ Salaried Employees.

   b. ☐ Hourly Paid Employees.

   c. ☐ Any nondiscriminatory classification of Employees employed in or by one or more specified divisions, plants, locations, job categories, or other identifiable groups of Employees as determined by the Board of Directors. Please specify:
   (Note: Under Treasury Regulations, part-time and seasonal employment is not a nondiscriminatory classification. This item should not be completed with a definition that by its terms defines an excluded classification as including Non-Highly Compensated Employees with the lowest amount of compensation and/or the shortest periods of service.)

   ____

   ____

   d. ☐ Employees included in a bargaining unit covered by a collective bargaining agreement with the Employer in the negotiation of which retirement benefits were the subject of good faith bargaining (unless the bargaining agreement provides for participation in the Plan).
   (For a Plan that includes union employees, specify whether less than all union employees are included. For example: If the Plan is set-up for employees in Union X, but employees in Union Y are excluded, Union Y should be specified.)

   ____

   ____

   e. ☐ Employees covered under any other tax-qualified retirement plan with respect to which the Employer is obligated to contribute. Please specify:
   (Specify the retirement plan, if applicable. For example: XYZ, Inc. Pension Plan.)

   ____

   ____

   f. ☐ Leased Employees.

   g. ☑ Employees not required to be taken into account for nondiscrimination testing purposes under Code §410(b)(6)(C) but only during the Code §410(b)(6)(C) transition period.
   (Note: If selected, in the event of a corporate acquisition, employees of the acquired company will be excluded from participation in the Plan for a period not to exceed two years, as determined by the acquisition date and Plan Year.)

B. Minimum Age for Participation (Plan Section 2.1.1)
Choose one:

1. ☐ No minimum age requirement.

2. ☑ After reaching age 21 (not to exceed 21).

C. <u>Minimum Service for Participation</u> (Plan Section 2.1.1)
<u>Choose one:</u>

1. ☐ No minimum service requirement.

2. ☑ After completing one **Year of Eligibility Service**. ***(If one Year of Eligibility Service is selected, then Employees may begin participation on the first day of the month after a 12 consecutive month period (as specified in Plan Section 1.1.84) in which they complete 1,000 Hours of Service.)***

3. ☐ After completing ________ (not to exceed 6) **Months of Service**. ***(If Months of Service is selected, a whole number must be entered within this option . An Employee is credited for each month during which he performs one Hour of Service. No additional Hour of Service requirements can be chosen if Months of Service is elected.)***

III. COMPENSATION (Plan Section 1.1.17)

A. Compensation Exclusions

Compensation is all Compensation paid to a Participant during a Plan Year in accordance with Article I.

Except for (a) nondiscrimination testing under Code §401(k)(3) (the Actual Deferral Percentage test) and 401(m) (the Average Contribution Percentage test), (b) allocating a cross-tested Nonelective Contribution under Plan Section 3.1, (c) computing the minimum contribution under Appendix C, and (d) determining Limitation Compensation under Appendix B, the following items are excluded from Compensation.
(Check each appropriate box to specify type(s) of excluded compensation. If one or more exclusions under this Section III.A are selected, the definition of Compensation could violate Code §414(s) nondiscrimination rules. <u>IMPORTANT NOTE: Traditional Safe Harbor 401(k) Plans and QACAs must use a nondiscriminatory definition of Compensation under Code §414(s) and are strongly cautioned against excluding items from the Plan's definition of Compensation.</u>

☐ overtime

☐ bonuses

☐ commissions

☐ severance pay received before Participant separates from service

☐ dependent care

☐ company car

☐ employee business expense

☐ moving expense

☐ nonqualified plan distributions

☐ other noncash fringe benefits

☐ all of the above

B. Compensation for Initial Year of Participation

For an Employee's first year of participation, Compensation shall be recognized for purposes of allocation of Matching Contributions and Nonelective Contributions (other than the required minimum top-heavy contribution) as of ***(choose one)***:

1. ☐ the first day of the Plan Year.

2. ☑ the Participant's Entry Date with respect to the Plan component for which Compensation is being determined.

IV. SAFE HARBOR PLAN STATUS

A. Traditional Safe Harbor 401(k) Plan (Plan Appendix E)
Must select either 1 or 2. If no election is made, option 1 is deemed elected.

1. ☑ Traditional Safe Harbor 401(k) Plan is NOT elected.

2. ☐ Traditional Safe Harbor 401(k) Plan is elected. ***If no election is made, option a is deemed elected.***
NOTE: if the Employer wants to determine mid-Plan Year whether to satisfy the ADP Test Traditional Safe Harbor with a Nonelective Contribution (possible Safe Harbor), complete option IV.A.2 and elect options V.C.2 and V.D.2.a(ii).]

 a. ☐ ADP Test Traditional Safe Harbor and ACP Test Traditional Safe Harbor will be met. (See contribution requirements in Plan Sections E.4 and E.5.)

 b. ☐ Only ADP Test Traditional Safe Harbor will be met. (See contribution requirements in Plan Section E.4.)

B. Qualified Automatic Contribution Arrangement ("QACA") (Plan Appendix F).
Must select either 1 or 2. If no election is made, option 1 is deemed elected.

1. ☐ QACA is NOT elected.

2. ☑ QACA is elected. QACA Effective Date: 01/01/2020 ***(May not be earlier than January 1, 2008. QACA provisions must be elected before the first day of the Plan Year for which they first apply. The effective date may be left blank if the QACA Effective Date is (1) the same as the effective date of the Plan or of a restatement, or (2) if this is not a restatement for PPA, earlier than the restatement effective date.).*** (If no election is made, option a is deemed elected.)

 a. ☑ ADP Test QACA Safe Harbor and ACP Test QACA Safe Harbor will be met. (See contribution requirements in Plan Sections F.4, F.8 and F.9.)

 b. ☐ Only ADP Test QACA Safe Harbor will be met. (See contribution requirements in Plan Sections F.4 and F.8.)

3. ☐ QACA Termination Date ***(leave blank if not applicable)***: QACA provisions no longer apply. The QACA provisions no longer apply effective as of: *(specify date)* ___________________.

V. CONTRIBUTIONS (Plan Article III and Appendices E, F, and G, as applicable).
(Note: The sum of contributions under the Plan cannot exceed the permissible limits under the Code.)

A. Elective Deferrals
Complete 1 through 4. Complete 5, if applicable.
Deferral Limits/Roth Availability

1. The minimum percentage of Compensation a Participant may elect to be treated as an Elective Deferral (including Roth Elective Deferrals, if applicable) is 1 %,
(Note: The minimum will not be less than 1%. Percentages must be in whole numbers.)

 and the maximum percentage of Compensation a Participant may elect to be treated as an Elective Deferral (including Roth Elective Deferrals, if applicable) is 90 %.
 (Note: The maximum percentage is 90%. Federal and state income tax withholding and other deductions from employee pay should be taken into account in determining the maximum percentage.)

2. Roth Elective Deferrals will be permitted under the Plan. ***If no election is made, "no" is deemed elected.***

 ☑ Yes. ☐ No.

Automatic Contribution Elections

3. Automatic Contribution Arrangement (Non-EACA, Non-QACA).
Choose a or complete b and c. If no election is made, option a is deemed elected.

a. ☑ Traditional Automatic Contribution Arrangement will not be allowed under this Plan.

b. The following will be automatically enrolled in the Plan as a Participant:

(i) ☐ Each Eligible Participant will be automatically enrolled in the Plan as a Participant.

(ii) ☐ Each Eligible Participant with an Entry Date first occurring on or after *(specify date)* _____________ will be automatically enrolled in the Plan as a Participant.

c. Automatic deferral provisions
Complete (i) or (ii). Percentages must be in whole numbers.

(i) ☐ The percentage of Compensation that will be deferred as a Pre-Tax Elective Deferral on the Participant's behalf is _____%.

(ii) ☐ The percentage of Compensation that will be deferred on the Participant's behalf as a Pre-Tax Elective Deferral is _____% and will increase by ____ ***(enter 1, 2, or 3)*** percentage point(s) each year up to a maximum of _____%. Such increases in a Participant's automatic enrollment deferral percentage shall be effective as soon as administratively feasible beginning on or after ***(check one)***:

(A) ☐ The first day of each succeeding Plan Year.

(B) ☐ Each succeeding anniversary date following the date that the Participant's automatic enrollment deferrals first were implemented.

(C) ☐ The first day of _____________ ***(insert name of a calendar month)*** and the first day of said month in each succeeding calendar year.

4. Eligible Automatic Contribution Arrangement ("EACA")
Choose one in all cases. If EACA is not elected, select option a(i). If no election is made, option a(i) is deemed selected.

a. EACA Election.

(i) ☑ EACA is not elected.

(ii) ☐ EACA is elected. EACA Effective Date:_____________________ ***(May not be earlier than January 1, 2008. EACA provisions must be elected before the first day of the Plan Year for which they first apply. The effective date may be left blank if the EACA Effective Date is (1) the same as the effective date of the Plan or of a restatement, or (2) if this is not a restatement for PPA, earlier than the restatement effective date.)***.

(iii) ☐ EACA is terminated ***(leave blank if not applicable or if the Plan previously terminated an EACA effective as of a date before the date the Plan first converts into the ADP Program)***: The EACA provisions no longer apply effective as of *(specify date)*: _____________ .

b. Eligible Employees Under the EACA.

Eligible Employees who become Eligible Participants on or after the EACA Effective Date. The EACA Automatic Deferral Provisions apply to all Eligible Employees who become Participants on and after the EACA Effective Date.

(Complete option (i) below if the Plan is adding a new EACA feature or is a newly-established plan. Complete option (ii) below only if the Plan's EACA feature was already in existence and this Adoption Agreement merely documents the terms of, or amends, the existing EACA.)

(i) New EACA: Eligible Employees who became Eligible Participants prior to the EACA Effective Date. The EACA Automatic Deferral Provisions apply as of the EACA Effective Date to Eligible Employees who became Eligible Participants prior to the EACA Effective Date as follows ***(If the Company is establishing a new EACA by executing this Adoption Agreement, this section must be completed; otherwise, this section may be left blank.)***:

(A) ☐ Eligible Participants not contributing. All such Eligible Participants, who on the EACA Effective Date are not deferring any amount and who did not make a timely Affirmative Election to not contribute Elective Deferrals in connection with implementation of the EACA (regardless of any prior Affirmative Election to not contribute Elective Deferrals) will be subject to the EACA Automatic Deferral Provisions.

(B) ☐ No existing Affirmative Election. All Eligible Participants, except those who have in effect an Affirmative Election on the EACA Effective Date, including an Affirmative Election to not make Elective Deferrals, will be subject to the EACA Automatic Deferral Provisions.

(C) ☐ Election of at least EACA Automatic Deferral amount. All such Eligible Participants who (1) do not have in effect an Affirmative Election on the EACA Effective Date in an amount which is at least equal to the EACA Automatic Deferral Percentage, and (2) did not make a timely Affirmative Election to contribute Elective Deferrals in an amount less than the EACA Automatic Deferral Percentage (including an election to not contribute) in connection with implementation of the EACA will be subject to the EACA Automatic Deferral Provisions.

(D) ☐ Exclusion of Eligible Employees who became Eligible Participants prior to the EACA Effective Date. The EACA Automatic Deferral Provisions will only apply to Eligible Employees who first become Eligible Participants on or after the EACA Effective Date.
(NOTE: If option D is selected, the six-month period for relief from the excise tax under Code §4979(f)(1) will not apply.)

(E) ☐ N/A. The EACA is being established at the time a new plan is being established.

(ii) Existing EACA: Eligible Employees who became Eligible Participants prior to the EACA Effective Date. The EACA Automatic Deferral Provisions apply as of the EACA Effective Date to Eligible Employees who became Eligible Participants prior to the EACA Effective Date as follows
(If this Adoption Agreement merely documents the terms of, or amends, an existing EACA, select option (A) or (B). If neither option is selected, option (A) is deemed selected.):

(A) ☐ See prior EACA amendment/prior Plan document for documentation of how the EACA Automatic Deferral Provisions were applied to Eligible Employees who became Eligible Participants prior to the EACA Effective Date.

(B) ☐ Exclusion of Eligible Employees who became Eligible Participants prior to the EACA Effective Date. The EACA Automatic Deferral Provisions only apply to Eligible Employees who first become Eligible Participants on or after the EACA Effective Date.
(NOTE: If option (B) is selected, the six-month period for relief from the excise tax under Code §4979(f)(1) will not apply.)

c. EACA Automatic Deferral Percentage. Unless an Eligible Participant has made an Affirmative Election, the Employer will withhold the following EACA Automatic Deferral Percentage
(Select (i) or (ii) and complete as applicable. Percentages must be in whole numbers.)**:**

(i) ☐ Constant. The Employer will withhold ________% of Compensation each payroll period.

(ii) ☐ (A) Initial percentage. The Employer will withhold ________% of Compensation each payroll period.

(B) **E**scalation of deferral percentage. This initial percentage will increase by ____ ***(enter 1, 2, or 3)*** percentage point(s) up to a maximum of _____% of Compensation each payroll period. Such increases in a Participant's EACA Automatic Deferral Percentage shall be effective ***(check one)***:

(I) ☐ As soon as administratively feasible beginning on or after the first day of each succeeding Plan Year after the Plan Year that the Participant's EACA Automatic Deferrals first were implemented under the EACA.

(II) ☐ As soon as administratively feasible beginning on or after each succeeding anniversary date following the date that the Participant's EACA Automatic Deferrals first were implemented under the EACA.

(III) ☐ As soon as administratively feasible beginning on or after the first day of each _____________ ***(insert name of a calendar month)*** following the date that the Participant's EACA Automatic Deferrals first were implemented under the EACA.

(IV) ☐ The first day of the second Plan Year after the Plan Year that the Participant's EACA Automatic Deferrals first were implemented under the EACA ***(for the first such increase)*** and the first day of each succeeding Plan Year thereafter ***(for each subsequent increase)***.

5. Qualified Automatic Contribution Arrangement ("QACA")
NOTE: Complete this Section 5 only if QACA is elected in Section IV of the Adoption Agreement. For purposes of this Section, the term Eligible Employee has the meaning set forth in Appendix F.

a. Participants subject to QACA

The QACA Automatic Deferral Provisions apply to Eligible Employees who become Participants on and after the QACA Effective Date.

(Complete option (i) below if the Plan is adding a new QACA feature or is a newly-established plan. Complete option (ii) below only if the Plan's QACA feature was already in existence and this Adoption Agreement merely documents the terms of, or amends, the existing QACA.)

(i) New QACA: Eligible Employees who became Eligible Employees prior to the QACA Effective Date. The QACA Automatic Deferral Provisions apply as of the QACA Effective Date to Eligible Employees who became Eligible Employees prior to the QACA Effective Date as follows
(Note: If the Company establishes a new QACA by executing this Adoption Agreement, this section must be completed; otherwise, this section may be left blank.):

(A) ☐ Eligible Employees Not Contributing. All Eligible Employees, who on the QACA Effective Date are not deferring any amount and who did not make a timely Affirmative Election to not contribute Elective Deferrals in connection with implementation of the QACA (regardless of any prior Affirmative Election to not contribute Elective Deferrals) will be subject to the QACA Automatic Deferral Provisions.

(B) ☐ Election of at least QACA Automatic Deferral amount. All Eligible Employees who (1) do not have in effect an Affirmative Election on the QACA Effective Date in an amount which is at least equal to the QACA Automatic Deferral Percentage, and (2) did not make a timely Affirmative Election to contribute Elective Deferrals in an amount less than the QACA Automatic Deferral Percentage (including an election to not contribute) in connection with implementation of the QACA will be subject to the QACA Automatic Deferral Provisions.

(C) ☐ No existing Affirmative Election. All Eligible Employees, except those who have in effect an Affirmative Election on the QACA Effective Date, including an Affirmative Election to not make Elective Deferrals, will be subject to the QACA Automatic Deferral Provisions.

(D) ☐ N/A. QACA is being established at the time a new plan is being established.

(ii) ☑ Existing QACA: Eligible Employees who became Eligible Employees prior to the QACA Effective Date. See prior QACA amendment/prior Plan document for documentation of how the QACA Automatic Deferral Provisions were applied to Eligible Employees who became Eligible Employees prior to the QACA Effective Date.

b. QACA Automatic Deferral Percentage. Unless an Eligible Employee makes an Affirmative Election, the Employer will withhold the following QACA Automatic Deferral Percentage

(Select (i) or (ii). Percentages must be in whole numbers.):

(i) ☐ Constant. The Employer will withhold_____% ***(must be no less than 6% and no more than 10%)*** of Compensation each payroll period.

(ii) ☑ (A) Initial Percentage. The Employer will withhold 3 **% *(must be no less than 3% and no more than 9%)*** of Compensation each payroll period**.**

(B) Escalation of deferral percentage. This initial percentage will increase by 1 ***(enter 1, 2, or 3)*** percentage point(s) up to a maximum of 6 % ***(must be no less than 6% and no more than 10%)***. Such increases in an Eligible Employee's QACA Automatic Deferral Percentage shall be effective ***(check one)***:

(I) ☑ As soon as administratively feasible beginning on or after the first day of each succeeding Plan Year after the Plan Year that the Eligible Employee's QACA Automatic Deferrals first were implemented under the QACA.

(II) ☐ As soon as administratively feasible beginning on or after each succeeding anniversary date following the date that the Eligible Employee's QACA Automatic Deferrals first were implemented under the QACA.

(III) ☐ As soon as administratively feasible beginning on or after the first day of each _____________ ***(insert name of a calendar month)*** following the date that the Eligible Employee's QACA Automatic Deferrals first were implemented under the QACA.

(IV) ☐ The first day of the second Plan Year after the Plan Year that the Eligible Employee's QACA Automatic Deferrals first were implemented under the QACA ***(for the first such increase)*** and the first day of each succeeding Plan Year thereafter ***(for each subsequent increase)***.

B. Matching Contributions.
Always complete this Section B.

1. ADP Test Traditional or QACA Safe Harbor Matching Contributions ***(choose one)***:

a. ☐ N/A. Such Matching Contributions will not be allowed under this plan.

b. ☐ ADP Test Traditional Safe Harbor Matching Contribution
(Note: Do not complete if ADP Test Traditional Safe Harbor Nonelective Contribution has been elected.)

(i) ☐ Flat percentage: Matching Contribution equals 100% on the first ______% of Participant's Compensation which is deferred as an Elective Deferral.
(Insert 4, 5, or 6% if Plan will satisfy ADP Test Safe Harbor and ACP Test Safe Harbor. If a number higher than 6% is entered, Plan will not satisfy ACP Test Safe Harbor.)

(ii) ☐ Tiered basic: Matching Contribution equals 100% on the first 3% of Participant's Compensation which is deferred as an Elective Deferral and 50% on the next 2% of Participant's Compensation which is deferred as an Elective Deferral.

(iii) ☐ Tiered enhanced: Matching contribution equals the sum of:

(A) ☐ ______ % ***(not less than 100%)*** of the Participant's Compensation which is deferred as an Elective Deferral that does not exceed ______% ***(not less than 3%)*** of the Participant's Compensation, plus ***(complete B. if applicable)***

(B) ☐ _____% of the Participant's Compensation which is deferred as an Elective Deferral that exceeds ______% of the Participant's Compensation but does not exceed ______% ***(If a number higher than 6% is entered, Plan will not satisfy ACP Test Traditional Safe Harbor)*** of the Participant's Compensation.

(Note: Complete (A) and (B) so that at any rate of Elective Deferrals the Matching Contribution is at least equal to the tiered basic ADP Test Traditional Safe Harbor Matching Contribution. The matching rate may not increase as the Elective Deferral rate increases. Do not match Elective Deferrals in excess of 6% of Compensation if Plan will satisfy both the ADP Test Traditional Safe Harbor and the ACP Test Traditional Safe Harbor.)

c. ☑ ADP Test QACA Safe Harbor Matching Contribution
(Note: Do not complete if ADP Test QACA Safe Harbor Nonelective Contribution has been elected.)

(i) ☐ Flat percentage: Matching Contribution equals 100% on the first ______% of Participant's Compensation which is deferred as an Elective Deferral.
(Insert 4, 5, or 6% if Plan will satisfy ADP Test Safe Harbor and ACP Test Safe Harbor. If a number higher than 6% is entered, Plan will not satisfy ACP Test Safe Harbor.)

(ii) ☐ Tiered basic: The sum of 100% of the Participant's Compensation which is deferred as an Elective Deferral that does not exceed 1% of the Participant's Compensation, plus 50% of the Participant's Compensation which is deferred as an Elective Deferral that exceeds 1% of the Participant's Compensation but does not exceed 6% of the Participant's Compensation.

(iii) ☑ Tiered enhanced: The sum of:

(A) ☑ 100% of the Participant's Compensation which is deferred as an Elective Deferral that does not exceed 3% of the Participant's Compensation, plus ***(complete B. if applicable)***

(B) ☑ 50% of the Participant's Compensation which is deferred as an Elective Deferral that exceeds 3% of the Participant's Compensation but does not exceed 5% of the Participant's Compensation.

(Note: Complete (A) and (B) so that at any rate of Elective Deferrals the Matching Contribution is at least equal to the tiered basic ADP Test QACA Safe Harbor Matching Contribution. The matching rate may not increase as the Elective Deferral rate increases. Do not match Elective Deferrals in excess of 6% of Compensation if Plan will

satisfy the ADP Test QACA Safe Harbor AND the ACP Test QACA Safe Harbor. If Elective Deferrals in excess of 6% of Compensation are matched, Plan will not satisfy the ACP Test QACA Safe Harbor.)

2. Matching Contributions (Other than ADP Test Traditional or QACA Safe Harbor)***(choose one)***:
(NOTE: If the Plan provides that the ACP Test Traditional or QACA Safe Harbor will be met, (1) any Matching Contribution elected below may not match Elective Deferrals in excess of 6% of Compensation; (2) rate of match may not increase as rate of Elective Deferrals increases; and (3) any Discretionary Match elected below must meet the limitations of Plan Section E.5.

   a. ☑ N/A. Such Matching Contributions will not be allowed under this plan.

   b. ☐ The Matching Contribution equals _______% on the first _______% of the Participant's Compensation which is deferred as an Elective Deferral. Matching Contributions shall be determined each payroll period.
   (First blank space: Select a whole number. Second blank space: If ACP Test Traditional or QACA Safe Harbor will be met, insert a whole number between 1 and 6%.)

   c. ☐ The Matching Contribution equals ______% on the first _____% of the Participant's Compensation which is deferred as an Elective Deferral and an additional _____% on the next _____% of the Participant's Compensation which is deferred as an Elective Deferral. Matching Contributions shall be determined each payroll period.
   (First and third blank space: Select a whole number. If ACP Test Traditional or QACA Safe Harbor will be met, rate of match may not increase as rate of Elective Deferrals increases. Second and fourth blank space: If ACP Test Traditional or Safe Harbor Safe Harbor will be met, insert a whole number between 1 and 6%.)

   d. ☐ Discretionary Match: The Employer may, in its sole discretion, contribute and allocate to each eligible Participant's Account, a percentage of the Participant's Elective Deferrals. Matching Contributions, if any, shall be determined as of the end of the Plan Year.
   (If either a Traditional Safe Harbor or QACA has been elected with a Nonelective Contribution (Section V.D.2(a) or (b) elected,) Discretionary Match must meet the limitations of Plan Section E.5.)

3. ADP Test Traditional or QACA Safe Harbor Matching Contribution Provisions (Traditional Safe Harbor 401(k) Plans and QACAs ONLY) ***(Complete Option a or Options b through d, as applicable.)***

   a. ☐ N/A. Plan does not provide for ADP Test Traditional or QACA Safe Harbor Matching Contributions.

   b. Frequency. The ADP Test Traditional or QACA Safe Harbor Matching Contribution will be applied on the following basis ***(choose one):***

      (i) ☐ at year end.

      (ii) ☑ on a payroll-by-payroll basis.

   c. True-up. ADP Test Traditional or QACA Safe Harbor Matching Contributions will be determined separately for each period specified above and

      (i) ☐ N/A, the period for determining ADP Test Traditional or QACA Safe Harbor Matching Contributions will be the Plan Year.

      (ii) ☑ "true-up" contributions will not be made.

      (iii) ☐ will be recalculated following the close of the Plan Year based on the ratio of Elective Deferrals to Compensation for the Plan Year, and "true-up" contributions will be made accordingly.

   d. Employees Eligible for ADP Test Traditional or QACA Safe Harbor Matching Contributions
   (If ADP Test Traditional Safe Harbor Contribution or QACA Safe Harbor Matching Contribution is applied on a payroll-by-payroll basis, must select option (i).)

      (i) ☑ Allocated to all Eligible Participants, whether or not Eligible Participants on the last day of the Plan Year.

      (ii) ☐ Allocated to all Eligible Participants, who are Non-Highly Compensated Employees whether or not Eligible Participants on the last day of the Plan Year.

4. Matching Contribution Provisions (Other than ADP Test Traditional or QACA Safe Harbor)
(Complete Option a or Options b and c. Complete Options d and e, if applicable.)

a. ☑ N/A. Plan does not provide for such Matching Contributions.

b. True-up. Matching Contributions determined each payroll period will be determined separately for each payroll period and

(i) ☐ N/A, the period for determining Matching Contributions will be the Plan Year.

(ii) ☐ "true-up" contributions will not be made.

(iii) ☐ will be recalculated following the close of the Plan Year based on the ratio of Elective Deferrals to Compensation for the Plan Year, and "true-up" contributions will be made accordingly.

c. Employees Eligible for Discretionary (Year-End) Matching Contributions
Complete (i), (ii), or (iii)
(NOTE: If the Plan provides that the ACP Test Traditional or QACA Safe Harbor will be met, must select either option (i) or option (i)(A) (no allocation conditions other than limiting the Matching Contribution to Non-Highly Compensated Employees may be imposed). Last day rule and service requirements do not apply to Participants who fail to satisfy the requirement as a result of death, Disability, or retirement. Last day or service requirements could cause the Plan to violate Code §410(b) coverage rules.)

(i) ☐ No "Last Day" Requirement: Allocated to Eligible Participants, whether or not employed by the Employer on the last day of the Plan Year.

and (choose one or both if applicable)***:***

(A) ☐ Limited to Non-Highly Compensated Employees.

(B) ☐ Subject to the following service requirement (select one if applicable):

(I) ☐ completion of more than ______ (not more than 500) Hours of Service if terminated from employment with the Employer during the Plan Year.

(II) ☐ completion of _________________(not more than 1,000) Hours of Service (could cause the Plan to violate Code §410(b) coverage rules).

(ii) ☐ "Last Day" Requirement: Allocated to Eligible Participants who are employed by the Employer on the last day of the Plan Year.

and (choose one or both if applicable)***:***

(A) ☐ Limited to Non-Highly Compensated Employees.

(B) ☐ Subject to completion of more than ______ (not more than 1,000) Hours of Service (could cause the Plan to violate Code §410(b) coverage rules).

(iii) ☑ Not applicable either because no Matching Contributions have been elected or because Matching Contributions are determined each payroll period.

d. If Eligible Participants must complete an Hours of Service requirement to receive a Discretionary (year-end) Matching Contribution, Hours of Service will be determined as follows ***(choose one, if applicable)***:

(i) ☐ Equivalency Method. 190 Hours of Service will be credited for each month in which an Hour of Service is credited.

(ii) ☐ Actual Hours Method. Employee will be credited with the actual Hours of Service the Employee completes with the Company or an Affiliate or the number of Hours of Service for which the Employee is paid (or entitled to payment) by the Company or an Affiliate.

e. Maximum Matching Contribution ***(optional)***:

(i) ☐ The Matching Contribution will not exceed $___________ a year.

C. Nonelective Contributions

Always complete this Section C. Choose as applicable (only 1, only 2, both 1 and 2, or only 3)(NOTE: Must check at least one box. If only V.C.1 is selected, a choice in V.D.1 must be selected. If only V.C.2 is selected, a choice in V.D.2 must be selected. If both V.C.1 and V.C.2 are selected, a choice in both V.D.1 and V.D.2 must be selected. In the latter case, the Nonelective Contribution that is not an ADP Test Traditional or QACA Safe Harbor Nonelective Contribution is discretionary. If V.C.3 is selected, V.D.3 must also be selected):

1. ☑ Nonelective Contributions (other than Safe Harbor Nonelective Contributions) may be contributed at the discretion of the Company.

2. ☐ ADP Test Traditional or QACA Safe Harbor Nonelective Contributions will (or may, if elected in V.D.2.a) be made under the Plan.

3. ☐ Nonelective Contributions will not be allowed under this Plan.

D. Formula for Determining Nonelective Contributions

(Choose as applicable (from only option 1, only option 2, both option 1 and option 2, or only option 3) (NOTE: May not elect more than one choice in option 1 and one choice in option 2. If a choice is elected in both option 1 and option 2, the Nonelective Contribution elected in option 1 is discretionary. If V.C.3 is selected, V.D.3 must also be selected.):

1. Nonelective Contributions (Other than ADP Test Traditional or QACA Safe Harbor Nonelective Contributions)

   a. ☑ **Non-Integrated –** The Employer's Nonelective Contributions for each Plan Year will be allocated among Eligible Participants as elected by the Employer under Section V.E, V.F, and V.H.

   b. ☐ **Integrated --** Allocation under the Social Security Integration (permitted disparity) rules described in Section 3.1.6 of the Plan – Under this option, a larger percentage of the Nonelective Contribution is allocated to each Eligible Participant as elected by the Employer under Section V.E and V.H whose Compensation as described in Plan Section 3.1.6 is in excess of the Social Security Taxable Wage Base (that is, the "Excess Compensation"). This option is not available to an Employer with another integrated plan benefiting the same Participants.

   c. ☐ **Cross-Tested *(will require additional testing)* –** The Employer Nonelective Contribution for each Plan Year will be allocated among Participants as elected by the Employer under Section V.E, V.G, and V.H.

2. ADP Test Traditional or QACA Safe Harbor Nonelective Contributions

   a. ☐ ADP Test Traditional Safe Harbor Nonelective Contribution (Appendix E)

      (i) ☐ Fixed. Equal to ______ % of Eligible Participant's Compensation. ***(Select a whole number (minimum of 3%) and make an election in Section V.E.3.b or c.)***

      (ii) ☐ Possible. The Company may elect to make an ADP Test Traditional Safe Harbor Nonelective Contribution after a Plan Year has commenced. If this option is selected, the ADP Test Traditional Safe Harbor Nonelective Contribution will be required only for a Plan Year if the Plan is amended to provide for a "fixed" contribution in option V.D.2.a.(i) and a supplemental notice is provided to all Eligible Employees (as defined in Appendix E).

   b. ☐ ADP Test QACA Safe Harbor Nonelective Contribution (under Appendix F) equal to ___% of Eligible Participant's Compensation. ***(Select a whole number (minimum of 3%) and make an election in Section V.E.3.b or c.)***

3. ☐ Not applicable because Nonelective Contributions are not elected in V.C.

E. Employees Eligible for Nonelective Contributions

Complete option 1. Complete option 2 if applicable. Choose one from option 3.

1. Nonelective Contributions (other than ADP Test Traditional or QACA Safe Harbor Nonelective Contributions) will be ***(complete a, b, or c):***
(NOTE: Plans that provide for an allocation time interval for Nonelective Contributions in Section V.H other than the Plan Year must select option b and may neither limit the contribution to Non-Highly Compensated Employees nor impose a service requirement. Last day rule and service requirements do not apply to Participants who fail to satisfy a requirement as a result of death, Disability, or retirement. Last day or service requirements could cause the Plan to violate Code §410(b) coverage rules.):

   a. ☐ N/A. Plan does not provide for such Nonelective Contributions.

   b. ☐ No "Last Day" Requirement: Allocated to Eligible Participants, whether or not employed by the Employer on the last day of the Plan Year.

   and (choose one or both if applicable)***:***

   (i) ☐ Limited to Non-Highly Compensated Employees.

   (ii) ☐ Subject to the following service requirement (select one if applicable):

   (A) ☐ completion of more than ______ (not more than 500) Hours of Service if terminated from employment with the Employer during the Plan Year.

   (B) ☐ completion of ________________ (not more than 1,000) Hours of Service (could cause the Plan to violate Code §410(b) coverage rules).

   c. ☑ "Last Day" Requirement: Allocated to Eligible Participants who are employed by the Employer on the last day of the Plan Year.

   and (choose one or both if applicable)***:***

   (i) ☐ Limited to Non-Highly Compensated Employees.

   (ii) ☑ Subject to completion of more than 500 (not more than 1,000) Hours of Service (could cause the Plan to violate Code §410(b) coverage rules).

2. If Eligible Participants must complete an Hours of Service requirement to receive or share in an allocation of a non-Safe Harbor Nonelective Contribution, Hours of Service will be determined as follows (choose one, if applicable):

   a. ☐ Equivalency Method. 190 Hours of Service will be credited for each month in which an Hour of Service is credited.

   b. ☑ Actual Hours Method. Employee will be credited with the actual Hours of Service the Employee completes with the Company or an Affiliate or the number of Hours of Service for which the Employee is paid (or entitled to payment) by the Company or an Affiliate.

3. ADP Test Traditional or QACA Safe Harbor Nonelective Contributions will be ***(choose one)***:
(If ADP Test Traditional Safe Harbor Nonelective Contribution or QACA Safe Harbor Nonelective Contribution is applied on a per-payroll, monthly, or quarterly basis, must select option b.)

   a. ☑ N/A. Plan does not provide for ADP Test Traditional or QACA Safe Harbor Nonelective Contribution ***or*** "possible" ADP Test Traditional Safe Harbor Nonelective Contribution is elected.

   b. ☐ Allocated to all Eligible Participants, whether or not Eligible Participants on the last day of the Plan Year.

   c. ☐ Allocated to all Eligible Participants, who are Non-Highly Compensated Employees whether or not Eligible Participants on the last day of the Plan Year.

F. Allocation Method for Non-Integrated Nonelective Contributions
Choose one (if applicable): Complete Section F only if Non-Integrated formula was chosen in Section V.D.1.

1. ☑ Participant Compensation to total Compensation of all Participants eligible for Nonelective Contributions as specified in V.E.1.

2. ☐ Same dollar amount. Insert dollar amount. $__________________ *(must be uniform and nondiscriminatory)*.

3. ☐ Same dollar amount for each uniform unit of service (not to exceed one week), performed by the Employee during the Plan Year or period specified in V.H. Insert dollar amount $__________________ and unit of service _______________ *(dollar amount and unit of service must be uniform and nondiscriminatory)*.

G. Cross-Tested Allocation
Choose one (if applicable): ***Complete Section G only if cross-tested formula was chosen in Section V.D.1.***

1. ☐ Participant Group Allocation - Each eligible employee is assigned to a participant allocation group, as follows:

(Describe the objective criteria for determining the make-up of each participant allocation group. Criteria may not be subject to employer discretion, which would cause the plan to fail to have a definite allocation formula. In the case of self-employed individuals (i.e., sole proprietorships or partnerships), the requirements of §1.401(k)-1(a)(6) continue to apply, and the allocation method, including the determination of participant allocation groups, should not be such that a cash or deferred election is created for a self-employed individual as a result of application of the allocation method. The plan's eligibility provisions and participant allocation groups may not be structured to limit participation to only the shortest service and lowest paid NHCEs while excluding the other NHCEs.)

(a) ____

(b)____

(c)____

(d)____

(e)____

(f)____

(g)____

(h) ____

(i)____

(j)____

2. ☐ Age Weighted Allocation - The following assumptions will be used to calculate the equivalent benefit accrual rate. ***(Note: Standard interest rate and standard mortality table assumptions in accordance with 1.401(a)(4)-12 must be used when testing the plan for satisfaction of nondiscrimination requirements. A table of age-weighted factors (that comply with the previous sentence) may also be used.)***:

Pre-retirement Mortality _____________
Post-retirement Mortality ____________
Pre-retirement Interest ______________
Post-retirement Interest ______________

H. Allocation Time Interval for Nonelective Contributions
Nonelective Contributions shall be allocated as of the end of one of the following periods.
Choose one from option 1 and one from option 2:

1. Nonelective Contributions (other than ADP Test Traditional or QACA Safe Harbor Contributions)
(NOTE: If Plan provides for an integrated or cross-tested Nonelective Contribution, the period selected must be Plan Year.)

a. ☐ N/A. Plan does not provide for such Nonelective Contributions.

b. ☑ each Plan Year.

c. ☐ each calendar quarter within the Plan Year.

d. ☐ each calendar month within the Plan Year.

e. ☐ each payroll period within the Plan Year.

2. ADP Test Traditional or QACA Safe Harbor Contributions

a. ☑ N/A. Plan does not provide for ADP Test Traditional or QACA Safe Harbor Nonelective Contribution ***or*** "possible" ADP Test Traditional Safe Harbor Nonelective Contribution is elected.

b. ☐ each Plan Year.

c. ☐ each calendar quarter within the Plan Year.

d. ☐ each calendar month within the Plan Year.

e. ☐ each payroll period within the Plan Year.

I. In-Plan Roth Rollover Contributions
(In-Plan Roth Rollover Contributions may only be elected if the Plan provides for Roth Elective Deferrals. If no election is made, option 1 is deemed elected.)

1. ☑ In-Plan Roth Rollover Contributions are not permitted.

2. ☐ In-Plan Roth Rollover Contributions are permitted as of ______________________________
(Enter a date not earlier than November 1, 2011 for plans already in the form of the ADP Prototype Plan. Enter a date not earlier than September 28, 2010 if Plan provided for an In-Plan Roth Rollover Contribution prior to amendment and restatement in the form of the ADP Prototype Plan.)

3. ☐ In-Plan Roth Rollover Contributions are no longer permitted as of *(specify date)* ____________________.

VI. VESTING (Plan Article IV)

A. Vesting Schedule

Each Participant whose Employment terminates for reasons other than death, Disability, or attainment of Normal Retirement Age or Early Retirement ***(if elected in Section VII)***, is entitled to a nonforfeitable right to his Employer Contribution Accounts based on the following schedules:

1. MATCHING CONTRIBUTIONS
Must check one box in a. and one box in b.

a. Matching contributions other than ADP Test Traditional Safe Harbor Matching Contributions and ADP Test QACA Safe Harbor Matching Contributions:
(Note: ADP Test Traditional Safe Harbor Contribution accounts are fully vested (as provided for in the Prototype Plan base Plan document.) This Section VI.A.1.a does not apply to ADP Test Traditional Safe Harbor Matching Contributions or ADP Test QACA Safe Harbor Matching Contributions. Select vesting schedule in effect for any Matching Contributions <u>other than</u> ADP Test Traditional Safe Harbor Matching Contributions or ADP Test QACA Safe Harbor Matching Contributions that are, or have previously been, provided for. Must check one box from (i) through (v). Except as may be provided under Section VI.A.3, only one vesting schedule may be selected for such Matching Contributions. If Graded Vesting Schedule 2 is selected, vesting schedule must be at least as favorable as Graded Vesting Schedule 1 for each Year of Vesting Service and percentages must be in whole numbers. Only select Item (v) if Plan never provided for such Matching Contributions.

(i) ☐ Immediate 100% nonforfeitability.

(ii) ☐ 100% nonforfeitability after 3 Years of Vesting Service.

(iii) ☐ Graded Vesting Schedule 1.

(iv) ☐ Graded Vesting Schedule 2.

(v) ☑ Not applicable because Matching Contributions (other than ADP Test Traditional Safe Harbor Matching Contributions, if any, which are required to be 100% vested or ADP Test QACA Safe Harbor Matching Contributions (addressed below)) are not and have never been provided for under the Plan.

Graded Vesting Schedule 1

Years of Vesting Service	Nonforfeitable Percentage
Less than 2	0%
At least 2, but less than 3	20%
At least 3, but less than 4	40%
At least 4, but less than 5	60%
At least 5, but less than 6	80%
6 or more	100%

Graded Vesting Schedule 2

Years of Vesting Service	Nonforfeitable Percentage	
Less than 1	________________	
At least 1, but less than 2	________________	
At least 2, but less than 3	________________	Not less than 20%
At least 3, but less than 4	________________	Not less than 40%
At least 4, but less than 5	________________	Not less than 60%
At least 5, but less than 6	________________	Not less than 80%
6 or more	100%	

b. ADP Test QACA Safe Harbor Matching Contributions ***(select one)***

(i) ☑ 100% immediate vesting

(ii) ☐ 100% after two years of Vesting Service

(iii) ☐ Modified:

Years of Vesting Service	Nonforfeitable Percentage
Less than 1	_______________%
At least 1, but less than 2	_______________%
2 or more	100 %

(iv) ☐ Not applicable because ADP Test QACA Safe Harbor Matching Contributions are not and have never been provided for under the Plan.

2. **NON-ELECTIVE CONTRIBUTIONS**

a. Nonelective Contributions other than ADP Test Traditional Safe Harbor Nonelective Contributions and ADP Test QACA Safe Harbor Nonelective Contributions. ***Must check one box from (i)-(v).*** ***(Note: ADP Test Traditional Safe Harbor Contribution accounts are fully vested (as provided for in the Prototype Plan base Plan document.) This Section VI.A.2.a does not apply to ADP Test Traditional Safe Harbor Nonelective Contributions or ADP Test QACA Safe Harbor Nonelective Contributions. Select vesting schedule in effect for any Nonelective Contributions other than ADP Test Traditional Nonelective Contributions or ADP Test QACA Nonelective Contributions that are, or have previously been, provided for. Must check one box from (i) through (v). Except as may be provided under Section VI.A.3, only one vesting schedule may be selected for all such Nonelective Contributions. If Graded Vesting Schedule 2 is selected, vesting schedule must be at least as favorable as Graded Vesting Schedule 1 for each Year of Vesting Service and percentages must be in whole numbers. Only select Item (v) if Plan never provided for such Nonelective Contributions.)***

(i) ☑ immediate 100% nonforfeitability.

(ii) ☐ 100% nonforfeitability after 3 Years of Vesting Service.

(iii) ☐ Graded Vesting Schedule 1.

(iv) ☐ Graded Vesting Schedule 2.

(v) ☐ Not applicable because Nonelective Contributions (other than ADP Test Traditional Safe Harbor Nonelective Contributions, if any, which are required to be 100% vested or ADP Test QACA Safe Harbor Nonelective Contributions (addressed below)) are not and have never been provided for under the Plan.

Graded Vesting Schedule 1

Years of Vesting Service	Nonforfeitable Percentage
Less than 2	0%
At least 2, but less than 3	20%
At least 3, but less than 4	40%
At least 4, but less than 5	60%
At least 5, but less than 6	80%
6 or more	100%

Graded Vesting Schedule 2

Years of Vesting Service	Nonforfeitable Percentage
Less than 1	________________
At least 1, but less than 2	________________
At least 2, but less than 3	________________Not less than 20%
At least 3, but less than 4	________________Not less than 40%
At least 4, but less than 5	________________Not less than 60%
At least 5, but less than 6	________________Not less than 80%
6 or more	100%

b. ADP Test QACA Safe Harbor Nonelective Contributions ***(select one)***

(i) ☐ 100% immediate vesting

(ii) ☐ 100% after two years of Vesting Service

(iii) ☐ Modified:

Years of Vesting Service	Nonforfeitable Percentage
Less than 1	_______%
At least 1, but less than 2	_______%
2 or more	100 %

(iv) ☑ Not applicable because ADP Test QACA Safe Harbor Nonelective Contributions are not and have never been provided for under the Plan.

3. **PLAN MERGER VESTING PROVISIONS.** The following vesting provisions apply only to Plan participants who were participants in plans merged into the Plan. ***(Note: Must satisfy Code §411(a), be definitely determinable, not discriminate in favor of Highly Compensated Employees and not violate Code §401(a)(4). Attach an additional sheet if necessary. Provision should be completed if there are special vesting provisions applicable to a plan merger.)***:

____
____
____
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____

B. Vesting Service
Choose one:

1. ☑ All Years of Service are credited to determine a Participant's Vesting Service.

2. ☐ All Years of Service are credited to determine a Participant's Vesting Service except Years of Service before the Company maintained this Plan or a predecessor plan.

3. ☐ Not applicable, either because 100% immediate vesting applies to BOTH Nonelective and Matching Contributions, or because such employer contributions (other than ADP Test Traditional Safe Harbor employer contributions, if any, which are required to be 100% vested) are not and have never been provided for in the Plan.
(Must be elected either if 100% vesting applies to both Nonelective Contributions and Matching Contributions or if employer contributions are not and have never been provided. Section VI.B.3 is not intended to obligate an employer who elects it to 100% vest any future employer contributions.)

C. Vesting Computation Period/Method of Credited Vesting Service

(Select one option from Section VI.C for all Plans. Select the existing Vesting Computation Period for amended and restated Plans. Select only option 1. or option 4 in Section VI.C. for ALL new Plans, unless instances of prospective trust to trust transfers or plan mergers require otherwise for administrative reasons.)

1. ☐ Employment year. This is the 12 month period beginning on date of hire. The method for crediting Vesting Service will be elapsed time.

2. ☑ Plan Year. The method for crediting Vesting Service will be based on Hours of Service .

   And Hours of Service will be determined as follows (if no election is made, equivalency method is deemed elected):

   a. ☐ Equivalency Method. 190 Hours of Service will be credited for each month in which an Hour of Service is credited.

   b. ☑ Actual Hours Method. Employee will be credited with the actual Hours of Service the Employee completes with the Company or an Affiliate or the number of Hours of Service for which the Employee is paid (or entitled to payment) by the Company or an Affiliate.

3. ☐ Employment year. This is the 12 month period beginning on date of hire. The method for crediting Vesting Service will be based on Hours of Service with 190 Hours of Service credited for each month in which an Hour of Service is credited.

4. ☐ Not applicable, either because 100% immediate vesting applies to BOTH Nonelective and Matching Contributions, or because such employer contributions (other than ADP Test Traditional Safe Harbor employer contributions, if any, which are required to be 100% vested) are not and have never been provided for in the Plan.
(Must be elected either if 100% vesting applies to both Nonelective Contributions and Matching Contributions or if employer contributions are not and have never been provided. Section VI.C.4. is not intended to obligate an employer who elects it to 100% vest any future employer contributions.)

VII. EARLY RETIREMENT

Upon attaining his or her Early Retirement Date, a Participant shall be fully vested in his or her Employer Contribution Account.
Must select A or B:

A. ☑ No Early Retirement Date.

B. ☐ To be eligible for Early Retirement, a Participant must have reached age ______.

VIII. DISABILITY

Choose one of the following definitions:
(Note: For an amended and restated Plan, if Disability definition from the Plan prior to amendment and restatement does not appear in this Section VIII, please specify the definition in "Other".)

A. ☐ Becoming eligible for disability benefits under the Employer's long term disability plan.

B. ☐ Becoming eligible for disability benefits under the Social Security Act.

C. ☑ Inability to engage in any substantial gainful activity by reason of any medically determined physical or mental impairment that can be expected to result in death or which has lasted or can be expected to last for a continuous period of not less than 12 months.

D. ☐ Total and permanent inability to meet the requirements of the Participant's customary Employment which can be expected to last for a period of not less than 12 months.

E. ☐ Other (must be uniform and nondiscriminatory)____

____

____

IX. ANNUAL ADDITION LIMITATION ELECTIONS (Plan Appendix B)

Does the Company or any Affiliate maintain, or has the Company or any Affiliate ever maintained, another qualified plan in which any Participant in this Plan is (or was) a participant or could possibly become a participant?
(Complete Section IX.A ONLY if the answer to this question is "Yes." If the answer to this question is "No," select "No" and skip to Section X. Note: regardless if Yes or No elected, must complete Top-Heavy election (X.A.))

☐ Yes

☑ No

A. If a Participant is or was a participant under another qualified defined contribution plan, other than a Master or Prototype Plan, maintained by the Company or an Affiliate, or if the Employer maintains a welfare benefit fund as defined in Code §419(e) or an individual medical account as defined in Code §415(l)(2) under which amounts are treated as Annual Additions (choose one) ***(Note: Determine whether Section A applies to the Company. Complete Section IX.A ONLY if the answer to the above question is "Yes".)***:

1. ☐ the provisions of Section B.3.2 through B.3.4 of the Plan apply as if the other plan were a Master or Prototype Plan.

2. ☐ the plans will limit Annual Additions to the maximum amount permitted under Section B.3.1 of the Plan and will reduce any Excess Amounts as follows (choose one):

   a. ☐ by reducing contributions under this Plan.

   b. ☐ by reducing contributions under the other plans (only applicable if plans have not terminated).

3. ☐ Not applicable. Other plan was a Master or Prototype Plan.

The methods described in Section IX(A) must preclude Employer discretion.

X. TOP-HEAVY ELECTIONS (Plan Appendix C)

A. The minimum top-heavy contribution will be allocated to
Must be completed for all Plans. Select 1 or 2:

1. ☑ all non-Key Employees who are Eligible Participants employed by the Employer on the last day of the Plan Year.

2. ☐ all Eligible Participants employed by the Employer during the Plan Year.

(Complete remainder of Section X if item A under Section IX was completed.)

B. If a Participant was a participant in any other plan previously maintained by the Company or Affiliate, check this box ☐.

C. If a Participant also participates in another defined contribution plan, the minimum contribution of 3% of Compensation is provided under ***(choose one):***
(Select which plan will provide the minimum contribution.)

1. ☐ this Plan.

2. ☐ the other defined contribution plan. The name of the other defined contribution plan is__________________________
____.

D. If a Participant also participates in a qualified defined benefit plan ***(choose one from Option D.1 and one from Option D.2):***

1. the following will be used to determine the top-heavy status of the aggregated plans:

   a. ☐ the interest rate is _________%, the mortality table is _____________________, (Assumptions used must be reasonable, in accordance with Treas. Reg. Section 1.416-1 (T-26).)

   b. ☐ the interest rate and mortality table specified to determine "present value" for top-heavy purposes in the defined benefit plan,

2. and the requirements under Code §416(c) are satisfied by providing:

   a. ☐ a minimum contribution under this Plan in an amount equal to at least 5% of Compensation.

   b ☐ a minimum accrued benefit under the qualified defined benefit plan.

E. If a Participant also participates in another defined contribution plan and also participates in a qualified defined benefit plan ***(choose one from option E.1 and one from option E.2):***

1. the following will be used to determine the top-heavy status of the aggregated plans:

   a. ☐ the interest rate is _________%, the mortality table is _____________________,(Assumptions used must be reasonable, in accordance with Treas. Reg. Section 1.416-1 (T-26).)

   b. ☐ the interest rate and mortality table specified to determine "present value" for top-heavy purposes in the defined benefit plan,

2. and the requirements under Code §416(c) are satisfied by providing:

   a. ☐ a minimum contribution under the other defined contribution plan in an amount equal to at least 5% of Compensation.

   b. ☐ a minimum contribution under this Plan in an amount equal to at least 5% of Compensation.

   c. ☐ a minimum accrued benefit under the qualified defined benefit plan.

XI. LOANS

Choose one of the following:

A. ☑ Participants may borrow from their Participant 401(k) Account and Employer Contribution Account and may have the following number of loans outstanding at any time:

1. ☑ one
2. ☐ two
3. ☐ three

B. ☐ Participants will not be able to borrow from their Accounts under the Plan.

XII. EACA/QACA PERMISSIBLE WITHDRAWALS

Unless otherwise elected below, the Plan will permit Participant permissible withdrawals within 90 days of a Participant's first EACA or QACA Automatic Deferral.

(Select A or B only if applicable.)

A. ☐ No. Permissible withdrawals will not be available

B. ☑ Permissible withdrawals will be available within 90 days ***(may not be less than 30 nor more than 90 days)*** of a Participant's first EACA or QACA Automatic Deferral.

XIII. FORMS OF PAYMENT

Distributions under the Plan may be made in the form of lump sums, installments over a period certain, partial withdrawals and, if the Company has a Group Annuity in place that provides for the annuitization of Plan benefits, in any form of Annuity or installment payment over a term certain available under the Group Annuity.

Pursuant to Plan Section 5.11 and 9.2.1(d), annuity payment forms or other forms of payment that are not otherwise integral to the basic plan document will not be available under the Plan except as provided below ***(Select XIII.A. and/or XIII.B., if applicable. Must select XIII.A if the Plan holds amounts attributable to a frozen money purchase pension plan or target benefit plan.)***:

A. ☐ **Apply for account balances that contain amounts attributable to a frozen money purchase pension plan or target benefit plan that are required to be subject to the survivor annuity rules.** Annuities are the normal form of distribution for participants with account balances containing such amounts.

B. ☐ **Apply for account balances that contain benefits, rights and features that the Company has voluntarily elected to preserve, as set forth below.** Any Annuity forms of payment so preserved will be an optional form of payment, the normal form of payment shall be a lump sum, and the joint and survivor rules of Code Sections 401(a)(11) and 417 will apply only if an annuity form of payment is selected by a Participant, as described in Plan Section 6.1.(c). ***(If XIII.B is selected, list the preserved Annuity forms of payment in XIII.D.)***

C. ☐ If XIII.A and/or XIII.B. is selected, the qualified joint and survivor annuity for a married Participant will be a Joint and 50% Survivor Annuity unless otherwise selected below:

1. ☐ Joint and 100% survivor annuity.
2. ☐ Joint and 75% survivor annuity.
3. ☐ Joint and ______% (may not be less than 50%) survivor annuity.

D. ☐ If XIII.A and/or XIII.B is selected, the following optional forms of payment are preserved under the Plan ***(List any preserved Annuity forms of payment in Item XIII.D below.)***

____
____
____
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____

(Check XIII.E, if applicable):

E. ☑ All annuity payment forms or other forms of payment that are not otherwise integral to the basic plan document have been removed in accordance with Plan Sections 5.11 and 9.2.1(d).

XIV. MISCELLANEOUS

A. Inquiries

If you have any questions about the legal and tax implications of adopting the Plan, you should consult with your attorney. However, if you have any questions about either the Prototype Plan or the Adoption Agreement, please write to the sponsoring organization at the following address:

ADP, LLC
Retirement Services
71 Hanover Road
Florham Park, NJ 07932
Attn: Prototype Coordinator
973.712.2000

B. Notification

The Prototype Sponsor will notify you as an adopting Company of any amendments made to the Plan, or the discontinuance or abandonment of the Plan, unless services provided by a related company of ADP, LLC are discontinued.

C. Cautionary Statement

It is important that you complete the Adoption Agreement with great care. Failure to fill out the Adoption Agreement properly may result in disqualification of the Plan.

D. Reliance on Opinion Letter

The adopting Company may rely on an opinion letter issued by the Internal Revenue Service as evidence that the Plan is qualified under section 401 of the Internal Revenue Code only to the extent provided in Revenue Procedure 2011-49.

The Company may not rely on the opinion letter in certain other circumstances or with respect to certain qualification requirements, which are specified in the opinion letter issued with respect to the Prototype Plan and in Revenue Procedure 2011-49.

In order to have reliance in such circumstances or with respect to such qualification requirements, application for a determination letter must be made to Employee Plans Determinations of the Internal Revenue Service.

This Adoption Agreement may be used only in conjunction with Basic Plan Document No. 06.

Signature of Authorized Officer: ____________________

Name (Please Print): ____________________

Title: ____________________

Date Signed: ____________________

(Generally, an Officer is an administrative executive of the Company who is in regular and continued service. "Date Signed" is the date the Adoption Agreement is being executed. Date signed must be no later than the last day of the Plan Year for which the Adoption Agreement is effective, except as otherwise permitted under the Code or IRS guidance.)

I hereby certify that the following entities by appropriate corporate or analogous acts, have elected to become Participating Affiliates (as defined within Section 1.1.54 of the basic Plan document) in the Plan and the Company has consented thereto in writing.

Participating Affiliate(s):

____

____

____

____

____

____

____

____

____

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____

SUMMARY OF MATERIAL MODIFICATIONS

Plan ID 283651

SUMMARY OF MATERIAL MODIFICATIONS
To The

Wallace Supply, LLC 401(k) Profit Sharing Plan (the "Plan")

This is a Summary of Material Modifications regarding the Plan named above. This Summary of Material Modifications supplements the Summary Plan Description ("SPD") previously provided to you and provides a brief explanation of an amendment that has been made to the plan. If you do not have a copy of the SPD for the Plan, you can obtain a copy by contacting the Plan Administrator. This Summary of Material Modifications should be attached to your copy of the SPD and kept in a convenient place for future reference.

As of the effective date indicated below, the Plan has been amended as follows:

Description:	Change:	Effective Date
Name of Company	Wallace Supply, LLC	01/01/2022
Business Address	2609 Dearborn St Easton, PA 18045	01/01/2022
Type of Business Entity	Limited Liability Company	01/01/2022
Employer Identification Number	45-2967608	01/01/2022
Name of Plan	Wallace Supply, LLC 401(k) Profit Sharing Plan	01/01/2022
Effective Date of this amendment and restatement	01/01/2022	01/01/2022

Wallace Supply, LLC 401(k) Profit Sharing Plan
Summary Plan Description

INTRODUCTION

Sooner or later, you're going to need savings to supplement your retirement income. Achieving financial security for your future is not just a matter of how much you earn, but more importantly, it's a matter of how much you save.

By saving regularly through your Company’s 401(k) savings Plan, even if only a few dollars each payday, you can accumulate more money in a few years than you would think possible. It is one of the surest ways to give yourself a head start on developing financial security.

Wallace Supply, LLC wants to help you meet your financial goals with this Plan. Your savings grow faster with tax-deferred dollars, Company contributions (if any), and investment opportunities. Set your goals high and join the Plan.

This booklet describes the major features of the Wallace Supply, LLC 401(k) Profit Sharing Plan effective as of January 01, 2022. Read this booklet carefully and think about it. The question should not be whether you should join, but how little or how much you should invest for your financial security.

Copies of the Plan and certain related documents are available for your review in the offices of the Company. IF THERE ARE ANY DIFFERENCES BETWEEN THIS DESCRIPTION AND THE TERMS OF THE PLAN DOCUMENT, THE TERMS OF THE PLAN DOCUMENT WILL GOVERN. Likewise, any oral information provided to you regarding the terms of the Plan is not binding on the Plan or the Plan’s administrator to the extent it conflicts with the terms of the Plan document.

WHO IS ELIGIBLE TO PARTICIPATE IN THE PLAN?

All employees of Wallace Supply, LLC and any participating Affiliates, if applicable except employees not required to be taken into account for nondiscrimination testing purposes under Code §410(b)(6)(C) but only during the Code §410(b)(6)(C) transition period are eligible to participate in the Plan upon completing the Plan's eligibility requirements.

WHAT ARE THE PLAN'S ELIGIBILITY REQUIREMENTS?

In order to participate in the Plan you must be a least age 21 and have completed one Year of Eligibility Service. A Year of Eligibility Service is accomplished after completing 1,000 Hours of Service during your first 12 months of employment. If 1,000 Hours of Service is not completed in the first 12 months of employment, you will be credited with a Year of Eligibility Service, provided you complete 1,000 Hours of Service in any following calendar year. An Hour of Service is any hour for which you are paid or are entitled to payment. If you are absent from employment with the Employer because of qualified military service, your military service will count as service for purposes of meeting the Plan's eligibility requirements.

If you terminate employment after becoming a participant in the Plan, or after satisfying the Plan's eligibility requirements but before actually becoming a participant, and are later rehired as an eligible employee, you will become a participant in the Plan on the next Entry Date following your rehire. If you terminate employment before satisfying the Plan's eligibility requirements and are later rehired, you must satisfy the Plan's eligibility requirements before you may participate in the Plan.

WHEN DOES PLAN PARTICIPATION BEGIN?

You will become a participant on the first day of the month following the completion of the eligibility requirements.

HOW DOES THE PLAN WORK?

The basic operation of the Plan is simple:

> You may elect to defer a percentage of your eligible pay every pay period. This contribution is known as your Elective Deferrals. In order to make Elective Deferrals, you must complete an Enrollment Form and return it to the Company prior to the date established by the administrator at your Company, or enroll through the ADP Voice Response System or the Participant Website. You should consult the administrator at your Company to learn which enrollment methods are available for your Company. Your Elective Deferrals will then begin in the first payroll cycle of the following month.
>
> For purposes of the Plan, eligible earnings is defined as compensation as reflected on your Form W-2 including your Elective Deferrals and any other contributions you may have made to a "Section 125" cafeteria plan, and any qualified transportation fringe benefits under Section 132(f)(4) of the Internal Revenue Code (the "Code"). If you are self-employed, your eligible earnings will be your Earned Income. For purposes of

determining benefits under the Plan, eligible earnings also will include payments made within the later of 2-1/2 months after you sever from employment (as defined under Section 401(k) of the Code) and the end of the Plan Year or Limitation Year (whichever is applicable) that includes your severance date, if they are (1) payments that, absent a severance from employment, would have been paid to you while you continued in employment with the Company and are regular compensation for services during or outside your regular working hours, commissions, bonuses, or other similar compensation; (2) payments for accrued sick, vacation or other leave (but only if you would have been able to use the leave if your employment continued); or (3) payments you receive under a nonqualified deferred compensation plan (but only if the payments are taxable and would have been paid to you if your employment had continued). If the Company makes "differential wage payments" (defined below) to employees who are on active military duty for a period of more than 30 days, those payments also will be included in eligible earnings. "Differential wage payments" are any payments made by an employer to an individual for any period during which the individual is performing service in the uniformed services while on active duty for a period of more than 30 days and which represents all or a portion of the wages he or she would have received from the employer if the individual were performing services for the employer. Please note that the inclusion in eligible earnings of any post-termination amounts (including differential wage payments) described in this paragraph is subject to the exclusions from eligible earnings elected by the Company, if any, described earlier in this Section. In your first year as a participant, the Compensation used to calculate any Matching Contributions or Nonelective Contributions provided for under the Plan will be Compensation received on or after the date you enter the Plan as a participant.

Except as described under Question "What Happens if I Do Not Elect to Participate in the Plan and Do Not Specifically Decline to Enroll," below, the amount of your Elective Deferrals and any additional Company contributions are invested as you direct in accordance with the investment options provided in the Plan. These contributions (other than contributions of Roth Elective Deferrals, as explained in the discussion of Elective Deferrals in the Section entitled "What contributions are made to the Plan?") and any accumulated investment earnings on all contributions will be tax-deferred until you receive a distribution. Special rules apply regarding the tax treatment of earnings on Roth Elective Deferrals . See the Section entitled "How are my distributions from the Plan taxed?" below.

The Plan has several features that allow you to tailor it to your own personal needs. You decide whether or not you want to make Elective Deferrals from 1% to 90% of your eligible earnings. You decide how all contributions attributable to your total Account Balance are to be invested. You also have the right to change these decisions (see Question "What Happens if I Change my Mind?").

WHAT HAPPENS IF I DO NOT ELECT TO PARTICIPATE IN THE PLAN AND DO NOT SPECIFICALLY DECLINE TO ENROLL?

The Plan includes an automatic enrollment feature known as a Qualified Automatic Contribution Arrangement ("QACA"), and will meet the requirements of the Internal Revenue Code that apply to QACAs. Under the QACA, once you become eligible to enter the Plan, the Company will automatically deduct a portion of your eligible earnings on a pre-tax basis from your paycheck each payroll period and contribute it to the Plan as a Pre-Tax Elective Deferral, unless you have made a timely salary deferral election and elected a different deferral percentage, including zero percent. For each year that the Plan includes the QACA, you will be provided with a comprehensive notice of your rights and obligations under the QACA. However, if you become eligible to enter the Plan after the beginning of the Plan Year, then the notice will be provided to you on or before your entry date.

The initial amount that will be withheld from your pay on a pre-tax basis each payroll period will be equal to 3% of your compensation. If you do not otherwise affirmatively elect to contribute (or to not contribute) Elective Deferrals to the Plan, the amount of your automatic Elective Deferrals automatically deferred from your eligible earnings on a pre-tax basis will increase by 1 percentage point(s) on the first day of the next Plan Year beginning after your initial automatic Elective Deferral contributions under the QACA and the first day of each Plan Year thereafter up to a maximum of 6% of your eligible earnings. You may enter a salary deferral agreement at any time to select an alternative deferral amount or to elect not to defer under the Plan (see the Section entitled "What Happens if I Change my Mind?").

If you are automatically enrolled in the Plan and do not make an affirmative investment election, any contributions that are made to the Plan on your behalf will be invested in the default investment fund selected by the Company for this purpose as described in the QACA Notice provided to you.

If you are automatically enrolled in the Plan under the QACA, you will have a limited period during which you may elect to withdraw your automatic Elective Deferrals (see the Section entitled "May I Withdraw Funds While Still Employed?" for more information).

If you have questions about the QACA, please refer to the QACA Notice provided to you or contact the Plan's administrator.

WHAT CONTRIBUTIONS ARE MADE TO THE PLAN?

- **ELECTIVE DEFERRALS**

  Under our Plan you are able to make two kinds of Elective Deferrals. You may make Pre-Tax Elective Deferrals, or you may make Roth Elective Deferrals. If you make a Pre-Tax Elective Deferral, then your current taxable income is reduced by the amount of the deferral contribution so you pay less in current federal income taxes. Later, when the Plan distributes the deferrals and earnings, you will pay the taxes on those deferrals and the earnings (unless you further delay income taxation by properly rolling these amounts over to another eligible tax qualified plan or a traditional individual retirement account). Therefore, with a Pre-Tax Elective Deferral, federal income taxes on the deferral contributions and on the earnings are only postponed. Eventually, you will have to pay taxes on these amounts. With a Roth Elective Deferral, you must pay current income tax on the deferral contribution. If you elect to make Roth Elective Deferrals, the deferral amounts are subject to federal income taxes in the year of deferral, but the deferrals and, as long as the distribution is "qualified", the earnings on the deferrals are not subject to federal income taxes when distributed to you (see the Section entitled "How are my Distributions from the Plan Taxed?"). You may contribute any combination of Pre-Tax Elective Deferrals and Roth Elective Deferrals from 1% to 90% (in whole percentages) of your eligible earnings. You also may elect to contribute a specified dollar amount out of your eligible earnings. Any election made in dollars may not exceed the Plan’s limit on the maximum deferral percentage. The total combined amount of your eligible earnings that you may defer either as a Pre-Tax Elective Deferral or as a Roth Elective Deferral is subject to both the Plan’s limit on the maximum deferral percentage and the Internal Revenue Code limit on deferrals (see the section entitled “Are there any limits to the amount I can contribute?”).

There are several ways to contribute Roth Elective Deferrals to the Plan. The first is by electing to contribute Roth Elective Deferrals directly to the Plan. (Roth Elective Deferrals contributed directly to the Plan will be recorded in a Roth Elective Deferral Account.) The second is by making a Roth Rollover Contribution to the Plan (see the section entitled “If I received a distribution from another eligible retirement plan, may I contribute that amount to the Plan?”). Except where otherwise indicated in this Summary Plan Description, Roth Elective Deferrals are treated the same as Pre-Tax Elective Deferrals under the Plan.

- **QACA MATCHING CONTRIBUTIONS**

The Company will make a QACA Matching Contribution to this Plan equal to 100% on the first 3% of your eligible earnings that you defer as an Elective Deferral plus 50% of the Elective Deferrals that you make between 3% and 5% of your eligible earnings that you defer as an Elective Deferral.

QACA Matching Contributions will be made regardless of whether your Elective Deferrals are the result of an affirmative election or automatic enrollment. You are not required to be employed on the last day of the Plan Year or to complete a Year of Service to receive the QACA Matching Contribution. QACA Matching Contributions will be contributed to the Plan on a payroll-by-payroll basis.

Each year that the Company will make QACA Matching Contributions, you will be notified prior to the beginning of the Plan Year that the QACA Matching Contributions will be made.

If any other employer Matching Contributions were contributed to the Plan before the Plan provided for QACA Matching Contributions, such Matching Contributions are subject to the vesting, withdrawal, and distribution rules discussed later in this booklet.

- **NONELECTIVE CONTRIBUTIONS**

The Company may decide to make a Nonelective Contribution to the Plan, although the Company is not required to do so. The Nonelective Contribution will be allocated to all employees eligible to participate in the Plan.You must be an eligible Participant employed by the Employer on December 31 and have completed at least 500 Hours of Service to receive this allocation. If your Employment terminated prior to December 31 due to death, Disability (defined later in this booklet), or attainment of age 65, the Plan's Normal Retirement Age, you will be eligible to receive any Nonelective Contribution that the Company may make for the year in which your Employment terminated.

You will be credited with an Hour of Service for:

(a) each hour for which you are paid or entitled to payment for performing duties for the Company or an affiliate, if any, during the Plan Year;

(b) each hour for which you are paid or entitled to payment by the Company or an affiliate, if any, on account of a period during which you do not perform your duties, such as vacation, holidays, illness, Disability, layoff, military duty, jury duty or leave of absence during the Plan Year); and

(c) each hour for back pay awarded or agreed to by the Employer.

You will not be credited for the same Hours of Service both under (a) or (b), as applicable, and under (c).

Hours of Service to receive a Nonelective Contribution allocation will be determined based on the actual Hours of Service for which you are paid (or entitled to payment) by the Company or an affiliate, if any.

Your share of the Nonelective Contribution is in proportion to your eligible earnings compared to the eligible earnings of the other employees who will also share in the contribution.

The Nonelective Contribution, if made, will be allocated as of the end of each Plan Year based on eligible earnings within the computation period.

ARE THERE ANY LIMITATIONS TO THE AMOUNT I CAN CONTRIBUTE?

Ordinarily, the Internal Revenue Service requires retirement plans that permit employees to defer taxes by making elective contributions to satisfy certain complex tests. Depending on the results of these tests, restrictions on contributions for certain higher paid employees may be necessary.By providing a Safe Harbor Contribution as described above, the Plan is not subject to these tests.

Congress also limits the annual dollar amount of Elective Deferrals that you can contribute to your account. For 2022, the limit is $20,500. After 2022, this limit will be adjusted for inflation.

Congress also limits the annual eligible earnings to be considered for purposes of qualified plan contributions and testing. For 2022, this limit is $305,000. This limit may also be increased periodically to reflect cost-of-living increases.

Finally, Congress limits the total amount of â€œannual additionsâ€ (contributions made to the Plan by you or by the Company on your behalf) allocated to your account each year. For 2022, this limit is the lesser of 100% of your eligible earnings (without regard to any exclusions from eligible earnings that your employer may have elected under the Plan) or $61,000.

For any Plan Year in which you contribute both Pre-Tax Elective Deferrals and Roth Elective Deferrals to the Plan, if it becomes necessary to make a corrective distribution of a portion of your

Elective Deferrals to you to meet any of the above requirements, Pre-Tax Elective Deferrals will be returned before Roth Elective Deferrals.

DOES THE PLAN ALLOW "CATCH-UP" CONTRIBUTIONS?

While there are limitations to the amount of Elective Deferrals you can contribute, you will be permitted to exceed those limits if you are eligible to make a â€œcatch-upâ€ contribution. Catch-up contributions are contributions that exceed either a statutory limit (such as the annual limit described above on the annual dollar amount of Elective Deferrals you can contribute to your account - $20,500 for 2022), your Planâ€™s limit on the amount of Elective Deferrals you can contribute to your account, or any restrictions on contributions for certain higher paid employees that may be necessary as a result of certain tests.

If you are eligible to participate in the Plan and are projected to reach age 50 during a calendar year, you will be eligible to make a catch-up contribution at any time during that calendar year â€“ you do not need to wait until your birthday. (There are special eligibility rules for collectively bargained (union) employees, however, that may delay the availability of catch-up contributions for these employees. If you are a union employee, you should confirm with your Planâ€™s administrator when you will be eligible to make catch-up contributions to the Plan.)

If you are eligible to make catch-up contributions, you should contact your Planâ€™s administrator to learn whether you need to take any special steps to make catch-up contributions under your Plan. If you wish to arrange to make catch-up contributions in excess of your Planâ€™s limit on contributions, you will not be able to do so through either the ADP Voice Response System or the Participant Website; instead, you will have to arrange this through your Planâ€™s administrator.

For 2022, the limit on catch-up contributions is $6,500. After 2022, this limit will be adjusted for inflation.

WHAT DOES VESTING MEAN?

Vesting is your right to the contributions in your total Account Balance. In other words, to be vested refers to that portion of your Account Balance that is yours and which cannot be forfeited. Upon termination of Employment you are entitled to the entire vested portion.

You are always 100% fully vested in your total Account Balance in the Plan.

Because your total Account Balance is always 100% vested, you can never have any contributions forfeited. Upon termination of Employment you are entitled to your entire Account Balance.

WHAT HAPPENS IF I BECOME PERMANENTLY DISABLED?

If you become Disabled under the Plan while you were employed by the Employer, you become 100% vested in all your total Account Balance. You are considered to have a Disability when you are unable to engage in any substantial gainful activity because of your disability and your disability is expected to result in your death or is expected to last for a continuous period of not less than 12 months.

HOW ARE CONTRIBUTIONS INVESTED?

Amounts contributed to the Plan are held in a trust created under the Plan. Except as described under Question "What Happens if I Do Not Elect to Participate in the Plan and Do Not Specifically Decline to Enroll," contributions allocated to your account are invested according to your direction. Each of the investment funds that are offered has different investment objectives. The Administrative Committee has provided you with a description of each of these investment funds. Contact the Administrative Committee if you have questions regarding the different investments offered in the Plan.

WHAT HAPPENS IF I CHANGE MY MIND?

At any time, you can request that changes be made to your Elective Deferrals. The following requests for changes to Elective Deferrals made by 4:00 p.m. ET on a business day will be effective as of the next available payroll after your request is received:

- Increase or decrease the amount of your contribution;
- Suspend your contributions by changing your contributions to 0%; or
- Resume your contributions after you suspended your Elective Deferrals.

The following requests for changes that are received by 4:00 p.m. ET on a business day will be in effect the next business day:

- The investment of your future contributions; or
- Reallocate/transfer your current Account Balance.

If you are automatically enrolled in the Plan under the QACA, you will have a limited period during which you may elect to withdraw your automatic Elective Deferrals (see the Section entitled "May I Withdraw Funds While Still Employed?" for more information).

WILL I RECEIVE A STATEMENT OF MY ACCOUNT?

You will receive a quarterly statement that shows the activity in your account for the calendar quarter, including contributions and investment earnings.

HOW IS THE VALUE OF MY ACCOUNT DETERMINED?

The value of your Account Balance can change depending on several factors, which include:

(a) Contributions that are made to the account;

(b) Increases or decreases in the market value of investments;

(c) Cost of investment management expenses, transactional costs and service charges (contact the administrator at the Company for information on these expenses, transactional costs and service charges, if any) ; and

(d) Loans and loan repayments.

All investments involve some risk. Thus, the value of the different investments may go down as well as up and the value of your account will vary accordingly. The statement of your account will reflect all transactions affecting the value of your account.

WHEN CAN I RECEIVE PLAN BENEFITS?

Benefits are payable to you after you leave the Company for any reason (retirement, termination, Disability or death):

- If a mandatory distribution is being made to you because your vested interest in the Plan is $5,000* or less, then the Plan will rollover your distribution to an IRA if you do not make an affirmative election to either receive or roll over the distribution. The IRA provider selected by the Plan will invest the rollover funds in a type of investment designed to preserve principal and provide a reasonable rate of return and liquidity (e.g., an interest-bearing account, a certificate of deposit or a money market fund). The IRA provider will charge your account for any expenses associated with the establishment and maintenance of the IRA and with the IRA investments unless, if permitted by the IRA provider, you request to pay the fees out-of-pocket. You may transfer the IRA funds to any other IRA you choose. You will be provided with details regarding the IRA at the time you are entitled to a distribution. However, you may contact the Administrator at the address and telephone number indicated in this SPD for further information regarding the Plan's automatic rollover provisions, the IRA provider, and the fees and expenses associated with the IRA.

*Note: If you use Merrill Lynch, amounts less than or equal to $1,000 will not be rolled over to an IRA but will be distributed as a cash lump sum distribution.

- If your Account Balance (excluding any rollover contribution account but including any outstanding loan balance account) is greater than $5,000 as of the applicable Valuation Date as provided under the Plan, in addition to either a lump sum or direct rollover, you may choose to receive installments, request a partial withdrawal, or defer receiving payments until age 70½. If you choose to defer payments, your account will continue to be invested the way you direct and will be adjusted for any gains or losses which occur.

- Effective as of the date your plan is converted to the ADP recordkeeping system distributions are only permitted in cash. Any other noncash form of distribution that may have been available under the terms of the plan prior to the date your plan is converted to the ADP recordkeeping system are not available.

- Any annuity forms of payment previously available under the Plan are eliminated.

- In the event of your death before termination of Employment and before distribution of your benefits has begun, you will be 100% vested. Upon your death, your vested Account Balance will be payable in a single lump sum to your beneficiary. If your beneficiary is your surviving spouse, he or she may elect to roll over a lump sum distribution to another qualified plan or IRA. Any portion of a lump sum distribution attributable to Roth Elective Deferrals or Roth Rollover may only be rolled over by a surviving spouse to a qualified plan that accepts Roth contributions or to a Roth IRA. A non-spouse beneficiary may elect a direct rollover of a lump sum distribution to an IRA in accordance with and to the extent permitted under guidance issued by the Internal Revenue Service. Any portion of a lump sum distribution attributable to Roth Elective Deferrals or Roth Rollover Contributions may only be rolled over by a non-spouse beneficiary to a Roth IRA. Beneficiaries eligible to establish a Roth IRA may also elect a direct rollover of the non-Roth portion of a lump sum distribution to a Roth IRA, in accordance with and to the extent permitted under guidance issued by the Internal Revenue Service. The Plan's administrator is not responsible for determining eligibility to elect a direct rollover of non-Roth amounts to a Roth IRA. Please see the section of this SPD entitled "How Are My Distributions From the Plan Taxed" for further important information about direct rollovers to a Roth IRA of the non-Roth portion of a lump sum distribution. If you are not married, you may name anyone as your beneficiary, or change your beneficiary at any time on a form provided for that purpose. If you are married, you must name your spouse as beneficiary unless your spouse consents to the selection of someone else. Unless otherwise elected, the beneficiary will be your spouse or, if you have no surviving spouse, your descendants, or if you have no surviving descendants, your beneficiary will be your estate.

- If you continue working for the Company after age 70½ and you are a more than 5% owner, you must begin to receive your benefits by April 1 following the year in which you reach age 70½, even if you are still employed at the time. If you are not a 5% owner, you must begin to receive your benefits by April 1 following the later of the year in which you reach age 70½ or terminate Employment.

HOW ARE MY DISTRIBUTIONS FROM THE PLAN TAXED?

Distributions from this Plan that are received by you or your beneficiary are subject to current income taxes. However, under certain circumstances, such as a distribution to your spouse as your beneficiary, the income taxes on Plan distributions may be postponed or reduced. You will receive additional information about distributions from the Plan at the time you or your beneficiary is entitled to receive a benefit.

Distribution rules provide that any part of a distribution (including after-tax contributions) from a qualified plan (such as this Plan) can be rolled over to an eligible retirement plan. "Eligible retirement plans" to which a distribution may be rolled over include another employer's tax-qualified retirement plan; a §403(a) qualified annuity plan; a governmental §457 plan; a §403(b) tax-sheltered annuity; or an IRA. Note: After-tax contributions may only be rolled over to a qualified defined contribution plan or an individual retirement account or annuity that agrees to separately account for those contributions. Rollovers of after-tax contributions, if any, to an employer's qualified plan or §403(b) annuity must be transferred directly to the receiving plan (a "direct rollover"). Any part of a distribution attributable to Roth Elective Deferrals or Roth Rollover Contributions may only be rolled over to a Roth IRA or to an employer's 401(k) plan or 403(b) plan that provides for Roth contributions. It is your responsibility to confirm that the plan to which you intend to roll over your distribution will accept the rollover from this Plan. Certain types of distributions are not eligible to be rolled over. These include distributions that are one of a series of substantially equal payments made over the life (or joint life expectancies) of the participant and his or her beneficiary, or over a specified period of 10 years or more, hardship withdrawals or a minimum required distribution under the Internal Revenue Code.

You are permitted to elect to have any distribution that is eligible for rollover treatment transferred directly to an eligible retirement plan (a "direct rollover" or "direct transfer"). You will receive a written explanation of your distribution options within a reasonable period of time before receiving a distribution that is eligible to be rolled over.

If you elect to have your benefit transferred as a direct rollover to an eligible retirement plan, then you must provide the administrator at your Company, in a timely manner, with information regarding the transferee plan. The administrator at your Company is entitled to reasonably rely on the information that you provide to him or her, and will not independently verify it.

Federal income tax withholding at a rate of 20% is required on any taxable distribution that is eligible to be rolled over but is not transferred directly to an eligible retirement plan. You cannot elect to forego withholding on these distributions. The only exception to this requirement is if your vested benefit is less than $200. Such amounts may also be subject to a 10% penalty tax if they are distributed before you attain age 59-1/2, but this amount is not withheld from a distribution. Mandatory 20% federal income tax withholding also applies to any eligible rollover distribution to your surviving spouse or non-spouse beneficiary that is not directly rolled over.

If you elect a direct rollover of the non-Roth portion of your benefit to a traditional IRA, your direct rollover will not be subject to federal income tax withholding at the time of the transfer.

If you wish to elect a direct rollover of the non-Roth portion of your benefit to a Roth IRA, please note that any such direct rollover to a Roth IRA <u>must be included in gross income,</u> but is not subject to 10% excise tax for premature distributions. If a participant, beneficiary or alternate payee elects a direct rollover of the non-Roth portion of a distribution to a Roth IRA, <u>no amount will be withheld from the direct rollover for federal income tax purposes.</u> ***CAUTION: This means that a participant, beneficiary, or alternate payee making this election will be responsible for making sure he/she is able to pay the full amount of all required income taxes in connection with such a direct rollover. For this reason, participants, beneficiaries and alternate payees considering a direct rollover of non-Roth amounts to a Roth IRA are strongly encouraged to consult their tax advisor before making this election.*** If this Plan generally permits distribution and in-service withdrawal elections to be made on-line, please note that you may need to complete a paper form to make this particular election. Please contact your Plan's administrator for further information.

Roth Elective Deferrals are subject to federal income taxes in the year of deferral , but the deferrals and, as long as the distribution is "qualified", the earnings on the deferrals are not subject to federal income taxes when distributed to you. In order for the earnings on Roth Elective Deferrals and Roth Rollover Contributions to be distributed tax-free, any distribution from your Roth Elective Deferral or Roth Rollover Contribution Accounts must be a "qualified" distribution. In order to be a qualified distribution, the distribution must occur after one of the following: (1) your attainment of age 59½, (2) your disability (please note that "disability" for this purpose has a special meaning, as discussed below), or (3) your death. In addition, the distribution must occur after the expiration of a 5-year participation period. The 5-year participation period is the 5-year period beginning on the calendar year in which you first make a Roth Elective Deferral contribution to our Plan (or to another 401(k) Plan or 403(b) plan if such amount was rolled over into our Plan) and ending on the last day of the calendar year that is 5 years later. For example, if you make your first Roth Elective Deferral under this Plan on November 30, 2007, your 5-year participation period will end on December 31, 2011. If you made your first Roth Elective Deferral under another eligible retirement plan on September 1, 2006, and later make a Roth Rollover Contribution from that plan to this Plan, your 5-year participation period for all Roth Elective Deferrals in this Plan (whether contributed directly to this Plan or contributed as a Roth Rollover Contribution) will end on December 31, 2010. It is not necessary that you make a Roth Elective Deferral in each of the five years of your participation period. In the event that all or any portion of your Account Balance is distributed to a death beneficiary or an alternate payee under a qualified domestic relations order, the event and 5-year participation rule generally are determined by your situation (i.e., whether you would have met the requirements for a qualified distribution), not the situation of the person receiving the distribution.

As noted above, the term "disability" has a special meaning for purposes of whether a distribution of Roth Elective Deferrals or Roth Rollover Contributions and earnings on account of disability is a qualified distribution. For this purpose only, "disability" means that you are unable to engage in any substantial gainful activity by reason of any medically determinable physical or mental impairment which can be expected to result in your death or to be of long-continued and indefinite duration. This definition may not be the same as the Plan's definition of Disability for other purposes under the Plan (for example, when your account becomes fully vested because of a Disability). If you request a qualified distribution of Roth Elective Deferrals and earnings on the grounds that your are disabled, you may be required to furnish proof to the Administrator that you meet the definition of disability for purposes of a qualified distribution.

If a distribution from your Roth Elective Deferral or Roth Rollover Contribution accounts is not a qualified distribution, the earnings distributed with the Roth Elective Deferrals and Roth Rollover Contributions will be taxable to you at the time of distribution (unless you roll over the distribution to a Roth IRA or to another 401(k) plan or 403(b) plan that accepts Roth contributions). In addition, in some cases, there may be a 10% additional tax for early distributions on the earnings that are distributed.

You may want to consult with a professional tax advisor before you take a distribution of your benefits from the Plan. You may want to discuss other alternative methods available to you to defer the payment of taxes as well as applicable federal, state and/or local tax rules that may affect your distribution.

MAY I WITHDRAW FUNDS WHILE STILL EMPLOYED?

You may withdraw all or part of your vested Account Balance once you reach age 59½ . You may elect to limit the source of such a withdrawal to your Roth Elective Deferral and Roth Rollover Contribution Accounts to the extent the amount in the Sub-account is otherwise distributable. You may also withdraw any or part of your Rollover Contributions Account including any Roth Rollover Contributions Account to the extent the amount in the Sub-account is otherwise distributable in the Plan, as well as any After-Tax Contributions that may be held in your account in the Plan at any time and at any age. If you were a participant in the Plan prior to the date the Plan was converted to the ADP recordkeeping system, or in a plan that was merged into the Plan, please contact your Plan administrator or refer to the SPD that was in effect prior to the date the Plan was converted to the ADP recordkeeping system for information on any additional in-service distribution rights that may be available to you. See the section entitled "How are my distributions from the Plan taxed?" for important information regarding how distributions from your Roth Elective Deferral and Roth Rollover Contribution Accounts are taxed.

In the event of a financial hardship you may withdraw your Elective Deferrals as well as any vested Nonelective Contributions.

To make a hardship withdrawal under current Internal Revenue Service rules, you must be able to show that you are suffering an immediate and heavy financial hardship and you must certify that you have insufficient cash or other liquid assets reasonably available to meet your financial hardship. You must take any non-hardship in-service withdrawals that may be available to you under the Plan before you may obtain a hardship withdrawal.

Circumstances that qualify as an immediate and heavy financial hardship are:

(a) Expenses for medical care (described in Section 213(d) of the Internal Revenue Code) previously incurred by you, your spouse, your dependent or your primary beneficiary under the Plan or necessary for you, your spouse, dependent or your primary beneficiary under the Plan to obtain medical care;

(b) Costs directly related to the purchase of your principal residence (excluding mortgage payments);

(c) Tuition, related educational fees, and room and board expenses for the next twelve (12) months of post-secondary education for yourself, your spouse or dependent or your primary beneficiary under the Plan;

(d) Amounts necessary to prevent your eviction from your principal residence or foreclosure on the mortgage of your principal residence;

(e) Payments for burial or funeral expenses for your deceased parent, spouse, children or other dependents or your primary beneficiary under the Plan; or

(f) Expenses for the repair of damage to your principal residence that would qualify for the casualty deduction under the Internal Revenue Code (determined without regard to whether the loss exceeds 10% of adjusted gross income).

(g) Expenses and losses (including loss of income) incurred by you on account of a disaster declared by the Federal Emergency Management Agency (FEMA), provided that your principal residence or principal place of employment at the time of the disaster was located in an area designated by FEMA for individual assistance with respect to the disaster.

For this purpose, a “primary beneficiary under the Plan” is an individual who is named as your beneficiary under the Plan and has an unconditional right to all or a portion of your account balance if you die. In addition, the amount of your hardship withdrawal must be no more than the amount necessary to satisfy your immediate and heavy financial need, plus any income taxes or penalties which are expected to result from the distribution. The minimum permitted hardship withdrawal is $500.

As previously explained, a hardship withdrawal is not considered to be an eligible rollover distribution by the IRS. The hardship withdrawal may be subject to a 10% excise tax imposed by the IRS.

If you are a qualified member of the reserves, you also may be eligible to request a qualified reservist distribution. A qualified reservist distribution is an exception to Plan restrictions on withdrawal of elective deferrals. Further, the extra 10% tax on a payout before age 59½ does not apply to a qualified reservist distribution. A qualified reservist distribution from the Plan is:

- attributable to Pre-Tax Elective Deferrals,
- available to a person who because he or she is a member of a reserve component was ordered or called to active duty for more than 179 days (or for an indefinite period), and
- made during the period that began or begins on the date of the order or call to duty and ended or ends at the close of the active-duty period.

A person who receives or received a qualified reservist distribution may, during the two-year period that begins on the day after the end of his or her active-duty period, contribute to an IRA an amount up to the amount of the qualified reservist distribution. Although the limits on IRA contributions don’t apply to this special contribution, no deduction is allowed for it. This provision applies to a person ordered or called to active duty after September 11, 2001 and applies to a distribution after September 11, 2001.

If you are automatically enrolled in the Plan under the QACA, you will have a limited period during which you may elect to withdraw your automatic Elective Deferrals. If you wish to withdraw your automatic Elective Deferrals, you must make an election to do so no later than 90 days after automatic Elective Deferrals are first taken from your pay, by turning in a withdrawal request to the Plan administrator on the form prescribed by the Plan administrator. The distribution amount will be the amount of the default elective contributions made under the arrangement through the effective date of the election, adjusted for allocable gains and losses up to the date of distribution. If you withdraw your automatic Elective Deferrals, you lose (that is, forfeit) any matching contributions (adjusted for gains and losses) attributable to those automatic Elective Deferrals. Also, your withdrawal will be subject to federal income tax (but not the extra 10% tax that normally applies to early distributions). If you elect to withdraw automatic Elective Deferrals, you will also make a concurrent election to stop your Elective Deferrals. However, you can always choose to make an affirmative election to restart your Elective Deferrals at any time. After the initial 90 day period, your Elective Deferrals are subject to the withdrawal provisions of the Plan described above.

HOW DO LOANS WORK?

Loans will be made on a uniform and non-discriminatory basis. Sole proprietors, partners and certain shareholder/employees that were excluded from taking a plan loan under prior law prior to 2002 are eligible to take a loan from the Plan.

The minimum loan is $500. You can borrow up to 50% of your vested Account Balance to a maximum of $50,000. However, the $50,000 amount in the preceding sentence is reduced by the highest outstanding loan balance you had under the Plan during the previous one-year period.

Loans must be fully repaid through payroll deductions within 5 years unless the loan is used for the purchase of your primary residence. Loans used to purchase your primary residence may be repaid within a period of no more than 30 years. You have to repay any outstanding loan before a new loan can be made. You may prepay an outstanding loan in full, by certified check, at any time.

The interest rate for a loan will be the rate in effect in the month your loan is effective. The interest rate is the prime rate as published in The Wall Street Journal on the 14th of each month, plus two percentage points. This interest rate is effective for any loan processed as of the 16th day of the month.

When you take a loan from the Plan, your repayment of the loan is secured by your Account Balance. If you terminate Employment, any remaining payments are due immediately unless you are a party in interest. If you qualify as a party in interest you may continue to repay your loan after termination of Employment. If you do not repay the loan, the outstanding loan balance will be included in your gross income for federal income tax purposes as if it were distributed to you. If you die with an outstanding loan balance, your death will cause your loan to be in default, and your outstanding loan balance will be regarded as if it were distributed to you.

If you enter into a period of military leave, your loan repayments will be suspended for the duration of your leave. If you enter into a leave of absence without pay, or at a rate of pay (after employment and income tax withholding) that is less than your required loan installments, your loan repayment obligation will be suspended for up to one year (or until the date your final loan payment is due, if earlier). If you do not resume repayments within any administrative grace period provided under the

ADP Prototype Program after you return from a leave of absence (or when the suspension of your repayment obligation ends, if earlier, as explained in this paragraph), your loan will be in default and will be included in your gross income for federal income tax purposes as if it were distributed to you.

IF I RECEIVED A DISTRIBUTION FROM ANOTHER ELIGIBLE RETIREMENT PLAN, MAY I CONTRIBUTE THAT AMOUNT TO THE PLAN?

Yes. You may make a Rollover Contribution of benefits, in cash (exclusive of any outstanding notes on plan loans), from an "eligible retirement plan" to this Plan. You may not make a Rollover Contribution to the Plan that includes any voluntary nondeductible, i.e., "after-tax" contributions.

You may make a Rollover Contribution of non-Roth assets to this Plan from the following types of eligible retirement plans:

- a traditional IRA (rollovers from IRAs are limited to taxable distributions, i.e., your non-taxable IRA contributions plus earnings on any of your IRA contributions whether taxable or not);
- a SIMPLE IRA (as long as the SIMPLE IRA has been in existence for at least two years at the time of the distribution);
- an employer's qualified plan;
- a §403(a) qualified annuity plan;
- a governmental §457 plan; or
- a §403(b) tax-sheltered annuity.

In addition, you may make a "Roth rollover contribution" to the Plan. Roth rollover contributions will be recorded in a separate account called a Roth rollover account. A Roth rollover contribution is a rollover contribution that consists of Roth 401(k) deferrals and earnings that you roll over to this Plan from another eligible retirement plan in which you have participated. A Roth rollover contribution to this Plan must be in the form of a direct rollover to this Plan from the other eligible retirement plan. If you are interested in making a Roth rollover contribution to this Plan, please contact the Administrator beforehand.

You may request a direct transfer of your account in an eligible retirement plan or you may be able to roll over a distribution which was tax deferred (i.e., does not include any "after-tax" contributions), but with respect to a rollover you must do so within 60 days of receiving a distribution from the other plan.

WHAT ARE THE TOP-HEAVY PROVISIONS?

A top-heavy plan is a plan in which more than 60% of the combined Account Balances held under the

Plan belong to "key employees". Key employees are generally officers, shareholders, and owners who earn above a certain compensation level and/or own more than a specified interest in the Company. If the Plan becomes top-heavy under applicable Internal Revenue Service rules, the Plan would be required to provide for minimum contributions and top-heavy vesting. The minimum contribution is generally a contribution by the Company allocated to all non-Key Employees who are eligible Participants employed on the last day of the Plan Year equal to 3% of their eligible earnings (without regard to any exclusions from eligible earnings that your employer may have elected under the Plan) unless all key employees receive a contribution of less than 3% of their eligible earnings. The amount you contribute to the Plan as an Elective Deferral is not included in calculating the 3% minimum contribution which may be required but is included in determining the contribution made on behalf of key employees. The 3% allocation will be made under this Plan or may be made under another defined contribution plan if the Company maintains one. Please note that if the Company maintains a defined benefit plan in which a participant also participates in addition to this Plan, the minimum contribution is 5%. In this case, the minimum contribution will be satisfied by providing for an accrued benefit under the defined benefit plan or by making the 5% contribution either to this Plan or to another defined contribution plan maintained by the Company. For more information on how a top-heavy contribution, if any, will be satisfied under the Plan, please contact the Plan's administrator.

WHAT ADMINISTRATIVE FEES MAY BE CHARGED TO YOUR PLAN ACCOUNT, AND HOW ARE THEY ASSESSED?

Plan administrative services, such as legal, consulting, audit, accounting, trustee, and recordkeeping services, may be required to administer our Plan. The cost for these services may be paid by the Company or from the Plan, or both. The actual fees deducted from your Account, if any, will be reflected on your quarterly account statement and on the Plan's Participant Website. For information about Plan administrative expenses and how they may be assessed, please refer to the "Plan Administrative Expenses" section of the Participant Fee Disclosure Statement, which is provided to you separately and incorporated herein by reference.

Administrative fees for certain services or transactions you request may be charged directly to your Account. For information about these charges, please refer to the "Individual Expenses" section of the Participant Fee Disclosure Statement, which is provided to you separately and incorporated herein by reference. If you request or receive a distribution of all or a portion of your Account Balance (whether in-service or following the date you leave the Company) or a plan loan, administrative fees for the processing of these transactions that are charged directly against your Account will be taken pro-rata from all of the mutual funds and collective investment funds in which your Account Balance is invested at the time the fees are taken from your account. The fees will not reduce the proceeds of the transaction requested (other than upon a complete distribution of your Account Balance).

WHAT FEES ARE CHARGED BY THE INVESTMENT FUNDS HELD IN YOUR ACCOUNT?

The investments in the Plan do not charge you commissions or sales loads for purchasing shares or investment units with your Plan account. Many of the investment funds available under the Plan do, however, pay fees and incur expenses that will most likely have an impact on your account balance.

These investment fees and other expenses may reduce the returns generated by investment funds in which you invest. For example, investment options (such as mutual funds) pay an investment manager a fee for the management of the fund. In addition, some of the investment options pay "asset-based" fees (that is, fees based on the total assets invested in the fund) to various service providers, which may include the Plan's recordkeeper, for other investment and administrative services provided to the investment fund. In addition, certain funds may assess shareholder-type charges, such as a redemption fee when shares are sold, if they are not held for a minimum specified period). For more information about the fees charged or paid by various investment options, please review the investment fund prospectus, or if the investment option does not have a prospectus, the information provided to you about the option, such as a Fund Fact Sheet. These documents, and other information about these fees, can be found on the Participant Website or by contacting your Plan administrator. Information about investment fund expenses and shareholder-type charges may also be found in the "Comparative Chart" section of the Participant Fee Disclosure Statement, which is provided to you separately and incorporated herein by reference.

ADDITIONAL ITEMS

A. BENEFIT CLAIMS PROCEDURES

Under the Plan, you generally will receive your benefit as a matter of course. However, in certain cases, you or your beneficiary may wish to request Plan benefits that you believe you are entitled to (all references herein to "you" shall include your beneficiaries). Any such request must be made by you or your authorized representative in writing, and it should be filed with the Administrative Committee. If you or your authorized representative file a claim under the Plan, you will be referred to as the "Claimant". *Note: If your Plan is subject to a collective bargaining agreement and the agreement contains certain provisions, then the procedures for resolution of claims set forth in that collective bargaining agreement will take the place of this claims procedure as permitted by Department of Labor regulations. Please contact your Plan administrator if you have questions regarding whether a collective bargaining agreement's claims procedures apply to you.*

General Claims Procedures

If the Claimant's claim is denied in whole or in part, the Administrative Committee will provide a written notice of denial to the Claimant or the Claimant's authorized representative within a reasonable period of time, but no later than 90 days after the Administrative Committee receives the claim. The 90-day period will begin to run once a claim is filed, without regard to whether the Claimant has provided all the information necessary to make the benefit determination. If the Administrative Committee determines that special circumstances require an extension beyond the initial 90-day period, the Administrative Committee will notify the Claimant or the Claimant's authorized representative in writing of the special circumstances that make the extension necessary and the date by which a decision may be expected before the end of the initial 90-day period. Any such extension may not exceed 90 days from the end of the initial 90-day period.

The Administrative Committee's notice of denial will explain the reason for the denial, refer to the specific Plan provisions on which the denial is based, describe any additional information or material needed from the Claimant to perfect his or her claim and why this information or material is necessary, and describe the Plan's claims review procedures and time limits.

Within 60 days after receiving the notice of denial, the Claimant or the Claimant's authorized representative may submit a written appeal of the denial to the Administrative Committee. The Claimant or the Claimant's authorized representative may, free of charge, review and request copies of relevant documents, records, and other information relevant to the claim. The Claimant's appeal may include written comments, documents, records, and other information relating to the claim, regardless of whether the information was submitted or considered as part of the Claimant's initial claim for benefits.

The Administrative Committee will review the appeal and make a determination within a reasonable period of time, but no more than 60 days after the Administrative Committee receives the appeal. If the Administrative Committee determines that special circumstances require an extension, the Administrative Committee will notify the Claimant or the Claimant's authorized representative in writing of the special circumstances that make the extension necessary and the date by which a decision may be expected before the end of the initial 60-day period. Any such extension may not exceed 60 days from the end of the initial review period.

The Administrative Committee will provide a written determination on appeal which will explain the reasons for the decision, refer to the provisions of the Plan on which the decision is based, and inform the Claimant or the Claimant's authorized representative of any additional rights the Claimant may have. The determination on appeal by the Administrative Committee is the final determination under this claims procedure.

Disability Claims Procedures

If the Claimant's claim for benefits involves a disability determination and the Plan defines disability in a manner that requires the Plan to determine if the Claimant is disabled, the special claims procedures set forth below will apply. If, however, the Plan defines disability by reference to a determination of disability made by the Social Security Administration or pursuant to the Employer's long term disability plan, then the General Claims procedures described above will apply.

If the Claimant's claim is denied in whole or in part, the Administrative Committee will notify the Claimant or the Claimant's authorized representative within a reasonable period of time, but no later than 45 days after the Administrative Committee receives the claim. The 45-day period will begin to run once a claim is filed, without regard to whether the Claimant has provided all the information necessary to make the benefit determination. If the Administrative Committee determines that an extension is needed for reasons beyond the Administrative Committee's control, it may take up to two 30-day extensions for consideration of the claim. If the Administrative Committee takes an extension, the Administrative Committee will notify the Claimant or the Claimant's authorized representative in writing of the reason for the extension and the date by which a decision is expected before the end of the initial 45 day period (or, for a second extension, before the end of the first extension). The notice of extension will include an explanation of the standards on which the entitlement to the benefit claimed is based, the unresolved issues that are preventing a decision, and the additional information needed to resolve the issues. If the Administrative Committee requests additional information, the Claimant or the Claimant's authorized representative will have at least 45 days after receipt of the notice of extension to provide the information. The period during which the Administrative Committee waits for the Claimant or the Claimant's authorized representative to respond to the request for information will not count against the 30-day extension period (i.e. the 30-day extension period will be tolled from the date the notice of extension is sent to the Claimant or the Claimant's authorized representative to the date on which the Claimant or the Claimant's authorized representative responds to the request for additional information).

The Administrative Committee's notice of denial will explain the reason for the denial, refer to the specific Plan provisions on which the denial is based, describe any additional information or material needed from the Claimant to perfect his or her claim and why this information or material is necessary, and describe the Plan's claims review procedures and time limits. Additionally, if the Administrative Committee relies on an internal rule, guideline, or protocol in denying the claim, it will either provide a copy of the rule, guideline or protocol, or indicate that a rule, guideline or protocol was relied upon and is available free of charge to the Claimant or the Claimant's authorized representative on request.

Within 180 days after receiving the notice of denial, the Claimant or the Claimant's authorized representative may submit a written appeal of the denial. The Claimant or the Claimant's authorized representative may review and request copies of relevant documents, records, and other information relevant to the claim free of charge. Further, upon request by the Claimant or the Claimant's authorized representative, the identity of any medical or vocational expert whose advice was obtained in connection with the claim will be disclosed, regardless of whether his or her advice was relied upon in making the determination. The Claimant's appeal may include written comments, documents, records, and other information relating to the claim, regardless of whether it was submitted or considered as part of the initial application.

The Claimant's appeal will be reviewed by an appropriate Plan fiduciary (the "Reviewing Fiduciary") who is neither a member nor a subordinate of the Administrative Committee or its members. The Administrative Committee's initial decision shall not be given any deference. If the initial decision was based in whole or in part on a medical judgment, the Reviewing Fiduciary will consult with a health care professional with appropriate training and experience in the medical field involved. The Reviewing Fiduciary will not consult with a health care professional who was consulted in connection with the initial review of the claim or a subordinate of any such professional.

The Reviewing Fiduciary will review the appeal and make a determination within a reasonable period of time, but no more than 45 days after the Reviewing Fiduciary receives the appeal. If the Reviewing Fiduciary determines that special circumstances require an extension, it will notify the Claimant or the Claimant's authorized representative in writing of the special circumstances and the date by which a decision may be expected before the end of the initial 45-day period. Any such extension may not exceed 45 days from the end of the initial review period.

The Reviewing Fiduciary will provide a written determination on appeal which will explain the reasons for the decision, refer to the provisions of the Plan on which the decision is based, and inform the Claimant or the Claimant's authorized representative of any additional rights the Claimant may have. If the Reviewing Fiduciary relies on an internal rule, guideline, or protocol in denying the claim, the Reviewing Fiduciary will either provide a copy of the rule, guideline or protocol, or indicate that a rule, guideline or protocol was relied upon and is available free of charge to the Claimant or the Claimant's authorized representative on request. The determination on appeal by the Reviewing Fiduciary is the final determination under this claims procedure.

B. PENSION BENEFIT GUARANTY CORPORATION

The Pension Benefit Guaranty Corporation does not insure benefits under the Plan. The reason is that plans that provide for individual accounts, such as the Plan, are excluded under the ERISA provisions that provide for such insurance coverage.

C. INVESTMENT INFORMATION

The Plan is called "an individual account plan". This means that you and all other participants have their own account in the Plan. The Plan is intended to satisfy the requirements of Section 404(c) of the Employee Retirement Income Security Act of 1974, as amended ("ERISA"), .and Department of Labor Regulation Section 2550.404c-1 (29 C.F.R. 2550.404c-1). An ERISA Section 404(c) plan is an individual account plan which is designed to provide you with the opportunity to exercise control over the assets in your individual account, and also provides you with the opportunity to choose, from among a range of investment funds, the manner in which the assets in your account are invested. This means that you will have the responsibility for the investment decisions you make and the Plan's fiduciaries may be relieved of any liability to you under ERISA for any investment losses that are the direct and necessary result of your investment instructions.

Please note that your ability to direct the investment of your Plan account is subject to any restriction or limitation imposed by the underlying investment funds and/or your Plan, in particular, policies with respect to excessive trading (also known as market timing). The Plan's recordkeeper has put into place systematic solutions reasonably designed to assist investment fund companies with enforcing policies on and prohibitions relating to excessive trading. Any and all restrictions that the Plan's recordkeeper is enforcing will be identified to participants on the Plan's participant Web site, as well as through its Voice Response System, and may also be disclosed in materials provided to you describing the Plan's investment procedures and designated investment alternatives. In addition, at any time an investment fund or manager may limit or refuse to honor your investment election if it determines that it would result in excessive trading and/or would otherwise be adverse to the interests of the other shareholders and/or the investment fund, and/or would otherwise violate a policy of the underlying investment fund, and may require the Plan's recordkeeper to impose restrictions upon your ability to engage in transactions in an investment (or multiple investments).

The Company will provide you with the following information at your request:

- Copies of prospectuses (or, alternatively, short-form or summary prospectuses) or similar documents relating to designated investment alternatives under the Plan

- Copies of any financial statements or reports, such as statements of additional information, and any other similar materials relating to designated investments under the Plan to the extent provided to the Plan,

- A list of the assets comprising the portfolio of each designated investment alternative that are "plan assets" and the value of each such asset, and

- Information concerning the share value of each investment and the date of the valuation.

D. ERISA RIGHTS

As a participant in the Plan, you are entitled to certain rights and protections under the Employee Retirement Income Security Act of 1974 (ERISA). ERISA provides that all Plan participants shall be entitled to:

1) Examine without charge at the office of the Administrative Committee all documents governing the Plan, including collective bargaining agreements, if any, and a copy of the latest annual report (Form 5500 series) filed by the Plan with the U.S. Department of Labor and available at the Public Disclosure Room of the Employee Benefits Security Administration;

2) Obtain copies of all documents governing the operation of the Plan, including collective bargaining agreements, if any, and a copy of the latest annual report (Form 5500 Series) and updated summary plan description upon written request to the Administrative Committee. A reasonable charge may be made for the copies;

3) Receive a summary of the Plan's annual financial report. The Company is required by law to furnish each participant with a copy of this summary annual report; and

4) Obtain a statement telling you whether you have a right to receive benefits under the Plan and if so, what your benefits would be if you leave the Company. If you do not have a right to Plan benefits, the statement will tell you how many more years you must work to earn a right to benefits. This statement must be requested in writing; it is not required to be given

more than once every 12 months. The Plan must provide the statement free of charge.

In addition to creating rights for Plan participants, ERISA imposes duties upon the people who are responsible for the operation of employee benefit plans. The people who administer your Plan, called “fiduciaries” of the Plan, have a duty to do so prudently and in the interest of you and other Plan participants and beneficiaries. No one, including your employer, your union (if any), or any other person may fire you or otherwise discriminate against you in any way to prevent you from obtaining a benefit or exercising your rights under ERISA.

If your claim for a benefit under the Plan is denied or ignored, in whole or in part, you have a right to know why this was done, to obtain copies of documents relating to the decision without charge, and to appeal any denial, all within certain time schedules.

Under ERISA, there are steps you may take to enforce the above rights. For instance, if you request materials from the Plan and do not receive them within 30 days, you may file suit in a Federal court. In such a case, the court may require the Administrative Committee to provide the materials and to pay you up to $110 a day until you receive the materials, unless the materials were not sent for reasons beyond the control of the Administrative Committee. If you have a claim for benefits which is denied or ignored, in whole or in part, you may file suit in a state or Federal court. In addition, if you disagree with the Plan’s decision or lack thereof concerning the qualified status of a domestic relations order, you may file suit in Federal court.

If it should happen that fiduciaries misuse the Plan's money, or if you are discriminated against for asserting your rights, you may seek assistance from the U.S. Department of Labor, or you may file suit in a Federal court. The court will decide who should pay court costs and legal fees. If you are successful, the court may order the person you have sued to pay the costs and fees. If you lose, the court may order you to pay these costs and fees if, for example, it finds that your claim is frivolous.

If you have any questions about the Plan, you should contact the Administrative Committee. If you have any questions about this statement or about your rights under ERISA, or if you need assistance in obtaining documents from the Administrative Committee, you should contact the nearest office of the Employee Benefits Security Administration, U.S. Department of Labor, listed in your telephone directory or the Division of Technical Assistance and Inquiries, Employee Benefits Security Administration, U.S. Department of Labor, 200 Constitution Avenue N.W., Washington, D.C. 20210. You may also obtain certain publications about your rights and responsibilities under ERISA by calling the publications hotline of the Employee Benefits Security Administration.

E. NON-ASSIGNMENT OF BENEFITS

You may not assign the benefits provided for you by the Plan, nor are these benefits subject to the claims of any creditor, unless otherwise provided by law. One exception to this rule is the "Qualified Domestic Relations Order". A Qualified Domestic Relations Order is defined as a judgment, decree or court order, approving property settlement agreements, and/or relating to child support, alimony or marital property rights of a spouse, child or other dependent of a participant. To be binding, a Qualified Domestic Relations Order must specify certain required legal information and cannot alter the amount or form of benefits payable under the Plan. You may obtain a copy of the procedures that the Plan's administrator uses to determine if an order is a Qualified Domestic Relations Order without charge.

F. RIGHTS TO EMPLOYMENT

The existence of the Plan does not affect the employment rights of any employee or the rights of the Company to discharge an employee.

G. FUTURE OF THE PLAN

While the Company hopes and expects to continue the Plan indefinitely, it reserves the right to terminate, discontinue making contributions to, amend or modify the Plan at any time, acting through written resolution of the controlling entity of the Company. Upon termination of the Plan, you will become 100% vested in your total Account Balance. The Company will arrange for distributions upon Plan termination as soon as administratively feasible.

H. VETERAN'S RIGHTS

If you are a returning veteran, special rules apply to your Elective Deferrals made to the Plan. In general, re-employed veterans are permitted to make additional Elective Deferrals with respect to their period of military service during a period which begins on their date of reemployment and has the same length as the lesser of (a) the period of their absence due to uniformed service, multiplied by 3 or (b) 5 years. If you are a returning veteran and believe you may be entitled to contribute under these special provisions, please contact the Company.

I. MISCELLANEOUS ITEMS

Plan Name:	Wallace Supply, LLC 401(k) Profit Sharing Plan
Plan Sponsor:	Wallace Supply, LLC 2609 Dearborn St Easton, PA 18045 (585) 482-8000
Participating Affiliates:	
Original Effective Date:	January 01, 2004
Amendment and Restatement Date:	This Summary Plan Description describes the Plan as of January 01, 2022.
Employer I.D. Number:	452967608
Plan Number:	001
Type of Plan:	401(k)/profit sharing plan
Plan Year:	Calendar Year
Year on which Plan's Records are Kept	Calendar Year
Administrative Committee or committee designated by Wallace Supply, LLC to administer the Plan.	Consult your Human Resources Department or Office Manager: Wallace Supply, LLC 2609 Dearborn St Easton, PA 18045 (585) 482-8000
Trustee:	Reliance Trust Company 1100 Abernathy Road 500 Northpark, Suite 400 Atlanta, GA 30328 Attn: Sharon H. Ennis
Service of Process:	Either the Trustee at the Trustee's address listed above or the Plan administrator at the Wallace Supply, LLC's address listed above

If your Plan is maintained pursuant to a Collective Bargaining Agreement, a copy of the Collective Bargaining Agreement may be obtained upon written request to the Plan's administrator, and is available for examination.

QUALIFIED AUTOMATIC CONTRIBUTION ARRANGEMENT NOTICE
Special Information for Rehired Employees or Employees moving from an Excluded to an Eligible Class, who are immediately eligible to enter the Plan

<u>Plan Administrator</u>: This Notice should be distributed with the Qualified Automatic Contribution Arrangement Notice, Enrollment Guide, and Summary Plan Description to:

⇒ **Rehired employees who previously satisfied the Plan's eligibility requirements and who immediately reenter the Plan on their reemployment commencement date**

⇒ **Employees moving from an excluded to eligible class of employees who have satisfied the Plan's eligibility requirements and who immediately enter the Plan on the date they move to an eligible class.**

If this notice has been delivered electronically, you may request a written paper notice that must be provided at no charge.

Certain aspects of the Plan's Qualified Automatic Contribution Arrangement ("QACA") operate slightly differently for employees in the groups described above. These differences are described below. The headings generally correspond to the headings in the attached QACA Notice. <u>Except as specifically modified, the attached QACA Notice applies</u>.

Salary Deferral Contribution Elections and Automatic Enrollment Provisions

Rehired Employees: Because you satisfied the Plan's age and service requirements during your prior employment with the Employer and your original Plan entry date has passed, you will be eligible to enter the Plan on the day your reemployment commences. If you were previously sent a "welcome letter" containing your personal identification number ("PIN") and explaining how to access the Plan's participant Website and Voice Response System ("VRS"), your PIN remains valid and you will not receive another welcome letter. If you did not previously receive a welcome letter and PIN, a welcome letter will be sent to you at a later date.

Employees Moving from an Excluded to Eligible Class: Because you already have satisfied the Plan's age and service requirements, you will be eligible to enter the Plan on the day you move from an excluded class to a class of employees eligible to participate in the Plan. If you previously participated in the Plan at any prior time and already have a PIN, your PIN remains valid and you will not receive another welcome letter. If you have never previously participated in the Plan, a welcome letter will be sent to you at a later date.

You may make an election to contribute (or not to contribute) to the Plan at any time after you receive this Notice. If you do not make an election to contribute (or to not contribute) to the Plan by the date your reemployment commences or the date you move from an excluded to an eligible class (as applicable), you will automatically be enrolled in the Plan as of that date, as explained in the attached QACA Notice, as modified below.

<u>How You Can Make or Change Your Elections</u>:

As a rehired employee or employee who has moved from an excluded to an eligible class (as applicable), you should use the paper Enrollment Form contained in your Enrollment Guide to make your salary deferral election and investment allocations for future contributions, or to affirmatively opt out of making elective deferrals. If you already have a PIN, you may continue to use the participant Website and VRS to change elections regarding your existing account balances, but you may not use the Website or VRS to make or change your elections regarding future elective deferrals until the Plan Administrator (re)establishes you as an active, eligible employee on the recordkeeping system.

<u>Limited Withdrawal Right:</u>

If the Plan allows for a limited withdrawal right and if you participated in the Plan at a prior time, and were automatically enrolled under the Plan's QACA during that time, you will not be eligible for the limited withdrawal right if you are automatically enrolled again.

<u>Automatic Enrollment Deferral Increase Provisions:</u>

If the Plan provides for automatic enrollment deferral increases as explained in the attached QACA Notice, you previously were automatically enrolled under the Plan's QACA, and you do not otherwise affirmatively elect to contribute (or to not contribute) elective deferrals to the Plan as described above, the amount of your elective deferral contributions automatically deferred from your pay on a pre-tax basis will be determined in accordance with the Plan's automatic enrollment deferral increase provision, based on the date of your <u>*initial*</u> automatic elective deferral contributions under the QACA.

Investment Allocation Provisions:

The Plan provides for participant direction of investments in their individual accounts. If you are automatically enrolled into the Plan and do not make an affirmative investment election, any contributions that are made to the Plan on your behalf as a result of your automatic enrollment will be invested as described in the attached QACA Notice. The investment objective for this default investment option is set forth in the performance summary section of the Enrollment Guide that accompanies this Notice.

Different investments-stocks, bonds and money market/stable value funds react differently to the same market conditions. For instance, when one is at a high, another is at a low, and the third may be somewhere in between the two. ADP Retirement Services (the Plan's recordkeeper) classifies investment options into four general categories, each of which has a different amount of investment risk attached to it. The greater the risk, the greater the possible return. The four categories, ranked according to risk, from most conservative to most aggressive, are: **Income**, which is generally comprised of fixed and bond investments, **Growth and Income**, which is generally comprised of a combination of stock, fixed and bond investments, **Growth**, which is generally comprised of stock investments which seek capital appreciation over time and **Aggressive Growth**, which is generally comprised of stock investments which seek high capital appreciation. The category into which the Plan's default investment option falls is set forth in the Performance Summary section of the accompanying Enrollment Guide.

There are various fees and expenses charged against the assets of the default investment option by the investment funds. The total amount of these fees and expenses is listed in the expense ratio column of the performance summary page in the accompanying Enrollment Guide. Please refer to the default investment option's prospectus for detailed information on fund expenses, including possible redemption fees.

Once you have access to the participant Website and VRS regarding your elective deferral elections, you will have the ability to direct the investment of your contributions out of the default investment option to any other investment fund under the Plan, generally without financial penalty, on a daily basis. (However, please note that each investment fund may provide for the imposition of redemption fees on purchases and sales made within time periods set forth in fund prospectuses.)

To learn more information regarding the investment funds under the Plan, please review the funds' prospectuses. You may also obtain information online by logging onto the participant Website or calling the VRS once it is available to you, or by contacting your Plan Administrator using the contact information in the attached QACA Notice if the Website and VRS are not yet available to you.

QUALIFIED AUTOMATIC CONTRIBUTION ARRANGEMENT NOTICE

If notice has been delivered electronically, the employee may request a written paper notice that must be provided at no charge.

To: **All employees of _________<u>Wallace Supply, LLC</u>_________(the "Company") and participating affiliates, if any eligible for the _____<u>Wallace Supply, LLC 401(k) Profit Sharing Plan</u>______ (the "Plan")**

From: **<u>Wallace Supply, LLC</u>**

Subject: **Qualified Automatic Contribution Arrangement (with Matching Contributions)**

During the Plan Year that begins 01/01/2022, the Plan will include an automatic enrollment feature known as a Qualified Automatic Contribution Arrangement, and will meet the requirements of the Internal Revenue Code that apply to Qualified Automatic Contribution Arrangements. Under this automatic enrollment feature, your employer will automatically deduct a certain percentage of your compensation on a pre-tax basis and contribute it to the Plan as an elective deferral contribution, unless you have made a salary deferral election and elected a different percentage of compensation, including zero percent. Your employer will make matching contributions known as Qualified Automatic Contribution Arrangement Matching Contributions ("QACA Matching Contributions"), based on your Elective Deferral contributions. This Qualified Automatic Contribution Arrangement is described in more detail below.

Salary Deferral Elections and Automatic Enrollment Provisions

If you first become eligible to enter the Plan on or after the first day of the Plan Year noted above, a "welcome letter" explaining how to enroll and make elections under the Plan will be sent or have been sent to you approximately 35 days before the date you are eligible to enter the Plan and begin making elective deferral contributions (your "Plan entry date"). You may make an election to contribute (or not to contribute) to the Plan at any time after you receive the welcome letter. If you do not make a salary deferral election to contribute (or to not contribute) to the Plan by your Plan entry date, you will automatically be enrolled in the Plan as of that date, and we will automatically withhold 3 % of your compensation from your paycheck each payroll period and contribute that amount to the Plan as a pre-tax elective deferral contribution. However, you may make a salary deferral election at any time to select an alternative deferral amount or to elect not to contribute any compensation to the Plan. For information regarding the amount and type of compensation from which elective deferral contributions will be deducted, please refer to the definition of compensation in the Plan's Summary Plan Description. If you have any questions concerning the application of this automatic elective deferral contribution provision, please contact the Administrator.

How You Can Make or Change Your Elections:

You can make or change your salary deferral election and investment allocations, or opt out of making elective deferrals at any time by completing and filing an election form provided by your Employer, calling the Voice Response System [800-695-7526] or accessing the Plan's participant Website WWW.MYKPLAN.COM.

Accessing the Voice Response System:

ADP Retirement Services will mail you a Personal Identification Number (PIN). This new PIN will permit you to access your account when you call the Voice Response System.

Accessing the Participant Website:

In order to access the ADP Retirement Services website, if you already have a user ID and password for another ADP product or service, please use that user ID and password. If you do not already have a user ID and password on file for another ADP product or service, the first time you access your account on the ADP Retirement Service website, you will select the **Register Now** button. This will allow you to set up your personal User ID and Password. This information will be explained in detail in the welcome letter described above.
You will be able to make a salary deferral election and select your investment allocations. Your salary deferral election will become effective as soon as administratively practicable after you make your election.

<u>Limited Day 90 Withdrawal Right:</u>

If you are automatically enrolled in the Plan, you will have a limited period during which you may elect to withdraw the automatic elective deferral contributions, despite the general limits on Plan withdrawals. If you wish to withdraw your automatic elective deferral contributions, you must make an election to do so no later than 90 days after automatic elective deferral contributions are <u>first</u>

taken from your pay, by turning in a withdrawal request to the Plan Administrator on the form prescribed by the Plan Administrator. The distribution amount will be the amount of the default elective contributions made under the eligible automatic contribution arrangement through the effective date of the election, adjusted for allocable gains and losses up to the date of distribution. If you take out your automatic elective deferral contributions, you lose (that is, forfeit) any Matching Contributions (adjusted for gains and losses) made to your account. Also, your withdrawal will be subject to federal income tax (but not the extra 10% tax that normally applies to early distributions). If you elect to withdraw automatic elective deferral contributions, you will also make a concurrent election to stop your elective deferral contributions. However, you can always choose to make an affirmative election to restart your contributions at any time. After the initial 90 day period, your elective deferral contributions are subject to the withdrawal provisions of the Plan described below.

Automatic Enrollment Deferral Increase Provisions:

If you do not otherwise affirmatively elect to contribute (or to not contribute) elective deferrals to the Plan as described above, the amount of your elective deferral contributions automatically deferred from your pay on a pre-tax basis will increase by 1 percentage point(s) on the first day of the next Plan Year beginning after your initial automatic elective deferral contributions under the Qualified Automatic Contribution Arrangement and the first day of each Plan Year thereafter up to a maximum of 6% of your eligible compensation. If you make an affirmative election to contribute a different amount of elective deferral contributions (or to make no elective deferral contributions), these automatic enrollment deferral increase provisions will not apply to you. You can make such an election at any time.

Investment Allocation Provisions

If you are automatically enrolled into the Plan, and do not make an affirmative investment allocation, any contributions that are made to the Plan on your behalf will be invested in a default investment fund for contributions based upon your birth date according to the chart below.

If your birth date is between:	You will be invested in:
Before 12/31/1952	VAN Target Retire 2015 - Inv
Between 01/01/1953 and 12/31/1957	VAN Target Retire 2020 - Inv
Between 01/01/1958 and 12/31/1962	VAN Target Retire 2025 - Inv
Between 01/01/1963 and 12/31/1967	VAN Target Retire 2030 - Inv
Between 01/01/1968 and 12/31/1972	VAN Target Retire 2035 - Inv
Between 01/01/1973 and 12/31/1977	VAN Target Retire 2040 - Inv
Between 01/01/1978 and 12/31/1982	VAN Target Retire 2045 - Inv
Between 01/01/1983 and 12/31/1987	VAN Target Retire 2050 - Inv
Between 01/01/1988 and 12/31/1992	VAN Target Retire 2055
Between 01/01/1993 and 12/31/1997	VAN Targ Retire 2060 - Inv
After 01/01/1998	VAN Targ Retire 2065 Inv

You may at anytime while you are a Participant in the Plan access your account via the Voice Response System or participant Web site and make an affirmative investment allocation for future contributions among any of the investment alternatives available under the Plan. You may also make transfers of your account balance to and from any of the investment alternatives offered in the Plan.*

*Certain funds may be subject to redemption fees if money is traded to and from a fund within a certain period of time. Any restrictions can be found in the respective fund prospectuses. You should read the prospectuses before investing in any of the funds offered in the Plan. If you have been automatically enrolled in the Plan, no redemption fee will be charged upon any initial transfer of your account balance(s) out of the Default Fund.

Qualified Automatic Contribution Arrangement Matching Contributions

We will make a QACA Matching Contribution to this Plan equal to 100% of the elective deferral contributions that you make up to the first 3% of your compensation that you defer plus 50% of the elective deferral contributions that you make between 3% and 5% of your compensation that you defer regardless of whether your elective deferral contributions are the result of an affirmative election or automatic enrollment. You are not required to be employed on the last day of the Plan Year or to complete a Year of Service to receive the QACA Matching Contribution. QACA Matching Contributions will be contributed to the Plan on a payroll-by-payroll basis.

Vesting and Withdrawal Provisions

You are always 100% vested in your elective deferral contributions account. Your QACA Matching Contribution account under the Plan is subject to the following vesting schedule:

Years (or Periods) of Service	Vested Percentage
Less than 1	100%

Other types of employer matching contributions, if any, under your Plan may vest according to a different schedule as described below.

You may obtain an in-service withdrawal from your QACA Matching Contribution account once you reach age 59-1/2. QACA Matching Contributions are not available for withdrawal in the event of a hardship.

A description of the Plan's additional vesting and withdrawal provisions follows:

SAFE HARBOR EMPLOYEE NOTICE

VESTING AND WITHDRAWAL PROVISIONS

WHAT DOES VESTING MEAN?

Vesting is your right to the contributions in your total Account Balance. In other words, to be vested refers to that portion of your Account Balance that is yours and which cannot be forfeited. Upon termination of Employment you are entitled to the entire vested portion.

You are always 100% fully vested in your total Account Balance in the Plan.

Because your total Account Balance is always 100% vested, you can never have any contributions forfeited. Upon termination of Employment you are entitled to your entire Account Balance.

WHAT HAPPENS IF I BECOME PERMANENTLY DISABLED?

If you become Disabled under the Plan while you were employed by the Employer, you become 100% vested in all your total Account Balance. Please see the Plan SPD section entitled "What Happens If I Become Permanently Disabled?" to learn how the Plan defines Disabled for this purpose.

WHEN CAN I RECEIVE PLAN BENEFITS?

Benefits are payable to you <u>after you leave</u> the Company for any reason (retirement, termination, Disability or death). There is generally an extra 10% tax on distributions before age 59-1/2, with certain exceptions. You can learn more about the extra 10% tax in IRS Publication 575, Pension and Annuity Income.

If you are performing service in the uniformed services while on active duty for a period of more than 30 days, you may be eligible to obtain a distribution from your Elective Deferral account(s). If you elect to receive such a distribution, you will be suspended from making Elective Deferrals for 6 months beginning on the date of the distribution. If you are eligible for both this distribution and a qualified reservist distribution (see below), your distribution will be processed as a qualified reservist distribution. Please consult your Plan's administrator if you have any questions regarding this provision.

MAY I WITHDRAW FUNDS WHILE STILL EMPLOYED?

You may withdraw all or part of your vested Account Balance once you reach age 59½. You may also withdraw any or part of your Rollover Contribution Account in the Plan as well as any After-Tax Contributions that may be held in your account in the Plan at any time and at any age. If you were a participant in the Plan prior to the date the Plan was converted to the ADP recordkeeping system, or in a plan that was merged into the Plan, please contact your Plan administrator or refer to the SPD that was in effect prior to the date the Plan was converted to the ADP recordkeeping system for information on any additional in-service distribution rights that may be available to you.

In the event of a financial hardship you may withdraw your own Elective Deferrals as well as any vested Nonelective Contributions.

To make a hardship withdrawal under current Internal Revenue Service rules, you must be able to show that you are suffering an immediate and heavy financial hardship and that the money cannot be obtained from any other source. You must take any non-hardship in-service withdrawals that may be available to you under the Plan before you may obtain a hardship withdrawal. Please see the Section of the Plan's SPD entitled "May I Withdraw Funds While Still Employed?" for more information about hardship withdrawals.

Circumstances that qualify as an immediate and heavy financial hardship are (1) expenses for medical care (described in Section 213(d) of the Internal Revenue Code) previously incurred by you, your spouse, your dependent or your primary beneficiary under the Plan or necessary for you, your spouse, your dependent, or your primary beneficiary under the Plan to obtain medical care; (2) costs directly related to the purchase of your principal residence (excluding mortgage payments); (3) tuition, related educational fees, and room and board expenses for the next twelve (12) months of post secondary education for yourself, your spouse or dependent or your primary beneficiary under the Plan; (4) amounts necessary to prevent your eviction from your principal residence or foreclosure on the mortgage of your principal residence; (5) payments for burial or funeral expenses for your deceased parent, spouse, children or other dependents or your primary beneficiary under the Plan; (6) expenses for the repair of damage to your principal residence that would qualify for the casualty deduction under the Internal Revenue Code; or (7) expenses and losses (including loss of income) incurred by you on account of a disaster declared by the Federal Emergency Management Agency (FEMA), provided that your principal residence or principal place of employment at the time of the disaster was located in an area designated by FEMA for individual assistance with respect to the disaster. For this purpose, a "primary beneficiary under the Plan" is an individual who is named as your beneficiary under the Plan and has an unconditional right to all or a portion of your account balance if you die.

In addition, the amount of your hardship withdrawal must be no more than the amount necessary to satisfy your immediate and heavy financial need, plus any income taxes or penalties which are expected to result from the distribution. The minimum permitted hardship withdrawal is $500. The hardship withdrawal may be subject to a 10% excise tax imposed by the IRS.

If you are a qualified member of the reserves, you also may be eligible to request a *qualified reservist distribution*. A *qualified reservist distribution* is an exception to Plan restrictions on withdrawal of elective deferrals. Further, the extra 10% tax on a payout before age 59½ doesn't apply to a qualified reservist distribution. For more information, see the Section in the Plan's SPD entitled "My I Withdraw Funds While Still Employed?". A qualified reservist distribution may be taken from your Elective Deferral accounts.

HOW DO LOANS WORK?

You may borrow certain amounts from the vested portion of your Account. You can learn more about the Plan's loan rules in SPD section entitled "How Do Loans Work?".

ROTH ELECTIVE DEFERRALS

Under our Plan you are able to make two kinds of Elective Deferrals. You may make Pre-Tax Elective Deferrals, or you may make Roth Elective Deferrals. There are a number of ways to contribute Roth Elective Deferrals to the Plan. The first is by electing to contribute Roth Elective Deferrals directly to the Plan. (Roth Elective Deferrals contributed directly to the Plan will be recorded in a Roth Elective Deferral Account.) The second is by making a Roth Rollover Contribution to the Plan. Please see the sections of the Plan's SPD entitled "What Contributions Are Made to the Plan?" and "If I Received a Distribution From Another Eligible Retirement Plan, May I Contribute That Amount to the Plan?" for more information about Pre-Tax Elective Deferrals, Roth Elective Deferrals, and Roth Rollover Contributions.

Roth Elective Deferrals are generally treated in the same manner as Pre-Tax Elective Deferrals. This means that your Roth Elective Deferral sub-account is always fully vested and is subject to the distribution restrictions and provisions discussed elsewhere in this Safe Harbor Notice. Your Roth Rollover Contribution sub-account is also fully vested and subject to the distribution restrictions and provisions discussed elsewhere in this Safe Harbor Notice. Loans are available from your Roth Elective Deferral, and Roth Rollover Contribution sub-accounts.You are also permitted to:

- take a hardship distribution from your Roth Elective Deferral sub-account;
- take an in-service distribution from your Roth Elective Deferral sub-account once you reach age 59-1/2; and
- take an in-service distribution from your Roth Rollover Contribution sub-accounts at any time.

Roth Elective Deferrals and Roth Rollover Contributions are taxed differently than Pre-Tax Elective Deferrals upon distribution. You can learn more about how distributions are taxed in the section of the Plan's SPD entitled "How Are My Distributions From The Plan Taxed?".

Please refer to your Plan's Summary Plan Description for more information about the Plan, including information regarding any other contributions that may be made to the Plan and the conditions under which they may be made.

The Company reserves the right to suspend the Safe Harbor Contribution under our Plan during the Plan Year. You will receive a supplemental notice if this occurs. Any such change would not take effect until after the plan is amended to suspend the Safe Harbor Contribution, but no earlier than 30 days after the supplemental notice is provided to you.

For additional information (including requesting a copy of the Plan's Summary Plan Description) please contact:

Name of Company Contact:	Ann Maynard
Mailing Address:	77 Halstead Street, Suite 3
	Rochester, NY 14610
E-mail Address (if applicable):	ann.maynard@johnstonehvac-ny.com

Phone Number: 585-441-0338